

CHAPTER - 10

ACCOUNTING FOR FIXED ASSETS AND DEPRECIATION

Sr. No	Course Outline Topics
1	Basic Definition and Concept
2	Depreciation Methods and Depreciation Rates
3	Basic Depreciation Accounting
4	Disposal of Fixed Assets - Accounting Entries
5	Disposal of Fixed Assets - at the beginning of the year (for Loss)
6	Disposal of Fixed Assets - at the beginning of the year (for Gain)
7	Disposal of Fixed Assets - during the year – (for Loss)
8	Disposal of Fixed Assets - during the year – (for Gain)
9	Exchange of Asset

Topic videos 87-95 are mandatory part of this module

Basic Definitions and Concepts

Property Plant and Equipment

- These are asset that will be used over a period of time (in excess of one year)
- These are not held for re-sale in the normal course of trading
- These may be held for:
 - Production of goods or services
 - Selling of goods or services
 - Administrative purposes
 - Rental to others

Recognition Criteria

- Cost can be measured reliably
- Probability of inflow of economic benefits in future

Measurement

- At recognition
 - Purchased constructed/manufactured assets are initially measured at cost
 - Exchanged assets are initially measured at fair value, unless:
 - The exchange transaction lacks commercial substance or
 - Fair value cannot be determined, in these circumstances; carrying amount of the asset given up will be the value of the asset taken in exchange.

After recognition

- After once recognized the items of property, plant and equipment are measured at either of the two models:
 - Cost model
 - Cost of asset less accumulated depreciation less accumulated impairment loss
 - Revaluation model **(not in syllabus)**
 - Revalued amount less accumulated depreciation subsequent to revaluation and accumulated impairment loss subsequent to revaluation.

Cost components

- Purchase price less trade discounts and rebates
- Import duties
- Non-refundable purchase taxes
- Directly attributable cost
- Estimated cost of dismantling, removal and site restoration

Directly attributable cost is the cost that is incurred to bring the asset into a condition, which is necessary for it to be capable of use as intended by management of entity.

Impairment loss (not in syllabus)

- When carrying amount of asset is greater than its recoverable amount the difference is Impairment Loss.

Depreciation

- Depreciation is the systematic allocation of the depreciable amount of an asset over its useful life

Depreciable amount

- Cost of an asset, or other amount substituted for cost, less its residual value

Useful life

- Period over which an asset is expected to be used; or
- Number of production units expected to be obtained from the asset

Depreciation rate is determined based on useful life and residual value of the asset.

Depreciation methods

- Straight line method
- Reducing balance method
- Sum of years digit method
- Number of units output method
- Number of service hours method

Selection of depreciation method depends upon pattern of economic benefits of the asset to the entity.

Practice 10.1 (Depreciation Methods / Depreciation Rates)

Machine bought on 1.1.20X9 for Rs.80,000. Its residual value is estimated Rs.2,000 with 4 years useful life. It can work for 12,000 hours in total and can produce 40,000 units in total (as per estimate)

Following is its actual results in 20X9 and 20Y0

Year	Service Hours	Units Produced
20X9	2,000	7,000
20Y0	5,000	15,000

Calculate depreciation for two years using each of the following methods:

1. Straight line method
2. Reducing balance method
3. Service hour method
4. Units output/produced method
5. Sum of years' digit method

Answer:

	Rs.
Cost of Machine	80,000
Less Residual value	<u>(2,000)</u>
Depreciable amount	<u>78,000</u>

1. **Straight Line Method**
$$\frac{\text{Depreciable Amount}}{\text{useful Life}} = \text{Depreciation}$$

$$\frac{78,000}{4} = 19,500$$

	Year 20X9	Rs. 19,500
78,000 x 25%	Year 20Y0	Rs. 19,500

2. **Reducing Balance Method**
$$\left(1 - \sqrt[n]{\frac{\text{Residual Value}}{\text{Cost}}} \right) \times 100 = \%$$

Where n = useful life

$$\left(1 - \sqrt[4]{\frac{2,000}{80,000}} \right) \times 100 = 60\%$$

Year 20X9	80,000 x 60%	Rs. 48,000
Year 20Y0	32,000 x 60%	Rs. 19,200

Under reducing balance method first year's depreciation is calculated by applying depreciation rate on cost, whereas in subsequent years depreciation is calculated by applying depreciation rate on opening balance of Net Book Value (NBV).

3. **Service Hours Method/Usage method**
$$\frac{\text{Depreciable Amount}}{\text{Total Estimated Hours}} = \text{Depreciation Rate Per Hour}$$

$$\frac{78,000}{12,000} = \text{Rs.6.50 Per Hour}$$

Year 20X9 2,000 x 6.50 Rs. 13,000

Year 20Y0 5,000 x 6.50 Rs. 32,500

4. Units Output/Production Method

$$\frac{\text{Depreciable Amount}}{\text{Total Estimated Output}} = \text{Depreciation Rate Per Unit}$$

$$\frac{78,000}{40,000} = \text{Rs.1.95 Per Unit}$$

Year 20X9 7,000 x 1.95 Rs. 13,650

Year 20Y0 15,000 x 1.95 Rs. 29,250

5. Sum of Years' Digit Method

	<u>Year</u>			<u>Rs.</u>
20X9	1	78,000 x 4/10	=	31,200
20Y0	2	78,000 x 3/10	=	23,400
20Y1	3	78,000 x 2/10	=	15,600
20Y2	4	78,000 x 1/10	=	7,800

Sum of years 1 + 2 + 3 + 4 = 10. In the year 20X9 i.e. first year the Machine is expected to be used for 4 year, in second year the Machine is expected to be used for 3 years, in third year the Machine is expected to be used for next 2 years and in last year the Machine is expected to be used in the current year only.

Basic Accounting for Depreciation

Accounting Entries

1. Fixed Asset A/c.
Cash/Bank/Creditor A/c.
(Purchase of Fixed Asset upon payment or on credit)

2. Depreciation Expense A/c.
Provision for Depreciation A/c.
(Provision against depreciation expense for the year)

3. Profit & Loss A/c.
Depreciation Expense A/c.
(Depreciation expense closed to Income Statement)

Practice 10.2 (Basic Depreciation Accounting)

20X9

Rs.

January 1,	Opening balance Plant and Machinery	25,000
January 1,	Opening Balance Accumulated Depreciation	10,000
July 1,	Purchased New Plant	20,000

Required: Prepare Plant and Machinery Account and Provision for Depreciation Account for the year ending on December 31, 20X9 assuming the following scenarios:

1

Depreciation method	Reducing Balance Method
Depreciation rate	10%
Depreciation basis	Full year depreciation in the year of purchase

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Depreciation method	Reducing Balance Method
Depreciation rate	10%
Depreciation basis	Time proportionate

III

Depreciation method	Straight Line Method
Depreciation rate	10%
Depreciation basis	Full year depreciation in the year of purchase

IV

Depreciation method	Straight Line Method
Depreciation rate	10%
Depreciation basis	Time proportionate

Answer:

Scenario 1 (Reducing balance method – Full year depreciation)

Plant and Machinery account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Balance b/f	25,000	Dec 31 Balance c/f	45,000
July 1 Bank	20,000		
	45,000		45,000

Provision for Depreciation			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Dec 31 Balance c/f	13,500	Jan 1 Balance b/f	10,000
		Dec 31 Depreciation Expense	3,500
	13,500		13,500

Depreciation charge = (opening NBV x rate) 25,000 – 10,000 = 15,000 x 10%	Rs. 1,500
20,000 X 10% Fully Year	Rs. <u>2,000</u>
	3,500

Scenario 2**(Reducing balance method – Time proportionate depreciation)****Plant and Machinery account**

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Balance b/f	25,000	Dec 31 Balance c/f	45,000
July 1 Bank	20,000		
	<u>45,000</u>		<u>45,000</u>

Provision for Depreciation

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Dec 31 Balance c/f	12,500	Jan 1 Balance b/f	10,000
		Dec 31 Depreciation Expense	2,500
	<u>12,500</u>		<u>12,500</u>

		Rs.
Depreciation charge (opening NBV x rate)	$25,000 - 10,000 = 15,000 \times 10\%$	1,500
New Machine	$20,000 \times 10\% \times 6/12$	<u>1,000</u>
		<u>2,500</u>

Scenario 3**(Straight Line Method – full year depreciation)****Plant and Machinery account**

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Balance b/f	25,000	Dec 31 Balance c/f	45,000
July 1 Bank	20,000		
	<u>45,000</u>		<u>45,000</u>

Provision for Depreciation

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Dec 31 Balance c/f	14,500	Jan 1 Balance b/f	10,000
		Dec 31 Depreciation Expense	4,500
	<u>14,500</u>		<u>14,500</u>

Depreciation charge = (Closing cost x rate) 45,000 x10% =

Rs. 4,500

Scenario 4

(Straight Line Method – Time proportionate depreciation)

Plant and Machinery account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Balance b/f	25,000	Dec 31 Balance c/f	45,000
July 1 Bank	20,000		
	<u>45,000</u>		<u>45,000</u>

Provision for Depreciation			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Dec 31 Balance c/f	13,500	Jan 1 Balance b/f	10,000
		Dec 31 Depreciation Expense	3,500
	<u>13,500</u>		<u>13,500</u>

		Rs.
Depreciation charge = (opening cost x rate) 25,000 x10%		2,500
New Machine 20,000 x10% x 6/12		<u>1,000</u>
		<u>3,500</u>

Accounting Entries for Disposal of Fixed Asset

1. Asset Disposal A/c.
Fixed Asset A/c.

(Asset transferred to asset disposal account, with the amount of gross carrying amount / cost of asset)

2. Provision for Depreciation A/c.
Asset Disposal A/c.

(Accumulated depreciation balance till the date of disposal transferred to asset disposal account)

3. Bank A/c.
Asset Disposal A/c.

(Disposal Consideration / sales proceeds received on disposal of the asset)

4.

- a) Asset Disposal A/c.
Income Statement

(Profit/Gain on disposal of asset transferred to income statement for the period)

- b) Income Statement
Asset Disposal A/c.

(Loss on disposal of asset transferred to income statement for the period)

Exercise Question 10.3**Scenario 1****(Disposal of fixed assets at the beginning of year – for loss)**

On Jan. 1 20X9 machine costing Rs.70,000 and accumulated depreciation being Rs.50,000 was sold for Rs.15,000 on Jan 1 20X9.

Machine Account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Balance b/f	70,000	Jan 1 Disposal a/c	70,000
		Balance c/f	Nil
	<u>70,000</u>		<u>70,000</u>
Provision for Depreciation Account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Disposal a/c	50,000	Jan 1 Balance b/f	50,000
Balance c/f	Nil		
	<u>50,000</u>		<u>50,000</u>
Asset Disposal Account			
Particulars	Rs	Particulars	Rs
20X9		20X9	
Jan 1 Machine a/c	70,000	Jan 1 Provision for depreciation	50,000
		Jan 1 Cash a/c	15,000
		Dec 31 Income Statement (Loss)	5,000
	<u>70,000</u>		<u>70,000</u>

Scenario 2**(Disposal of fixed assets at the beginning of year – for gain)**

On Jan 1 20X9 machine costing Rs.70,000 and accumulated depreciation being Rs.50,000 was sold for Rs.22,000 on Jan 1 20X9.

Machine Account			
Particulars	Rs	Particulars	Rs
20X9		20X9	
Jan 1 Balance b/f	70,000	Jan 1 Disposal a/c	70,000
		Balance c/f	Nil
	<u>70,000</u>		<u>70,000</u>
Provision for Depreciation Account			
Particulars	Rs.	Particulars	Rs.
2009		20X9	
Jan.1 Disposal a/c	50,000	Jan 1 Balance b/f	50,000
Balance c/f	Nil		
	<u>50,000</u>		<u>50,000</u>
Asset Disposal account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan. 1 Machine a/c	70,000	Jan 1 Provision for depreciation	50,000
Dec.31 Income Statement (Profit)	2,000	Jan 1 Cash a/c	22,000
	<u>72,000</u>		<u>72,000</u>

Scenario 3**(Disposal of fixed assets during the year – for loss)**

On Jan 1 20X9 machine costing Rs.70,000 and accumulated depreciation being Rs.50,000 was sold for Rs.15,000 on June 30 20X9. The above machine was depreciated at 10% on reducing balance method.

Machine Account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Balance b/f	70,000	June 30 Disposal a/c.	70,000
		Balance c/f	Nil
	<u>70,000</u>		<u>70,000</u>

Provision for Depreciation Account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
June 30 Disposal a/c.	51,000	Jan 1 Balance b/f	50,000
Balance c/f	Nil	June 30 Depreciation expense	1,000
	<u>51,000</u>		<u>51,000</u>

Asset Disposal Account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
June 30 Machine a/c.	70,000	June 30 Provision for depreciation	51,000
		June 30 Cash a/c.	15,000
		Dec 31 Income Statement (Loss)	4,000
	<u>70,000</u>		<u>70,000</u>

Depreciation Expense Account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
June 30 Provision for Dep.	1,000	Dec 31 Income Statement	1,000
	<u>1,000</u>		<u>1,000</u>

*** Working:**

Cost	70,000		
Less Accumulated Depreciation	<u>50,000</u>		6
NBV	20,000	$\times 10\% = 2,000 \times \frac{12}{12}$	<u>= 1,000</u>

Scenario 4

On Jan 1 20X9 machine costing Rs.70,000 accumulated depreciation being Rs.50,000 was sold for Rs.22,000 on June 30 20X9. The above machine was depreciated at 10% on Straight line Method.

Machine Account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Balance b/f	70,000	June 30 Disposal a/c	70,000
		Balance c/f	NIL
	<u>70,000</u>		<u>70,000</u>
Provision for Depreciation Account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
June 30 Disposal	53,500	Jan 1 Balance b/f	50,000
Balance c/f	NIL	June 30 Depreciation Expense*	3,500
	<u>53,500</u>		<u>53,500</u>
Asset Disposal Account			
Particulars	Rs.	Particulars	Rs.
20X9		20X9	
June 30 Machine a/c	70,000	June 30 Provision for depreciation	53,500
Dec.31 Income Statement (Profit)	5,500	June 30 Cash A/c	22,000
	<u>75,000</u>		<u>75,500</u>
Depreciation Expense Account			
Particulars	Rs	Particulars	Rs
20X9		20X9	
June 30 Provision for Dep	3,500	Dec 31 Income Statement	3,500
	<u>3,500</u>		<u>3,500</u>

* Working:

$$\text{Cost} \quad 70,000 \quad \times 10\% = 7,000 \times \frac{6}{12} = 3,500$$

Exercise Question 10.4**(Disposal and Addition of fixed assets during the year)****20X9**

		Rs.
January 1,	Opening Balance Plant and Machinery	25,000
January 1,	Opening Balance Accumulated Depreciation	10,000
July 1,	Old plant disposed of costing	5,000
	Provision for depreciation of the old plant on 1-1-X9	2,000
July 1,	Purchased New Plant	20,000
	Disposal proceeds	2,500

Required: Prepare Plant and Machinery Account, Provision for Depreciation Account and Asset Disposal Account for the year ending on December 31, 20X9 assuming the following scenarios:

1.

Depreciation method Straight Line Method
 Depreciation rate 10%
 Depreciation basis Full year depreciation in the year of purchase and no depreciation in the year of disposal.

2.

Depreciation method Straight Line Method
 Depreciation rate 10%
 Depreciation basis Time proportionate

3.

Depreciation method Reducing Balance Method
 Depreciation rate 10%
 Depreciation basis Full year depreciation in the year of purchase and no depreciation in the year of disposal.

4.

Depreciation method Reducing Balance Method
 Depreciation rate 10%
 Depreciation basis Time proportionate

Answer:

Scenario 1

Plant and Machinery account

Particulars	Rs	Particulars	Rs
20X9		20X9	
Jan 1 Balance b/f	25,000	July 1 Disposal a/c	5,000
July 1 Bank	20,000	Dec 31 Balance c/f	40,000
	<u>45,000</u>		<u>45,000</u>

Provision for Depreciation account

Particulars	Rs	Particulars	Rs
20X9		20X9	
July 1 Disposal a/c	2,000	Jan 1 Balance b/f	10,000
Dec 31 Balance c/f	12,000	Dec 31 Depreciation Expense	4,000
	<u>14,000</u>		<u>14,000</u>

Machine Disposal account

Particulars	Rs	Particulars	Rs
20X9		20X9	
July 1 Plant & Machine	5,000	July 1 Provision for dep a/c	2,000
		July 1 Bank	2,500
		Dec 31 Income Statement	500
	<u>5,000</u>		<u>5,000</u>

Depreciation Charge for Asset used during the reporting period (SLM – Full Year Basis)

	Cost Rs.
Opening balance b/f	25,000
Opening balance Disposed off	<u>(5,000)</u>
Opening balance in use for full year	<u>20,000</u>
Opening balance Cost 20,000 x 10%	2,000
New Machine 20,000 x 10%	<u>2,000</u>
Depreciation charge for the year	<u>4,000</u>

Scenario 2

Plant and Machinery Account

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Balance b/f	25,000	July 1 Disposal a/c	5,000
July 1 Bank	20,000	Dec 31 Balance c/f	40,000
	45,000		45,000

Provision for Depreciation account

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
July 1 Disposal a/c	2,250	Jan 1 Balance b/f	10,000
Dec 31 Balance c/f	11,000	July 1 Depreciation Expense	250
		Dec 31 Depreciation Expense	3,000
	13,250		13,250

Machine Disposal account

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
July 1 Plant & Machine	5,000	July 1 Provision for dep a/c	2,250
		July 1 Bank	2,500
		Dec 31 Income Statement	250
	5,000		5,000

Depreciation Charge for Assets in use on reporting date (SLM – Time proportion Basis)

	Cost Rs.
Opening balance b/f	25,000
Opening balance Disposed of	<u>(5,000)</u>
Opening balance in use for full year	<u>20,000</u>
Opening balance Cost 20,000 x 10%	2,000
New Machine 20,000 x 10% x 6/12	<u>1,000</u>
Depreciation charge for the year	<u>3,000</u>

Depreciation Charge of Asset sold during the year

Opening balance cost of asset sold during the year $5,000 \times 10\% \times 6/12 = 250$

Accumulated depreciation of asset sold till the date of disposal = $2,000 + 250 = 2,250$

Scenario 3
Plant and Machinery Account

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
Jan 1 Balance b/f	25,000	July 1 Disposal a/c	5,000
July 1 Bank	20,000	Dec 31 Balance c/f	40,000
	<u>45,000</u>		<u>45,000</u>

Provision for Depreciation Account

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
July 1 Disposal A/c.	2,000	Jan 1 Balance b/f	10,000
Dec 31 Balance c/f	11,200	Dec 31 Depreciation Expense	3,200
	<u>13,200</u>		<u>13,200</u>

Machine Disposal Account

Particulars	Rs.	Particulars	Rs.
20X9		20X9	
July 1 Plant & Machine	5,000	July 1 Provision for dep a/c	2,000
		July 1 Bank	2,500
		Dec 31 Income Statement	500
	<u>5,000</u>		<u>5,000</u>

Depreciation Charge for Asset used during the reporting period (RBM – Full Year Basis)

	Cost	Accumulated Depreciation	NBV
	Rs.	Rs.	Rs.
Opening balance b/f	25,000	10,000	15,000
Opening balance Disposed of	<u>(5,000)</u>	<u>(2,000)</u>	<u>(3,000)</u>
Opening balance in use for full year	<u>20,000</u>	<u>8,000</u>	<u>12,000</u>
		Rs.	
Opening balance NBV 12,000 x 10%	=	1,200	
New Machine 20,000 x 10%	=	<u>2,000</u>	
Depreciation charge for the year		<u>3,200</u>	

Scenario 4
Plant and Machinery account

Particulars	Rs	Particulars	Rs
20X9		20X9	
Jan 1 Balance b/f	25,000	July 1 Disposal a/c	5,000
July 1 Bank	20,000	Dec 31 Balance c/f	40,000
	<u>45,000</u>		<u>45,000</u>

Provision for Depreciation Account

Particulars	Rs	Particulars	Rs
20X9		20X9	
July 1 Disposal a/c	2,150	Jan 1 Balance b/f	10,000
Dec 31 Balance c/f	10,200	July 1 Dep Expense	150
		Dec 31 Dep Expense	2,200
	<u>12,350</u>		<u>12,350</u>

Machine Disposal Account

Particulars	Rs	Particulars	Rs
20X9		20X9	
July 1 Plant & Machine	5,000	July 1 Provision for dep. a/c.	2,150
		July 1 Bank	2,500
		Dec 31 Income Statement	350
	<u>5,000</u>		<u>5,000</u>

Depreciation Charge for Assets in use on reporting date (RBM – Time proportion Basis)

Cost	Accumulated	NBV	
		Depreciation	
	Rs.	Rs.	Rs.
Opening balance b/f	25,000	10,000	15,000
Opening balance Disposed off	<u>(5,000)</u>	<u>(2,000)</u>	<u>(3,000)</u>
Opening balance in use for full year	<u>20,000</u>	<u>8,000</u>	<u>12,000</u>
		Rs.	
Opening balance NBV 12,000 x 10%	=	1,200	
New Machine 20,000 x 10% x 6/12	=	<u>1,000</u>	
Depreciation charge for the year		<u>2,200</u>	

Depreciation Charge for Asset sold during the year

Opening NBV balance of asset sold during the year $3,000 \times 10\% \times 6/12 = 150$

Accumulated depreciation of asset sold till the date of disposal = $2,000 + 150 = 2,150$

Exchange of Asset

Exchange of Asset – Trade-in-Allowance

When an old asset is exchanged with a new asset the seller of new asset will offer an allowance while receiving payment for selling asset in consideration of the exchange of old asset. Such allowance is known as “trade in allowance”. The buyer will subtract “trade in allowance” from the cost of new asset while making payment to the seller.

Cost of new asset = Cash consideration + Trade in allowance.

Cost of new asset – trade in allowance = Cash consideration

Asset account will be debited with the cost of new asset i.e., cash paid plus trade in allowance.

Trade in allowance is considered as disposal proceeds of the old asset.

Exchange of Asset – Commercial Substance

When an asset is exchanged with another asset and commercial substance does not exist in such exchange, the cost of asset taken through exchange is carrying amount of asset given up.

But when the commercial substance does exist, then cost of asset taken through exchange would be fair value of asset given up.

When fair value of both assets is not determinable the carrying amount of asset given up would be considered as cost of asset taken through exchange.

Existence of commercial substance means; that the entity specific values (present value of future expected cash flows) of both assets are not equal.

Important Tips to Remember (ITTRs)

1. Final balance of depreciation expense a/c is closed into the income statement as expense.
2. Carried forward balance of provision for depreciation is subtracted from carried forward balance of fixed asset to get net book value, which is shown in Statement of Financial Position.
3. While calculating depreciation charge for the year, following information must be gathered first.
 - a. Depreciation rate 10% or 5% etc.
 - b. Depreciation method SLM or RBM etc.
 - c. Depreciation basis Time Proportionate or Full Year Basis etc.
4. Where date of purchase/disposal is given always use time proportionate basis if question is silent regarding the basis. But where the date of purchase and disposal are not given and the question is silent regarding the basis then charge full year's depreciation in the year of purchase and no depreciation in the year of disposal.
5. While calculating depreciation charge under straight line method subtract residual value from cost of the asset and then apply depreciation rate. This process will be followed in each year of useful life. In case the residual value is nil then depreciation rate will be applied on original cost in each year of its useful life. That is why straight line method is also named as original cost method.
6. While calculating depreciation charge under reducing balance method, in first year of useful life, depreciation rate is applied on cost, whereas in subsequent years depreciation rate is applied on opening balance of net book value of the asset for full year assuming there is no addition during the year.
7. In the year of disposal, depreciation charge will be calculated from opening date till the date of disposal and accounting entry will be:

Depreciation expense	Dr.
Provision for depreciation	Cr.

This accounting entry (for such amount) shall be recorded in order to complete accumulated depreciation till the date of disposal.

Remember: The above accounting effect shall be made if and only if time proportionate basis is being followed.

8. While recording accounting entries for disposal of fixed asset, follow the following steps:
 - a. Identify/calculate the amount of accumulated depreciation till the date of disposal in accordance with depreciation basis and then pass the accounting entry to transfer accumulated depreciation into asset disposal account.
 - b. Transfer cost of asset sold/disposed into asset disposal account.
 - c. Whether the asset is sold for cash credit or claim for insurance is lodged, the amount will be considered as disposal proceeds and will be credited in disposal account.
9. Single accounting entry for disposal of assets:

Provision for depreciation A/c.	Dr.
Cash/Bank/Insurance claim A/c.	Dr.
Income statement (for loss - if any)	Dr.
Fixed Asset A/c.	Cr.
Income statement (For gain - if any)	Cr.
10. When an old asset is exchanged with a new asset the seller of new asset will offer an allowance while receiving payment for selling asset in consideration of the exchange of old asset. Such allowance is known as "trade in allowance". The buyer will subtract "trade in allowance" from the cost of new asset while making payment to the seller.
Cost of new asset = Cash consideration + Trade in allowance.
Cost of new asset – trade in allowance = Cash consideration

11. Asset account will be debited with the cost of new asset i.e., cash paid plus trade in allowance.
12. Trade in allowance is considered as disposal proceeds of the old asset.
13. Whenever the rate of depreciation, useful life of asset, depreciation method and/or residual value of asset is changed, accounting effects of such changes shall be recognized prospectively i.e. in the current year and subsequent years.
14. When an asset is exchanged with another asset and commercial substance does not exist in such exchange, the cost of asset taken through exchange is carrying amount of asset given up.
But when the commercial substance does exist, then cost of asset taken through exchange would be fair value of asset given up. When fair value of both assets is not determinable the carrying amount of asset given up would be considered as cost of asset taken through exchange.
15. Existence of commercial substance means; that the entity specific value (present value of future expected cash flows) of both assets are not equal.

MCQs

1. Bashir acquired a Motor Van on 1 May 20X3 at cost of Rs.30,000. The Motor Van has an estimated useful life of four years, and an estimated residual value of Rs.6,000.

Bashir charges depreciation on the straight-line basis, with a proportionate charge in the period of acquisition.

What will the depreciation charge for the Motor Van be in B's accounting period to 30 September 20X3?

- A. Rs.3,000
- B. **Rs.2,500**
- C. Rs.2,000
- D. Rs.5,000

30,000 – 6,000 = 24,000/4years = 6,000 x 5/12 months = 2,500 for the proportionate period of five months

2. A non-current asset was disposed of for Rs.2,200 during the last accounting year. It had been purchased exactly three years earlier for Rs.5,000, with an estimated residual value of \$500, and had been depreciated on the reducing balance basis, at 20% per annum.

The gain or loss on disposal was:

- A. **Rs.360 loss**
- B. Rs.150 loss
- C. Rs.104 loss
- D. Rs.200 profit

(Net book value = 5,000 – 1,000 – 800 – 640 = 2,560) – (Disposal proceed 2,200) = Loss 360
Residual value is not subtracted while calculating depreciation on reducing balance method.

The following information relates to the next three questions:

An equipment which had cost of Rs.20,000 and had accumulated depreciation of Rs.17,200 was sold during 20X7 for Rs.4,800. The total cost of machinery shown in the December 20X6 statements of financial positions was Rs.180,000 and the related accumulated depreciation was Rs.92,000. The company uses 10% straight-line depreciation on machinery and no depreciation is charged in the year in which an asset is sold.

3. **What is the balance on the accumulated depreciation account at 31/12/20X7?**

Rs. _____ **90,800**

(92,000 – 17,200 + 16,000 [160,000 x 10%])

4. **What is the gain or loss on disposal of the equipment?**

- A. A gain of Rs.3,400
- B. A loss of Rs.3,400
- C. A gain of Rs.1,400
- D. **A gain of Rs.2,000**

(20,000 – 17,200 = NBV 2,800) – (Sales Proceed 4,800) = Gain 2,000

5. **What is the annual depreciation for 20X7?**

\$ _____ **16,000**

Opening balance at cost 180,000 – cost of asset sold 20,000 = 160,000 x 10% = 16,000

CHAPTER – 11

CONTROL ACCOUNTS Accounting for Receivables and Payables

Sr. No	Course Outline Topics	Lecture video
1	Why Control Account are Maintained	96
2	Formats of Debtors Control Accounts	97
3	formats of Creditors Control Accounts	98 and 99
4	Posting from Journal to individual accounts	100
5	Posting from Journal to control accounts	101
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7	Practice - Control Account Reconciliation	103 and 104
8	Practice - Control Account Reconciliation	105

Topic videos 96-105 are mandatory part of this module

Why Control Accounts are maintained

Control Account is a simple ledger account that represents numerous ledger accounts of similar nature. Entities, that grow in size, face difficulties in establishing control over multiple transactions under same head of account. This encounter is resolved through developing a system of maintaining control accounts.

For example, an entity deals with more than one hundred number of credit customers. The accountant of this entity would be required to report amount receivable from each individual customer as well as the recoverable amount from total receivables (debtors). In this case, for each individual customer, a debtor ledger account will be maintained as a memorandum or subsidiary record that will not be a part of the main/general ledger, whereas one controlling ledger account shall be prepared in the main/general ledger that will show total balance receivable from all the debtors. This single ledger account is known as *Control Account* because of its function to control all the individual debtor's ledger accounts.

Mostly, entities maintain control accounts for trade receivables, trade payables, payroll, and inventory. This chapter will discuss accounting system based on control accounts for trade receivables (debtors) and trade payables (creditors).

Formats of Debtors and Creditors Control Accounts

Following are the maximum possible items that may appear in *Debtors Control Account* and *Creditors Control Account*. While preparing Debtors Control Account, it must be noticed that its debit side should show the items that will cause increase in debtors' balance and items in credit side will cause a decrease in debtors' balance.

In the same way items that will cause increase in creditors balance are put in its credit side and items that will cause decrease in creditors balance are put in the debit side of Creditors Controls Account.

Let's go through the following formats of Debtors Control Account and Creditors Control Account:

Debtors' Control A/C	
Trade Receivable Control A/C	
<i>Opening Dr. Balance b/f</i>	<i>Opening Cr. Balance b/f</i>
Credit sales (Invoice issued)	Cash received from debtors
Refund to debtors	Cheques received from debtors
Cheques dishonoured	Bills receivable accepted by debtors
Bills receivable dishonoured	Discount allowed
Interest charged to debtors	Bad debts
	Sales return (Credit note issued)
	Contra / set off / balance transferred
<i>Closing Cr. Balance c/f</i>	<i>Closing Dr. balance c/f</i>

Creditors Control A/C	
Trade Payable Control A/C	
<i>Opening Dr. Balance b/f</i>	<i>Opening Cr. Balance b/f</i>
Cash paid to creditors	Credit purchases (Invoice received)
Cheques paid to creditors	Bills payable dishonoured
Bills payable given to creditors	Interest payable
Discount received	
Purchases return (Credit note received)	
Contra / set off / balance transferred	
<i>Closing Cr. Balance c/f</i>	<i>Closing Dr. balance c/f</i>

Practice 11.1 Posting from journals to individual accounts and control accounts**BOOKS OF ORIGINAL ENTRIES**

Purchase Journal / Day book		
DATE	PARTICULARS	Rs.
	A	2,000
	B	3,000
	C	1,000
	D	4,000
	A	2,500
	D	1,000
	B	3,000
		16,500

Purchases A/c. Dr
Creditors Control A/c. Cr

Sale Journal / Day book		
DATE	PARTICULARS	Rs.
	O	5,000
	P	2,000
	Q	1,000
	O	2,000
	R	7,000
	Q	2,000
	P	3,000
	O	1,000
		23,000

Debtors Control A/c. Dr.
Sales A/c. Cr.

Purchase Return Journal / Day book		
DATE	PARTICULARS	Rs.
	A	1,500
	C	1,000
	D	2,000
		4,500

Creditors Control a/c Dr
Purchases Return a/c Cr

Sale Return Journal / Day book		
DATE	PARTICULARS	Rs.
	P	500
	O	1,500
	Q	1,000
		3,000

Sales Return a/c Dr
Debtor Control a/c Cr

General Journal / Transfer Journal			
DATE	PARTICULARS	Dr.	Cr.
	Bad Debts A/c.	500	
	Debtor "O" A/c.		500

CASH BOOK							
	DISC.	DEBTOR	TOTAL		DISC.	CREDITOR	Total
	Rs.	Rs.	Rs.		Rs.	Rs.	Rs.
O		3,000		A	100	700	
P	100	150		B		2,000	
Q	50	700		D	200	1,500	
O		2,000		C		2,500	
R		5,000		B		1,000	
P		1,000		A		500	
	150	11,850			300	8,200	

SUBSIDIARY / MEMORANDUM LEDGER

DEBTORS LEDGER / SALES LEDGER					
O account	Rs.	Rs.	P account	Rs.	Rs.
Sales Journal	5,000	Sales Return	1,500	Sales Journal	2,000
Sales Journal	2,000	Cash Received	3,000	Sales Journal	3,000
Sales Journal	1,000	Cash Received	2,000		
		Bad Debts	500		
		Balance c/f	1,000		
	8,000		8,000		5,000
					5,000
Q account	Rs.	Rs.	R account	Rs.	Rs.
Sales Journal	1,000	S.R.J.	1,000	Sales Journal	7,000
Sales Journal	2,000	Cash Rec.	700		
		Disc All.	50		
		Balance c/f	1,250		
			3,000		
				7,000	7,000

LIST	Rs.
O	1,000
P	3,250
Q	1,250
R	2,000
Total	<u>7,500</u>

CREDITORS LEDGER / PURCHASE LEDGER					
A account	Rs.	Rs.	B account	Rs.	Rs.
Purchase return	1,500	Purchase Journal	2,000	Cash Paid	2,000
Cash Paid	700	Purchase Journal	2,500	Cash Paid	1,000
Cash Paid	500			Balance c/f	3,000
Disc Received	100				
Bal. c/f	1,700				
	4,500			6,000	6,000
C account	Rs.	Rs.	D account	Rs.	Rs.
Purchase return	1,000	Purchase Journal	1,000	Purchase return	2,000
Cash Paid	2,500	Bal. c/f	2,500	Cash Paid	1,500
				Disc Received	200
				Balance c/f	1,300
	3,500			5,000	5,000

LIST	Rs.
A	1,700
B	3,000
C	-2,500
D	1,300
Total	<u>3,500</u>

MAIN LEDGER

Debtors Control A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Opening balance b/f	0	Cash received	11,850
Sales	23,000	Sales return	3,000
		Bad debts	500
		Discount allowed	150
		Closing balance c/f	<u>7,500</u>
	<u>23,000</u>		<u>23,000</u>

Creditors Control A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Cash paid	8,200	Opening balance b/f	0
Purchase return	4,500	Purchases	16,500
Discount received	300		
Closing Balance c/f	<u>3,500</u>		
	<u>16,500</u>		<u>16,500</u>

Sales Return A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Sales Journal	<u>3,000</u>	Income statement	<u>3,000</u>
	<u>3,000</u>		<u>3,000</u>

Purchases Return A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Income statement	<u>4,500</u>	Purchase Journal	<u>4,500</u>
	<u>4,500</u>		<u>4,500</u>

Sales A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Income statement	<u>23,000</u>	Sales Journal	<u>23,000</u>
	<u>23,000</u>		<u>23,000</u>

Purchases A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Purchases Journal	<u>16,500</u>	Income statement	<u>16,500</u>
	<u>16,500</u>		<u>16,500</u>

Discount Allowed A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Debtors control A/c.	<u>150</u>	Income statement	<u>150</u>
	<u>150</u>		<u>150</u>

Discount Received A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Income statement	<u>300</u>	Creditors control a/c	<u>300</u>
	<u>300</u>		<u>300</u>

Bad Debts A/c

Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Debtors control A/c.	<u>500</u>	Income statement	<u>500</u>
	<u>500</u>		<u>500</u>

Important Tips to Remember (ITTRs)

1. A control account is a ledger account that appears in the main/general ledger, it summarises large volumes of transactions.
2. The debtors control account (sales ledger control account - total debtors account)
 - is used to record all transactions with credit customers
 - balance shows the total amount currently owed by all credit customers, this balance should agree with the list of individual balances extracted from the Sales Ledger (a memorandum ledger containing ledger accounts of individual debtors).
3. The creditors control account (purchase ledger control account - total creditors account).
 - is used to record all transactions with credit suppliers
 - balance shows the total amount currently owed to all credit suppliers, this balance should agree with list of individual balances extracted from the Purchase Ledger (a memorandum ledger containing ledger accounts of individual creditors)

4. Debtors Control a/c might produce two balances i.e. Dr. and Cr in this case the account will look like:

Debtors Control Account	
Opening Dr Balance	Opening Cr Balance (unusual)
Closing Cr Balance (unusual)	Closing Dr Balance

5. Creditors Control a/c might produce two balances i.e. Dr. and Cr in this case the account will look like

Creditors Control Account	
Opening Dr Balance (unusual)	Opening Cr Balance
Closing Cr Balance	Closing Dr Balance (unusual)

6. Regardless of the nature of ledger account, opening Dr balance would always appear in its debit side and opening Cr balance would always appear in its credit side.
7. Closing balances always appear in opposite side i.e. closing Dr balance will appear in credit side and closing Cr balance will appear in Dr side.
8. There might be a situation that a person who is Debtor (Customer) for the entity is also a Creditor (Supplier) of the same entity with different outstanding amounts.

For example; Mohsin is Debtor with Rs.700 and Mohsin is also Creditor with Rs.500. In this case contra entry would be required to set-off these two balances. Contra entry is always recorded with lower balance of outstanding amount, in this case Rs. 500.

The contra entry would be:

Creditors Control A/c. (Mohsin) Dr. 500

Debtors Control A/c. (Mohsin) Cr 500

9. In case Mohsin is Debtor with Rs.700 and Mohsin is also a creditor with Rs 1,000, the contra entry would remain the same as above but the amount would then be Rs. 700 the lower one:
Creditors Control (Mohsin) Dr 700
Debtors Control (Mohsin) Cr 700
10. Balance as per sales ledger means the balance as per list of debtors in sales ledger, whereas balance as per sales ledger control account means the total debtors balance in the main ledger / nominal ledger.
11. Cr balance in Debtors account might arise because of cash received in advance.
12. Dr balance in Creditors account might arise because of cash paid in advance.

13. Names of Accounting Records that are often confused by the students.
- | | | |
|--------------------------------|------|---|
| a. Sales journal / day book | is a | Book of original entry (for credit sales) |
| b. Sales ledger | is a | Subsidiary ledger (a book for debtors) |
| c. Sales ledger control a/c | is a | Debtors control a/c in main/nominal ledger |
| d. Sales account | is a | Sales income in main/nominal ledger |
| | | |
| a. Purchase journal / day book | is a | Book of original entry (for credit purchases) |
| b. Purchase ledger | is a | Subsidiary ledger (a book for creditors) |
| c. Purchase ledger control a/c | is a | Creditor control a/c in main/nominal ledger |
| d. Purchase account | is a | Purchase expense in main/nominal ledger |
14. Closing balance of control account may not agree with total of the list of individual balances extracted from the subsidiary ledger
- Any difference must be investigated and corrections made
 - This may involve adjustments:
 - to the control account; and/or
 - to the list of balances as per subsidiary ledgers

	<u>Reasons of difference</u>	<u>Amendments</u>
I	<u>Books of Original Entries</u> a. Recording error b. Casting error	Control a/c and List Control a/c only
II	<u>Main Ledger - Control Accounts</u> a. Posting error b. Casting error	Control a/c only Control a/c only
III	<u>Subsidiary Ledger – Individual Accounts</u> a. Posting error b. Casting error	List only List only
IV	<u>List of Balances</u> a. Listing error b. Casting error	List only List only

Practice 11.2

Waheed & Sons have an accounting year ended 30 June 20X9. At that date the balance on the receivables ledger control account was Rs.130,000, but the total of the individual accounts in the receivables ledger came to Rs.127,240.

Upon investigation the following facts were discovered:

1. The sales day book total for week 22 had been overcast by Rs.600.
2. A credit balance of Rs.420 on Oreem's account had been incorrectly treated as a debit entry when listing the receivables ledger.
3. A contra of Rs.3,000 has been entered in Bungish's account in the receivables ledger but no other entry had been made.

The adjusted balance on the debtors control account is:

Particulars	Debit Rs.	Particulars	Credit Rs.
30 June 20X9		30 June 20X9	
Balance b/f (reopened)	130,000	Sales day book over cast by	600
		Contra entry in Bungish account	3,000
		Balance c/f	126,400
	130,000		130,000

The adjusted balance on the list of individual debtors is:

	Rs.
Balance as per list of individual balances 30 June 20X9 (Dr.)	127,240
Credit balance of Oreem account treated as debit balance (420 x 2) (Cr.)	<u>- 840</u>
Adjusted Balance as per list of individual debtors on 30 June 20X9 (Dr.)	<u>126,400</u>

Exercise Question 11.3

Babar Shafi prepared the following payables ledger reconciliation statement on 30th June 20X9:

		Rs.
Balance on purchase ledger control account	Cr.	46,865
Payment entered twice in purchase ledger control account	Cr.	573
	Cr.	47,438
Purchase daybook overcast	Dr.	900
Total of list of balances	Cr.	46,538

Which balance should be reported in the balance sheet as on 30th June 20X9?

Particulars	Debit Rs.	Particulars	Credit Rs.
30th June 20X9		30th June 20X9	
Purchase day book overcast	900	Balance b/f	46,865
		Payment posted twice in control account	573
Balance c/f (Liability)	46,538		
	47,438		47,438

Exercise Question 11.4

Jamil is preparing a reconciliation of the balance on the creditors ledger control account appearing in the general ledger to the total of the list of balances on the individual accounts in the purchase ledger. He has discovered the following:

- (i) a debit balance on a supplier's individual account was listed as a credit balance;
- (ii) an invoice for Rs.2,900 was entered in the purchase day book as Rs.9,200.

Which of the errors will require an adjustment to the creditors ledger control account?

- A neither (i) nor (ii)
- B (i) only
- C **(ii) only**
- D both (i) and (ii)

Exercise Question 11.5

At 28 February 20Y1 the balance on the trade receivables control account in Durdana Rizvi's general ledger was Rs.126,528, and the total of the list of balances from the sales ledger was Rs.125,092.

The following errors were identified:

- i. a balance of Rs.79 due from a customer has been omitted from the list of balances;
- ii. a debit balance of Rs.200 on a customer's account has been treated as a credit balance;
- iii. a customer paid Rs.2,200 in full settlement of a balance of Rs.2,215. Only the cash received has been recorded;
- iv. no entries have been made for a contra of Rs.780 with the purchases ledger;
- v. the total of the sales day book was under-cast by Rs.99;
- vi. the total of credit notes issued to customers in February, Rs.528, was posted to the general ledger as sales invoices; and
- vii. a payment of Rs.145 from a customer was recorded in the cash received day book as Rs.154.

Prepare the reconciliation of the total of the list of balances to the corrected general ledger balance.

Trade Receivables Control Account (Adjusted)

Particulars	Debit Rs.	Particulars	Credit Rs.
28th February 20Y1		28th February 20Y1	
Balance b/f	126,528	Discount allowed not recorded (iii)	15
Sales day book undercast	99	Contra entries not recorded (iv)	780
Receipt overstated (vii)	9	Credit note issued recorded as sales (vi)	1,056
		Balance c/f	124,785
	126,636		126,636

	Rs.
Balance on sales ledger list	Dr. 125,092
i. Balance omitted from the list	Dr. 79
ii. Dr. balance of a customer treated as Cr. balance	Dr. 400
iii. Discount allowed not recorded in the books	Cr. 15
iv. Contra entry not recorded in the books	Cr. 780
vii. Receipt from customer overstated 154 – 145	Dr. 9
Adjusted balance of sales ledger list	Dr. 124,785

1. A payables ledger control account showed a credit balance of Rs.768,420. The payables ledger list totaled Rs.781,200.

Which one of the following possible errors could account in full for the difference?

- A. A contra against a receivables ledger debit balance of Rs.6,390 has been entered on the credit side of the payables ledger control account (by rectifying this error the control account balance will further reduce by Rs.12,780)
- B. The total of discounts allowed Rs.28,400 was entered to the debit side of the payables ledger control account instead of the correct figure for discounts received of Rs.15,620
- C. Rs.12,780 cash paid to a supplier was entered on the credit side of the supplier's account on the payables ledger (by rectifying this error the control account balance will further reduce by Rs.25,560)
- D. The total of discounts received Rs.6,390 has been entered on the credit side of the payables ledger control account (by rectifying this error the control account balance will further reduce by Rs.12,780)

Explanation: Payable Control account balance is showing Rs. 12,780 less balance comparing with the total of the payables' list; which means that excess amount has been debited in the control account.

2. The payables ledger control account below contains a number of errors:

Payables ledger control account			
	Rs.		Rs.
Balance B/F	318,600		
Cash paid to suppliers	1,364,300	Purchases	1,268,600
Purchase returns	41,200	Contras against receivables	48,000
Refunds received from suppliers	2,700	Discounts received	8,200
		Balance C/F	402,000
	1,726,800		1,726,800

All items relate to credit purchases.

What should be the closing balance when all the errors are corrected?

- A. \$128,200
- B. \$509,000
- C. \$224,200
- D. \$144,600

Payables ledger control account			
	Rs.		Rs.
		Balance B/F	318,600
Cash paid to suppliers	1,364,300	Purchases	1,268,600
Purchase returns	41,200	Refunds received	2,700
Contras against receivables	48,000		
Discounts received	8,200		
Balance C/F	128,200		
	1,589,900		1,589,900

3. The purchase day book of Humaira has been undercast by Rs.500, and the sales day book has been overcast by Rs.700. Humaira maintains payables and receivables ledger control accounts as part of the double entry bookkeeping system.

The effect of correcting these errors will be to:

- A. make adjustments to the ledger balances of the individual customers and suppliers, with no effect on profit
- B. make adjustments to the ledger balances of the individual customers and suppliers, with a decrease in profit of \$1 ,200
- C. make adjustments to the control accounts, with no effect on profit
- D. **make adjustments to the control accounts, with a decrease in profit of Rs.1,200**

Explanation:

- (i) **By rectifying under-casting effect of purchase daybook, the cost of goods sold will increase by Rs.500 and by rectifying over-casting effect of sales daybook the sales will decrease. Both effects are decreasing profit with Rs. 1,200**
- (ii) **Adjustment in control is always required whenever there is a casting error occurring in books of original entries, because total sum of the books of original entries is posted to the control accounts.**

4. In reconciling the receivables ledger control account with the list of receivables ledger balances of SF Traders, the following errors were found:

- 1. The sales day book had been overcast by Rs.370.
- 2. A total of Rs.940 from the cash receipts book had been recorded in the receivables ledger control account as Rs.490.

What adjustments must be made to correct the errors?

- A. Credit debtors control account Rs.820. Decrease total of debtors list balances by Rs.820
- B. **Credit debtors control account Rs.820. No change in total of debtors ledger list balances.**
- C. Debit debtors control account Rs.80. No change in total of debtors' ledger list balances
- D. Debit debtors control account Rs.80. Increase total of debtors ledger list balances by Rs.80

Explanation:

- (i) **By rectifying over-casting effect of sales daybook, the debtors control account will be credited with 370**
- (ii) **Cash receipt has been less recorded in the debtors control account with Rs. 450, now it shall be credited in debtors control account.**

5. The debit side of a trial balance totals \$50 more than the credit side. Which one of the following could this be due to?

- A. A purchase of goods for \$50 being omitted from the supplier's account
- B. A sale of goods for \$50 being omitted from the customer's account
- C. An invoice of \$25 for electricity being credited to the electricity account
- D. A receipt for \$50 from a customer being omitted from the cash book (2 marks)

6. A receivables ledger control account had a closing balance of Rs.8,500. It contained a contra to the receivable ledger of Rs.400, but this had been entered on the wrong side of the control account.

What should be the correct balance on the control account?

- A. **Rs.7,700 debit**
- B. Rs.8,100 debit
- C. Rs.8,400 debit
- D. Rs.8,900 debit

Explanation: Rectification of double amount Rs.800 will be posted in the credit side of receivable ledger control account that will decrease the receivable control account balance to Rs. 7,700.

7. An inexperienced bookkeeper has drawn up the following receivables ledger control account:

Receivables Ledger Control Account			
	Rs.		Rs.
Opening balance	180,000	Credit sales	190,000
Cash from credit customers	228,000	Irrecoverable debts written off	1,500
Sales returns	8,000	Contras against payables	2,400
Cash refunds to credit customers	3,300	Closing balance (balancing figure)	229,600
Discount allowed	4,200		
	<u>423,500</u>		<u>423,500</u>

What should the closing balance be after correcting the errors made in preparing the account?

- A. \$130,600
- B. **\$129,200**
- C. \$142,400
- D. \$214,600

	Rs.		Rs.
Opening balance	180,000	Cash from credit customers	228,000
Credit Sales	190,000	Irrecoverable debts written off	1,500
Cash refunds to credit customers	3,300	Contras against payables	2,400
		Sales return	8,000
		Discount allowed	4,200
		Closing balance (balancing figure)	129,200
	<u>373,300</u>		<u>373,300</u>

CHAPTER- 12

RECTIFICATION OF ERRORS

Sr. No	Course Outline Topics	Lecture video
1	Types of Errors	106
2	Errors that do not cause any difference in Trial Balance	107
3	Errors that do cause a difference in Trial Balance	108
4	Practice - Trial balance agreement	109
5	Practice - Suspense account	110 and 111
6	Practice - Calculation of Adjusted Profit	112
7	Practice - Calculation of Working Capital	113
8	Capital and Revenue	114

Topic videos 106-114 are mandatory part of this module

Types of errors

While performing functions of financial accounting i.e., classifying, recording, posting and reporting, there could be some instances of errors and omissions in the presence of which the financial statements do not present reliable and fair results of the economic phenomena of the entity. These errors and omissions need to be corrected according to the accounting rules so that the financial performance and position of the entity is reliable and fairly presented.

These errors and omissions are widely split into two categories:

1. Those errors that do not cause a difference in trial balance agreement
2. Those errors that do cause a difference in trial balance agreement.

1. Errors that do not cause any difference in trial balance

Sr. #	Reasons of Error	Rectifying Entry	
a)	<i>Error of omission</i> When financial information is completely <i>omitted for recording in the books of original entry</i> e.g. sales invoice of Rs.1,000 issued before closing date but not recorded in the books of original entry.	Debtors a/c Dr.	1,000
		Sales a/c Cr.	1,000
b)	<i>Error of commission</i> When correct accounting effect (Dr/Cr) is given in the wrong accounting head but the main head remains correct e.g. purchase of computer Rs.5,000 for office was wrongly debited to the furniture account. (both accounts belong to the same main head; Assets) This error will have no effect (positive or negative) on financial position as well as financial performance.	Computer a/c Dr	5,000
		Furniture a/c Cr	5,000
c)	<i>Error of principle</i> When correct accounting effect (Dr/Cr) is given in the wrong accounting head as well as the wrong main head e.g. purchase of computer Rs.5,000 for office was wrongly debited to the stationery account. (both accounts belong to different main heads, like computer belongs to Asset and stationery belongs to Expense) This type of error will cause a difference in financial performance (net profit) and/or financial position (Asset = Owners' equity + Liability) Error of principle occurs because of wrong decision about capital and revenue nature at the time of recognizing accounting heads.	Computer a/c Dr	5,000
		Stationary a/c Cr	5,000
d)	<i>Error of original entry</i> When correct accounting entry is recorded in the books of accounts but the amount in both accounting effect (Dr & Cr) is wrong although the amount is same e.g. debtors to be written off for Rs. 250 as bad debts were recorded in the correct accounts but the amount was posted in both accounts was Rs. 520, causing a difference of Rs. 270 in both sides. It is also known as transposition error.	Debtors a/c Dr	270
		Bad debts a/c Cr	270
e)	<i>Compensating error</i> When the sum of more than one errors cancels the accounting effect of each other e.g. sales were less credited with Rs. 260 and at the same time opening balance of capital account was brought forward with an amount that is Rs. 200 more than the correct amount and Rent expense owing of Rs. 60 was although credited to rent payable account but was not debited to the rent expense.	Capital a/c Dr	200
		Rent expense a/c Dr	60
		Sales a/c Cr	260

2. **Errors that do cause a difference in trial balance**

Suspense account error

Whenever there is a difference in the trial balance, such amount of difference shall be named as suspense account. Suspense account is used to make both sides of trial balance equal.

Trial Balance			
Particulars	Dr. (Rs)	Particulars	Cr. (Rs)
Assets	65,000	Capital	40,000
Expenses	13,000	Sales	100,000
Purchases	80,000	Liabilities	25,000
Drawings	2,500	Provisions	3,000
	160,500		168,000

In the above trial balance credit side is heavier than debit side by Rs. 7,500. In order to balance the trial balance, Rs.7,500 will be included in debit side as Suspense Account.

Trial Balance			
Particulars	Dr. (Rs)	Particulars	Cr. (Rs)
Assets	65,000	Capital	40,000
Expenses	13,000	Sales	100,000
Purchases	80,000	Liabilities	25,000
Drawings	2,500	Provisions	3,000
Suspense a/c	7,500		
	168,000		168,000

Possible reasons for difference in the Trial Balance

Sr. #	Reasons of Error	Rectifying Entries	
a)	Under/over casting of a ledger account maintained in main ledger e.g. - sales income account was over-cast by Rs. 200 - sales income account was under-cast by Rs. 500 (it will affect trial balance only)	Sales a/c Dr Suspense a/c Cr	200 200
b)	Omission of a balance from trial balance e.g. balance of bad debts account Rs. 700 (already correctly accounted for) is not appearing in the trial balance. (it will affect trial balance only)	Bad debts a/c Dr Suspense a/c Cr	700 700
c)	Balance representing an account appearing in trial balance with less or excess (wrong) amount e.g. Building a/c balance c/f Rs. 700,000 erroneously was appearing in the Trial Balance with Rs. 70,000 (it will affect trial balance only)	Building a/c Dr Suspense a/c Cr	630,000 630,000
d)	An account was given debit effect instead of credit effect (causing difference with double amount) e.g. Sales of Rs. 800 on credit was correctly debited in Debtors a/c but was also debited to sales a/c mistakenly.	Suspense a/c Dr Sales a/c Cr	1,600 1,600
e)			

f)	A ledger account was given credit effect instead of debit effect (causing difference with double amount) e.g. Sales of Rs. 800 on credit was correctly credited in Sales a/c but was also credited in debtors' a/c mistakenly.	Debtors a/c Dr	1,600
		Suspense a/c Cr	1,600
g)	Single accounting effect, either Dr or Cr was recorded/posted in the books of account e.g. Sales of Rs. 800 on credit was posted in Sales a/c only	Debtors a/c Dr	800
		Suspense a/c Cr	800
	One of the accounting effects was recorded with wrong amount e.g. Sales of Rs. 800 on credit was correctly credited in Sales a/c but was wrongly debited to debtors' a/c with Rs. 80 only	Debtors a/c Dr	720
		Suspense a/c Cr	720

Practice 12.1

Anjum has extracted following balances from her books of accounts. She has forgotten to extract the balance from the discounts allowed account. What is the balance?

Accounting Heads	Rs.
Plant and machinery	95,000
Property	135,000
Inventory	6,400
Payables	3,600
Receivables	2,850
Bank overdraft	970
Loan	45,000
Capital	100,000
Drawings	32,000
Sales	362,000
Purchases	156,000
Purchase returns	2,200
Discounts allowed	?
Discounts received	3,500
Sundry expenses	82,500

Accounting Heads	Debit – Rs.	Credit – Rs.
Plant and machinery	95,000	
Property	135,000	
Inventory	6,400	
Payables		3,600
Receivables	2,850	
Bank overdraft		970
Loan		45,000
Capital		100,000
Drawings	32,000	
Sales		362,000
Purchases	156,000	
Purchase returns		2,200
Discounts allowed	?	
Discounts received		3,500
Sundry expenses	82,500	
Total	509,750	
Difference in Trial Balance (Discount allowed)	7,520	
Total	517,270	517,270

Practice 12.2

A trial balance has been extracted and a suspense account opened. One error relates to the mis-posting of an amount of Rs.200, being discounts received from suppliers. This was recorded on the wrong side of the discounts account.

What will be the correcting journal entry?

Suspense account Dr.	400	
Discount allowed Cr.		200
Discount received Cr.		200

Practice 12.3

Layla has recorded a payment of Rs.880 for repairs of the company van from the bank. The correct entry was made to the bank account but no other entries were made.

What would be the journal entry to correct this error?

Van repair account Dr.	880	
Suspense account Cr.		880

Practice 12.4

Dazy recorded an amount of Rs.3,000 for rent. Both the rent account and the bank account were debited. What would be the journal to correct this error?

Suspense account Dr.	6,000	
Bank account Cr.		6,000

Practice 12.5

Tipu's trial balance at 31 October 20X9 is out of agreement, with the credit side totaling Rs.1,610 less than the debit side. Upon investigation, the following errors were discovered:

1. Debit side of the purchases account for October had been overcast by Rs.1,050.
2. Rent expense of Rs.240 had been debited to the rent income account.
3. The provision for doubtful debts, which was increased by Rs.280, had been recorded in the provision for doubtful debts account as a decrease.

Following the correction of these errors, the balance on the suspense account would be:

<u>Suspense Account</u>			
Particulars	Debit Rs.	Particulars	Credit Rs.
20X9		20X9	
Purchase account over-cast	1,050	Difference b/f from TB	1,610
Provision for doubtful debts	560		
Balance	NIL		
	1,610		1,610

Practice 12.5

Rosy paid Rs. 500 for office cleaning in cash. She made the following accounting entry in her books:

Trade payables Dr.	500	
Cleaning expenses Cr.		500

What will be rectifying journal entry?

Cleaning expense Dr.	1,000	
Trade payable Cr.		500
Cash account Cr.		500

Important Tips to Remember (ITTR)

1. In certain circumstances, after rectifying all possible errors, there remains an unidentified balancing difference in the rectifying accounting entry; such effect (Dr./Cr.) shall be given to the suspense account.
2. In the questions of suspense account, sales book and purchases book are considered as Sales a/c and Purchases a/c respectively. Whereas, the correct concept is that sales book is a book of original entry and sales account is nominal ledger account representing revenue of the entity. Casting error in a book of original entry would have two-fold effects whereas, casting error in a nominal ledger account would have single effect accompanying with suspense account as balancing effect.
3. If, in a rectifying entry, any nominal accounting head, relating to Income Statement (Expense and Income) is given debit effect, it would cause a decrease in the net profit. And if credit effect is given, then there would be an increase in net profit figure that was previously calculated in presence of errors.

Profit and Loss Adjustments

	Rs.
Profit before rectification of error	**
+ Nominal a/c credited in rectifying entry	**
- Nominal a/c debited in rectifying entry	(*)
Adjusted Net Profit	***

4. If in a rectifying entry an account relating to current assets or current liabilities is given debit effect it would cause an increase in working capital. And if credit effect is given to any current asset or current liability, it would cause a decrease in working capital.
Working Capital = Current Assets – Current Liabilities.
5. When Dr. side of Trial balance exceeds its Cr. Side the difference (named as suspense a/c) appearing in Cr. side is transferred to Cr. Side of Suspense A/c and vice versa.
6. Suspense a/c balance should be eliminated after rectification of all errors, but where some balance remains untraced in the Suspense A/c and it gives a closing balance, such balance whether Dr. or Cr. Should be closed in income statement and should never be carried forward in Statement of Financial Position (Balance Sheet) as asset or liability.
7. Concept of Capital and Revenue – Expenditure/Receipts should be taken care while recognizing accounting heads as Dr. or Cr.
 - Capital expenditure – Asset
 - Revenue expenditure – Expense
 - Capital receipt – Liability or Owners' Equity
 - Revenue receipt – Income

	Capital Expenditure	Revenue Expenditure	Capital Receipt	Revenue Receipt
1. Purchase of car	★			
2. Repair of car		★		
3. Purchase of computer	★			
4. Installation of software	★			
5. Purchase of USB for data transfer		★		
6. Receipt of Loan from bank			★	
7. Receipt of service fee				★
8. Construction of store room	★			
9. Rent of store room		★		
10. Wages for machine operator		★		

Error that takes place because of wrong decision about the nature of accounting head; capital or revenue is known as error of principle.

MCQs

1. Which ONE of the following is an error of principle?

- A. A gas bill credited to the gas account and debited to the bank account
- B. The purchase of a non-current asset credited to the asset at cost account and debited to the supplier's account
- C. **The purchase of a non-current asset debited to the purchases account and credited to the supplier's account**
- D. The payment of wages debited and credited to the correct accounts, but using the wrong amount

2. Which one of the following journals is correct according to its narrative?

		Debit Rs.	Credit Rs.
A.	Sarfraz personal account	100,000	
	Directors' remuneration		100,000
	<i>Bonus allocated to account of managing director (Mr Sarfraz)</i>		
B.	Purchases	14,000	
	Wages	24,000	
	Repairs to buildings		38,000
	<i>Transfer of costs of repairs to buildings carried out by company employees using materials from inventory</i>		
C.	Discounts allowed	2,800	
	Discounts received		2,800
	<i>Correction of error: discounts allowed total incorrectly debited to discounts received account.</i>		
D.	Suspense account	20,000	
	Rent income		10,000
	Rent expense		10,000
	<i>Correction of error: rent received credited in error to rent expense account.</i>		

3. A trial balance extracted from a sole trader's records failed to agree, and a suspense account was opened for the difference. Which of the following errors would require an entry in the suspense account in correcting them?

1. Discount allowed was mistakenly debited to discount received account.
 2. Cash received from the sale of a non-current asset was correctly entered in the cash book but was debited to the disposal account.
 3. The balance on the rent account was omitted from the trial balance.
 4. Goods taken from inventory by the proprietor had been recorded by crediting drawings account and debiting purchases account.
- A. All four items
 - B. **2 and 3 only**
 - C. 2 and 4 only
 - D. 1 and 3 only

4. A trial balance shows a total of debits of Rs.347,800 and a total of credits of Rs.362,350.

After adjusting for the following errors, what is the balance on the suspense account?

1. A credit sale of Rs.3,670 was incorrectly entered in the sales day book as Rs.3,760.
2. A non-current asset with a carrying value of Rs.7,890 was disposed of for Rs.9,000. The only accounting entry was to debit cash.
3. The provision for doubtful debts was increased from Rs.8,900 to Rs.10,200. The allowance account was debited in error.

A. Rs.26,150 debit

B. Rs.26,060 debit

C. Rs.26,240 debit

D. Rs.2,950 credit

Explanation:

1. **There will be no effect as the error is in the book of original entry that will require rectification of double entry with same amount**
2. **Debit suspense account with 9,000 and credit disposal account**
3. **Difference of 1,300 needs to be credited twice in the provision for doubtful debts account and debit 2,600 to suspense account.**

5. The trial balance of Bab-al-Shams shows total debits of Rs.125,819 and total credits of Rs.118,251. Which of the following explains the difference in full?

- A. Discounts allowed of Rs.3,784 have been shown on the wrong side of the trial balance.
- B. Discounts received of Rs.3,784 have been credited to the payables ledger control account.
- C. The sales day book has been undercast by Rs.7,568.
- D. An opening accrual of Rs.7,568 has been omitted from the rental expense account.**

This information is relevant to the following TWO questions:

A company's draft financial statements for 20X5 showed a profit of Rs.630,000. However, the trial balance did not agree, and a suspense account appeared in the company's financial statements. Subsequent checking revealed the following errors:

1. The cost of an item of plant Rs.48,000 had been entered in the cash book and in the plant account as Rs.4,800. Depreciation at the rate of 10% per year (Rs.480) had been charged.
2. Bank charges of Rs.440 appeared in the bank statement in December 20X5 but had not been entered in the company's records.
3. One of the directors paid Rs.800 due to a supplier in the company's payables ledger by a personal cheque. The bookkeeper recorded a debit in the supplier's ledger account but did not complete the double entry for the transaction (The Company does not maintain a payables ledger control account).
4. The payments side of the cash book had been understated by Rs.10,000.

6. Which of the above items would require an entry to the suspense account in correcting them?

- A. All four items
- B. 3 and 4 only**
- C. 2 and 3 only
- D. 1, 2 and 4 only

7. What would the company's profit become after the correction of the above errors?

- A. Rs.634,760
- B. Rs.624,760
- C. Rs.624,440
- D. Rs.625,240**
(630,000 – 4,320 depreciation less charged – 440 bank charges not recorded)

CHAPTER – 13

FINAL ACCOUNTS WITH ADJUSTMENTS

Sr. No	Course Outline Topics
1	Preparation of Final Accounts
2	Practice - Adjustments for Fixed Assets – Rectification of Errors
3	How to Read Trial Balance Prior to Preparing Final Accounts
4	Adjusting Entries Prior to Preparing Final Accounts
5	Practice: BRS - Provision for Doubtful Debts - Claim against Loss
6	Important Tips to Remember

Topic115 – 120 are included in this chapter.

Preparation of Final Accounts

Preparation of final accounts means to prepare certain financial statements at the end of reporting period in order to achieve certain objective from the perspective of user group. Mostly the sole proprietors prepare following two financial statements as final accounts.

3. Income statement (Statement of profit or loss and other comprehensive income)

4. Balance sheet (Statement of financial position)

According to International Accounting Standard (IAS) 1, there are five components of financial statements; 1) Statement of Financial Position 2) Statement of Profit or Loss and Other Comprehensive Income 3) Statement of Cash Flows 4) Statement of Changes in equity and 5) Notes to the Financial Statements.

Income statement (Statement of Profit or Loss and Other Comprehensive Income) is prepared to know the financial performance of an entity. Financial performance refers to the profitability (profit or loss) of entity during an accounting period i.e., a year.

This is prepared with the help of all ledger account balances relating to incomes & expenses appearing in the trial balance. Income statement is prepared for a specific period for which starting and ending dates are defined, normally a year of 12 months, also known as reporting period.

Remember this equation:	Incomes – Expenses = Profit
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Balance sheet (Statement of Financial Position) is prepared to know the financial position of an entity. Financial position refers to the financial strength of entity on a specific date. Normally it is prepared at the end of reporting period, which is known as reporting date or balance sheet date.

Financial strength of an entity is ascertained through the sum of total assets (resources) and the sum of total financial sources required to finance these assets i.e. owners' equity and liabilities (sources).

Remember this equation:	Assets = Owners equity + Liabilities
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Techniques to prepare final accounts / financial statements

It is important here to recall the accounting cycle i.e.;



Preparation of final accounts comes after extracting trial balance from ledgers. The technique to prepare final accounts is nothing but to read trial balance very carefully, identify the nature of accounting head correctly, and place its balance in the appropriate part of income statement and balance sheet.

Important tip to follow is to mark E/I/A/L/O while reading trial balance and then pass journal entries for adjustment. We shall practice these two techniques in the following section.

Practice 13.1**(Emphasizing on adjustment for fixed assets and rectification of errors)**

Following is the Trial Balances as on **31.3.20X9** extracted from the books of Sheikh, who carries on business under the name and style of Al-Fanar Stores., at Lahore:

Particulars	Dr. (Rs)	Cr. (Rs)	Particulars	Dr. (Rs)	Cr. (Rs)
Cash in hand	1,400		Interest on loan from Bhutta	2,700	
Cash at bank	2,600		Rates & taxes	2,100	
Sundry debtors	86,000		Discount allowed to Debtors	2,400	
Stock on 1.4.20X8	62,000		Discount received from creditors		1,600
Furniture & fixtures	25,000		Freight on purchases	400	
Depreciation (F&F)		3,600	Carriage inwards	800	
Equipment (Depreciation 4,000)	16,000		Carriage outwards	2,000	
Buildings (cost)	60,000		Drawings	12,000	
Motor car (Cost 30,000)	20,000		Printing and stationery	1,800	
Sundry creditors		43,000	Electricity charges	2,200	
12% Loan from Bhutta		30,000	Insurance premium	5,500	
Provision for bad debts		3,000	General office expenses	3,000	
Purchases	140,000		Bad debts	2,000	
Purchase returns		2,600	Bank charges	1,600	
Sales		230,000	Motor car expenses	3,600	
Sales returns	4,200		Capital A/c		162,000
Salaries	11,000				
Rent for godown	5,500		TOTAL	475,800	475,800

Prepare Income Statement for the year ended 31st March, 20X9 and the Statement of Financial Position (Balance Sheet) as at that date after making adjustments for the following information:

- Depreciate: (a) Building by 5% on reducing balance method; (b) Furniture and fixtures by 10% on reducing balance method; One steel table purchased during the year for Rs 1,400 was sold for same price but the sale proceeds were wrongly credited to Sales Account; (c) Office equipment by 15% on straight line method; Purchase of a typewriter during the year for Rs 4,000 has been wrongly debited to purchase; and (d) Motor car by 20% on reducing balance method; A fully depreciated motor car, original cost Rs. 5,000 was sold during the year. The proceeds of Rs. 1,000 were credited to sales account, no other accounting entries for disposal were recorded. During the year a motor car was purchased for Rs. 10,000 on credit, this remained unrecorded.
- Value of stock on reporting date was Rs 44,000.
- One month's rent for godown is outstanding,
- One month's salary is outstanding.
- Interest on loan from Bhutta is payable at 12 percent per annum, this loan was taken on 1.5.20X8.
- Provision for bad debts is to be increased by Rs. 1,500
- Insurance premium includes Rs 4,000 paid towards proprietor's life insurance policy and the balance of the insurance charges cover the period from 1.4.20X8 to 30.6.20X9.
- Building was bought during the reporting period, half of which is used for residential purpose by Sheikh.
- Discount allowed to debtors Rs. 600 has been wrongly debited to discount allowed by the creditors.

Trial Balance

Mark – AEILO

Particulars	Dr. (Rs)	Cr. (Rs)	Particulars	Dr. (Rs)	Cr. (Rs)
Cash in hand A	1,400		Interest on loan from Bhutta E	2,700	
Cash at bank A	2,600		Rates & taxes E	2,100	
Sundry debtors A	86,000		Discount allowed to Debtors E	2,400	
Stock on 1.4.20X8 E	62,000		Discount received from creditors I		1,600
Furniture & fixtures A	25,000		Freight on purchases E	400	
Depreciation (F&F) -A		3,600	Carriage inwards E	800	
Equipment (Depreciation 4,000) A, -A	16,000		Carriage outwards E	2,000	
Buildings (cost) A	60,000		Drawings -0	12,000	
Motor car (Cost 30,000) A, -A	20,000		Printing and stationery E	1,800	
Sundry creditors. L		43,000	Electricity charges E	2,200	
12% Loan from Bhutta L		30,000	Insurance premium E	5,500	
Provision for bad debts -A		3,000	General office expenses E	3,000	
Purchases E	140,000		Bad debts E	2,000	
Purchase returns -E		2,600	Bank charges E	1,600	
Sales I		230,000	Motor car expenses E	3,600	
Sales returns -I	4,200		Capital account 0		162,000
Salaries E	11,000				
Rent for godown E	5,500		TOTAL	475,800	475,800

Adjusting Entries

1. Depreciation expense for the year

Name of Assets	Furniture & Fixture 10 % R B M	Equipment 15% Straight line	Building 5 % R B M	Motor car 20 % R B M
Cost Opening	25,000	20,000	30,000	30,000
Addition	-	4,000	-	10,000
Deletion /Disposal	(1,400)	-	-	(5,000)
Closing Balance	23,600	24,000	30,000	35,000
Acc. Dep. Opening	3,600	4,000	-	10,000
Disposal	-	-	-	(5,000)
For the year	2,000	3,600	1,500	6,000
Closing balance	(5,600)	(7,600)	(1,500)	(11,000)
Net Book Value	18,000	16,400	28,500	24,000

Depreciation expense	E	Dr.	13,100	
Accumulated Depreciation – Furniture			Cr. – A	2,000
Accumulated Depreciation – Equipment			Cr. – A	3,600
Accumulated Depreciation – Building			Cr. – A	1,500
Accumulated Depreciation – Motor Car			Cr. – A	6,000
Sales account	– I	Dr.	1,400	
Furniture & Fixture account			Cr. – A	1,400
Office equipment	A	Dr.	4,000	
Purchases account			Cr. – E	4,000
Motor car	A	Dr.	10,000	
Creditors for motor car			Cr. L	10,000
Accumulated depreciation motor car	A	Dr.	5,000	
Sales	– I	Dr.	1,000	
Motor car			Cr. – A	5,000
Profit on disposal of motor car			Cr. I	1,000

2. Closing Stock

Closing Stock	A	Dr.	44,000	
Cost of goods sold	-E	Cr.		44,000

3. Outstanding rent for godown – one month = 500 (5,500 = 11 months)

Rent for godown	E	Dr.	500	
Rent payable / owing	L	Cr.		500

4. Outstanding salaries – one month = 1,000 (11,000 = 11 month)

Salaries	E	Dr.	1,000	
Salaries payable / owing	L	Cr.		1,000

5. Interest on loan @ 12% (30,000) = 3,600 x 11/12 = 3,300 – 2,700 = 600

Interest on loan	E	Dr.	600	
Interest payable	L	Cr.		600

6. Increase in provision for doubtful debts

Bad debts	E	Dr.	1,500	
Provision for doubtful debts	-A	Cr.		1,500

7. Insurance premium includes insurance for proprietor

Drawings	-0	Dr.	4,000	
Insurance premium	E	Cr.		4,000

Insurance prepaid for 3 months (1,500 x 3/15 = 300)

Prepaid Insurance	A	Dr.	300	
Insurance premium	E	Cr.		300

8. Half of the building purchased during the year is being used by owner for personal use

Drawings account	-0	Dr.	30,000	
Building account	-A	Cr.		30,000

9. Discount allowed wrongly debited to discount received

Discount allowed	E	Dr.	600	
Discount received	I	Cr.		600

AI – Fanar Stores
Income Statement
For the Year Ended on 31 March 20X9

	Rs.	Rs.	Rs.
Sales (W-4)			223,400
Cost of Goods Sold			
Opening Stock		62,000	
Purchases (W-5)	133,400		
Freight	400		
Carriage inwards	<u>800</u>	134,600	
Closing Stock		<u>(44,000)</u>	<u>(152,600)</u>
Gross Profit			70,800
Operating Expenses			
Salaries	(11,000 + 1,000)	12,000	
Rent for Godown	(5,500 + 500)	6,000	
Interest on Loan	(2,700 + 600)	3,300	
Rates and Taxes		2,100	
Discount to Debtors	(2,400 + 600)	3,000	
Carriage outwards		2,000	
Printing & Stationery		1,800	
Electricity charges		2,200	
Insurance premium (W-6)		1,200	
General office Expenses		3,000	
Bad debts (W-2)		1,500	
Bank charges		1,600	
Motorcar Expenses		3,600	
Depreciation		<u>13,100</u>	<u>56,400</u>
Operating Profit			14,400
Other Income			
Discount Received	(1,600 + 600)	2,200	
Profit on Sale of Motor		<u>1,000</u>	<u>3,200</u>
Net Profit			<u>17,600</u>

Statement of Financial Position

As At March 31, 20X9

		Rs.	Rs.
Assets			
Fixed Assets			
Furniture & Fixture	(W -1)	18,000	
Equipment	(W - 1)	16,400	
Building	(W - 1)	28,500	
Motor Car	(W - 1)	<u>24,000</u>	86,900
Current Assets			
Stock		44,000	
Trade Debtors	(W - 3)	83,500	
Prepaid Insurance	(W - 6)	300	
Cash in hand		1,400	
Cash at Bank		<u>2,600</u>	<u>131,800</u>
			<u>218,700</u>
Owners' Equity			
Capital		162,000	
Net profit		17,600	
Drawing	(W – 7)	<u>(46,000)</u>	133,600
Liabilities:			
Long Term			
Loan from Bhutta		30,000	
Current Liabilities			
Creditor for motor car		10,000	
Trade Creditors		43,000	
Outstanding Expense		1,500	
Interest on loan payable		<u>600</u>	<u>85,100</u>
			<u>218,700</u>

Working Notes:**W – 1****Fixed Asset and Depreciation**

Name of Assets	Furniture & Fixture 10 % R B M	Equipment 15% Straight line	Building 5 % R B M	Motor car 20 % R B M
Cost Opening	25,000	20,000	30,000	30,000
Addition	-	4,000	-	10,000
Deletion /Disposal	(1,400)	-	-	(5,000)
Closing Balance	23,600	24,000	30,000	35,000
Acc. Dep. Opening	3,600	4,000	-	10,000
Disposal	-	-	-	(5,000)
For the year	2,000	3,600	1,500	6,000
Closing balance	(5,600)	(7,600)	(1,500)	(11,000)
Net Book Value	18,000	16,400	28,500	24,000

W – 2*Provision for Doubtful Debts*

	Rs.		Rs.
Bad debts transferred	2,000	Balance b/f	3,000
Balance c/f	2,500	Bad debts	1,500
	<u>4,500</u>		<u>4,500</u>

Bad debts

	Rs.		Rs.
Debtors	2,000	Provision for D Debts	2,000
Provision increased by	1,500	Income Statement	1,500
	<u>3,500</u>		<u>3,500</u>

W – 3**Rs.**

Sundry Debtor	86,000
Provision for bad debts	<u>(2,500)</u>
	<u>83,500</u>

W – 4 Sales

Sale – Sale Return – Furniture – Profit & Loss A/c.
= 230,000 – 4,200 – 1,400 – 1,000
= 223,400

W – 5

Net Purchase
Purchase – Purchase return – office equipment
= 140,000 – 2,600 – 4,000

W – 6

Insurance prepaid
= 5,500 – 4,000
= 1,500 × 3/15 = 300
Insurance Premium
1,500 – 300 = 1,200

W – 7

Drawings 12,000 + 4,000 + 30,000 = 46,000

Practice 13.2***(Emphasizing on adjustment; bank reconciliation - provision for doubtful debts - claim against losses)***

Following is the trial balance extracted from the books of Decent Traders as on December 31, 20X9.

	Dr. Rs	Cr. Rs.
Capital account		1,318,000
Drawing account	129,000	
Building	500,000	
Showroom racks	285,400	
Furniture & fixture	25,000	
Staff advance	17,400	
Provision for doubtful debts		39,400
Export sales		100,000
Local sales		2,189,400
Administrative expenses	659,600	
Bank overdraft (HBL)		2,400
Marketing expenses	20,000	
Cost of goods sold	1,027,400	
Sundry debtors	744,000	
Sundry creditors		243,400
Stock	200,000	
Cash at bank (MCB)	260,000	
Cash in hand	24,800	
TOTAL	<u>3,892,600</u>	<u>3,892,600</u>

Following adjustments are to be incorporated in the books:

- Charge depreciation at 10% on building, showroom racks and furniture & fixture
- Sundry debtors include:
 - A customer who is in default for Rs. 44,000 and expected recovery from him is not more than 75%;
 - A customer owing Rs. 25,000 who is also a creditor for Rs. 30,000 (however setoff is not required)
 - General provision for doubtful debts is to be calculated @ 5% of sundry debtors.
- Provision for income tax is to be accounted for @ 40% of the net profit.
- Balance as per bank statement received from MCB on 31 December 20X9 was different because of following reasons:

Un presented cheques	Rs. 8,000
Un collected cheques	Rs. 3,000
Un recorded standing orders (paid for trade subscription)	Rs. 2,000
Un recorded credit transfers (building rent realized)	Rs. 6,000
- Goods valuing Rs. 10,000 were destroyed by fire and insurance company has admitted the claim for Rs. 7,500, no accounting entry has been passed for loss and claim.

You are required to prepare Income Statement for the year ended December 31, 20X9 and Statement of Financial Position (Balance Sheet) as at that date.

Decent Trader
Income Statement

For the Year Ended December 31, 20X9			
	Rs.	Rs.	Rs.
Sales			
Local sales		2,189,400	
Export sales		100,000	2,289,400
Cost of Goods Sold – (W - 5)			<u>(1,017,400)</u>
Gross Profit			1,272,000
Administrative Expenses	659,600		
Marketing expense	<u>20,000</u>		
Operating Expenses		679,600	
Deprecation – (W - 1)		81,040	
Bad debts – (W- 2)		5,350	
Loss of goods – (W - 5)		2,500	
Trade subscription (Order)		2,000	<u>(770,490)</u>
Operating Profit			501,510
Other Incomes			
Rent realized (credit transfer)			<u>6,000</u>
Net Profit before Tax			507,510
Income Tax Provision (W - 4)			<u>(203,004)</u>
Net Profit after Tax			<u><u>304,506</u></u>

Decent Trader

Statement of Financial Position (Balance Sheet)			
As at December 31, 20X9			
		Rs.	Rs.
Assets			
Fixed Asset			
Building	(W - 1)	450,000	
Showroom Stock	(W - 1)	256,860	
Furniture & Fixture	(W - 1)	22,500	729,360
Current Assets			
Closing Stock		200,000	
Insurance Claim	(W - 5)	7,500	
Staff Advance		17,400	
Debtors	(W - 2)	699,250	
Cash at Bank	(W - 4)	264,000	
Cash in hand		24,800	<u>1,212,950</u>
			<u><u>1,942,310</u></u>
		Rs.	Rs.
Owners' Equity			
Capital		1,318,000	
Net profit		304,506	
Drawing		(129,000)	1,493,506
Liabilities:			
Provision for Income Tax		203,004	
Bank Overdraft		2,400	
Sundry Creditors		243,400	<u>448,804</u>
			<u><u>1,942,310</u></u>

Workings:**W – 1**

Depreciation	Rate	Cost Rs.	Depreciation Rs.	N.B.V. Rs.
Building	@ 10 %	500,000	50,000	450,000
Show room Racks	@ 10 %	285,400	28,540	256,860
Furniture & Fixture	@ 10 %	25,000	2,500	22,500
		810,400	810,40	729,360

W – 2

		Rs.
Total Debtor		<u>744,000</u>
Provision for doubtful debts		
Goods debtors 25,000 x 0%	=	0
Specific debtors 44,000 x 25%	=	11,000
General debtors 675,000 x 5%	=	<u>33,750</u>
		<u>44,750</u>
Net Debtors	= 744,000 – 44,750	= <u>699,250</u>
Bad debts to be reported in Income Statement = 44750 - 39,400 = 5350		

W – 3

Cash Book (MCB)			
	Rs.		Rs.
B/f	260,000	Standing order	2,000
Direct credit	<u>6,000</u>	C /f	<u>264,000</u>
	<u>266,000</u>		<u>266,000</u>

W – 4

Income Tax 474,110 x 40 % = Rs. 189,644

W – 5

	Rs.	Rs.
Loss by fire	2,500	
Insurance Claim	<u>7,500</u>	
Purchases		10,000
Cost of Goods Sold		1,027,400
Less: Loss of Goods by fire		<u>(10,000)</u>
		<u>1,017,000</u>

Important Tips To Remember (ITTRs)

1. While reading the trial balance mark each accounting head as A-E-I-L-O for **A**ssets, **E**xpense, **I**ncomes, **L**iabilitys and **O**wners equity items.
2. If both sides of a trial balance are equal then Expenses and Assets would always be appearing in the debit side whereas; Incomes, Liabilities and owners' equity would always be appearing in the credit side of trial balance. Each accounting head appears in the side of its own nature.
3. Take care of the contra items like purchase return, sales return, drawing, provision for doubtful debts, provision for depreciation. Balances of these accounting heads would always appear in the side opposite to the nature of their main head.
4. Items appearing in trial balance would have single effect in the Income Statement or Statement of Financial Position (balance sheet) because its second effect has already been recorded e.g.
 - a. *prepaid salary account* appearing in debit side of trial balance is recognized in balance sheet as asset only because its second effect has already been credited to the salaries expense.
 - b. *accrued rent account* appearing in credit side of trial balance is recognized in balance sheet as liability only because its second effect has already been debited to rent expense.
 - c. *depreciation account* appearing in debit side of trial balance is recognized in the income statement as expense only because its credit effect has already been credited to the provision for depreciation account
5. Trial balance is prepared on end of the reporting period (closing date), therefore each accounting head in trial balance would be revealing its closing balance except;
 - a. *capital accounts* that would always be giving opening balance because its closing balance would be ascertained after adjusting net profit or loss in it and subtracting drawings,
 - b. *provision for depreciation account* would be opening balance if and only if depreciation expense for the year has not yet been accounted for and its adjustment is required outside the trial balance,
 - c. *provision for doubtful debts account* would also be showing opening balance in the trial balance if and only if its adjustment is required outside the trial balance
6. Each adjustment appearing outside the trial balance would have two-fold effects debit and credit; in case of a difficult adjustment please be-careful that only two effects shall be recognized with equal amounts. For this purpose, always recall the rules of Dr & Cr.
7. If adjusted purchases or cost of goods sold is appearing in trial balance; it means that opening stock has already been added in it and closing stock has already been subtracted from it. In this case the stock appearing in trial balance shall be the closing stock and shall have single effect only i.e., it shall be shown as an item of current assets in the Statement of Financial Position (balance sheet).
8. Concept of direct and indirect expense does not exist in financial accounting language. Cost of goods sold expenses are wrongly termed as direct expenses whereas all operating expenses are wrongly termed as indirect expenses which is entirely baseless concept created and propagated by orthodox authors.
9. For classification purposes all expenses are categorized into five functions;
 - i. Cost of goods sold expense,
 - ii. Administrative expense,
 - iii. Selling and distribution expense
 - iv. Financial expense and
 - v. Income tax expenses.

10. Cost of goods sold includes all those expenses which are incidental to the purchase of goods for reselling purpose and also for bringing those goods into saleable condition.
11. For trading entities, wages should not be classified as an item of COGS, rather it should be taken as administrative or selling expense. Wages expense shall be included in COGS of manufacturing entities only.
12. Wages & salaries account or salaries & wages account appearing in trial balance of a trading entity often cause a confusion among the students that which account should be included in COGS and which should be included in operating expense; remember, arrangement (transposition) of these words have no impact on functional classification of expense, these shall be recognized as operating expenses.
13. Administrative and selling expenses; together are known as operating expense. For the purpose of income statement of sole proprietorship and partnership; financial expense like bank charges and interest on loan may also be grouped in operating expense.
14. Accrued/Owing/Due/Outstanding/Payable Expenses: It means expenses incurred but not yet paid till the end of accounting period. If accrued expenses are found in adjustments then these should be added in particular expense given in trial balance to report expense in Income Statement. In balance sheet amount of accrued expenses also be shown as liability. Following adjusting entry is passed for accrued expense.

Particular Expense A/C

To Accrued Expense A/c

15. Accrued/Owing/Due/Outstanding/Receivable Income: It means income earned but not yet received till the end of accounting period. If accrued incomes are found in adjustments then these should be added in particular income given in trial balance to report income in Income Statement. In balance sheet amount of accrued incomes also be shown as asset. Following adjusting entry is passed for accrued income.

Accrued Income A/C

To Particular Income A/c

16. Prepaid/Advance/Unexpired/Paid in advance Expenses: If prepaid expenses are found in adjustments then these should be deducted from particular expense given in trial balance to report expense in Income Statement. In balance sheet amount of Prepaid expenses also be shown as asset. Following adjusting entry is passed for prepaid expense.

Prepaid Expense A/C

To Particular Expense A/c

17. Unearned/Prepaid/Advance Income: It means income received in advance but not yet earned till the end of accounting period. If unearned incomes are found in adjustments then these should be deducted from particular income given in trial balance to report income in Income Statement. In balance sheet amount of Unearned income also be shown as liability. Following adjusting entry is passed for unearned income.

Particular Income A/C

To Unearned Income A/c

1. The following is an extract from the trial balance of Gardeners:

	Dr Rs.	Cr Rs.
Non-current assets	50,000	
Inventory	2,600	
Capital		28,000
Receivables	4,500	
Allowance for receivables		320
Cash	290	
Payables		5,000
Sales		120,000
Purchases	78,900	
Rental expense	3,400	
Sundry expenses	13,900	
Bank interest		270
	153,590	153,590

1. Rent of Rs.200 has been prepaid.
2. Inventory at the end of the year was Rs.1,900.
3. The allowance for receivables is to be Rs.200.

What is the profit for the year?

- A. Rs.23,690
- B. Rs.23,610
- C. Rs.23,100
- D. Rs.25,500

Draft Income Statement for the year	Rs.	Rs.
Sales		120,000
Cost of goods sold		
Opening inventory	2,600	
Purchases	78,900	
Closing inventory	-1,900	-79,600
Gross Profit		40,400
Bank interest income		270
Operating expenses		
Rent expense (3,400 – 200)	3,200	
Sundry expense	13,900	
Decrease in provision for doubtful debts	-120	-16,980
Net profit		23,690

2. The following year-end adjustments are required:

- Closing inventory of Rs.45,700 to be recorded.
- Depreciation at 20% straight line to be charged on assets with a cost of Rs.470,800.
- An Irrecoverable debt of Rs.230 to be written off.
- Unearned income of Rs.6,700 to be recorded.

What is the impact on net assets of these adjustments?

- A. Rs.55,390 increase
- B. Rs.55,390 decrease
- C. Rs.41,990 decrease
- D. Rs.41,990 increase

3. Following is an extract of trial balance prepared by inexperienced accountant of Akbary Traders. Prepare a Correct Trial Balance and trace the difference?

	Dr Rs.	Cr Rs.
Premises	500,000	
Provision for depreciation		120,000
Inventory		23,000
Capital	200,000	
Bank Loan		105,000
Receivables	43,500	
Carriage in		1,500
Allowance for receivables		3,400
Bank overdraft	1,010	
Payables		35,900
Sales		500,080
Cost of Sales	359,700	
Sales returns	10,300	
Sundry expenses	14,000	
Discounts allowed		1,340

A. RS.15,710 Dr
 B. RS.14,730 Dr
 C. **RS.12,050Dr**
 D. RS.33,630 Dr

Corrected Trial Balance	Dr. Rs	Cr. Rs
Premises	500,000	
Provision for depreciation		120,000
Inventory	23,000	
Capital		200,000
Bank Loan		105,000
Receivables	43,500	
Carriage inwards	1,500	
Allowance for receivables		3,400
Bank Overdraft		1,010
Payables		35,900
Sales		500,080
Cost of Sales	359,700	
Sales returns	10,300	
Sundry Expenses	14,000	
Discount allowed	1,340	
Difference	12,050	
Total	965,390	965,390

CHAPTER - 14

MANUFACTURING ACCOUNT

Sr. No	Course Outline Topics
1	Reporting Requirements of Manufacturing Entities
2	Classification and Analysis of Cost of Production
3	Manufacturing Cycle
4	Types of Inventories
5	Format of Financial Statements of a Manufacturing Entity
6	Manufacturing Account Without Work in Process Inventory
7	Manufacturing Account with Work in Process Inventory

Topic 121 – 127 are included in this chapter.

Reporting requirements of Manufacturing Entities

Manufacturing entities are always concerned about reporting of cost incurred for production of goods. This cost is incurred during the process of converting raw material into finished goods. For better understanding of the process of conversion from raw material into finished goods; we should first concentrate on the difference between trading entities and manufacturing entities.

Trading entities purchase goods in finished form, make those goods available in the showroom, do marketing to sell those goods to the customers. Examples include; importers, exporters, wholesalers and retailers. They do not enter into any process of reforming the finished goods. Showcasing, marketing and selling techniques may differ from trader to trader but these techniques do not include any process to modify or amend the product.

Manufacturing entities enter into a process through which raw-material is put into workshop where certain other costs are incurred to convert that raw-material into finished products. Examples include; furniture manufacturers, jewelry makers, bakery confectioners and construction contractors. Manufacturing entities also include the entities which do not convert raw-material into a finished product but they modify or improve the form of a product to be suitable for a potential customer. Examples include; rice mills, electrical fittings, canned food activities, and embroiders.

Accountants of trading entities split income statement into two main parts i.e., *“trading account”* and *“profit and loss account”*. Whereas, accountants of manufacturing entities prepare *“manufacturing account”* in addition to trading and profit & loss account. Manufacturing account consolidates all the production costs that are incurred to bring a product into saleable condition. These costs are categorized as; *“direct cost”* and *“indirect cost”*. Direct cost includes; direct material, direct labour and other direct costs that can be independently traced as product cost. Indirect cost includes; factory overhead cost also known as product overhead cost. It is also a product cost but cannot be independently traced or identified in the cost of the product e.g., electricity bill of workshop, depreciation of production plant, rent of factory building.

Manufacturing account is prepared to produce *“cost of goods manufactured”* that is then transferred to the trading account as a substitute of purchases expense – in the case of trading entities. In the trading account of a manufacturing entity, cost of goods manufactured is adjusted with opening and closing balances of finished goods inventory, just like in case of a trading entity; purchases expense is adjusted with opening and closing inventories.

Manufacturing entities carry three types of inventories i.e., material inventory, work in process inventory, and finished goods inventory. Material and work in process inventories are treated in manufacturing account, whereas, finished goods inventories are treated in trading account.

Classification and Analysis of Cost of production

Material cost	=	Direct material cost	+	Indirect material cost
+		+		+
Labour cost	=	Direct labour cost	+	Indirect labour cost
+		+		+
<u>Other costs</u>	=	<u>other Direct costs</u>	+	<u>other Indirect cost</u>
Total cost of production	=	<u>Prime cost</u>	+	<u>Factory overhead cost</u>

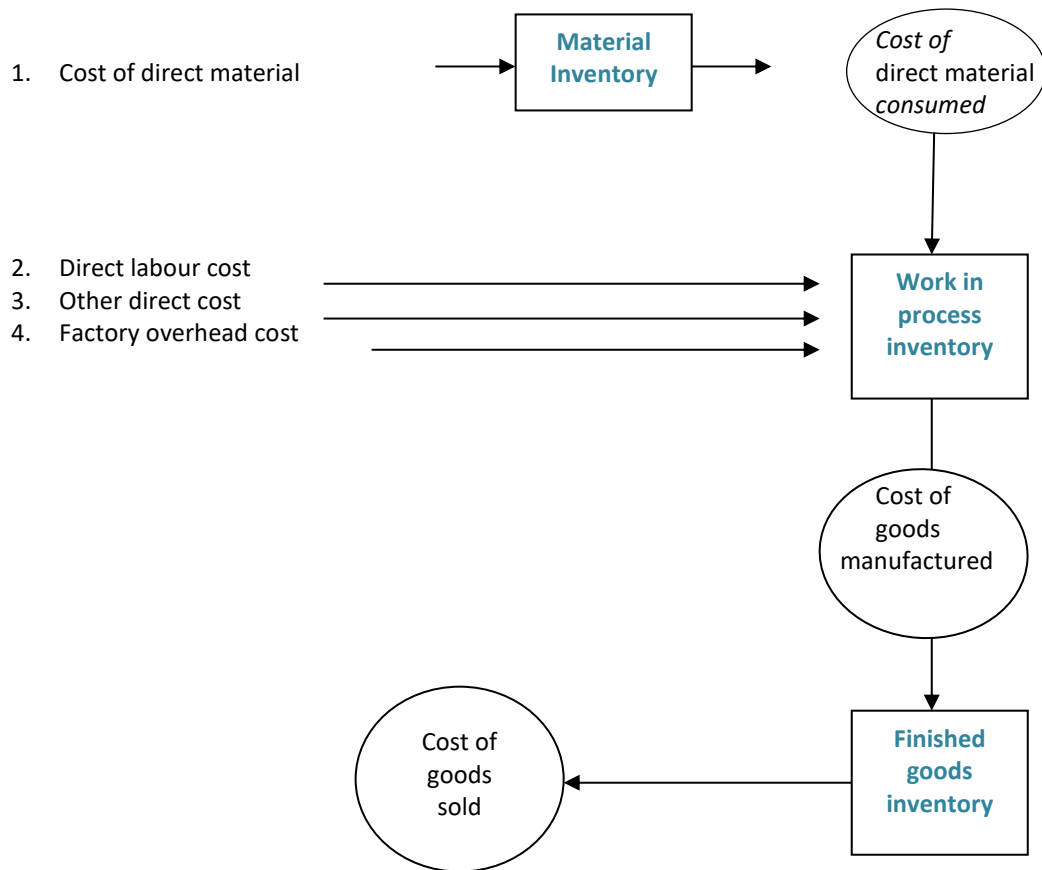
Other direct costs are those costs (other than direct material and direct labour) that have been incurred in full as a direct consequence of making a product or providing a service and can be identified independently in the cost of product. Examples include; the cost of specific tools, maintenance of specific jigs, and royalty at production level etc.

Difference between cost and expense Cost that expires is expense. Here question arises that why “direct material consumed” “direct labour” “factory overhead” “total Manufacturing” etc. are termed as “cost” whereas, these have already been incurred. Remember; these are incurred not expired. The cost that is incurred and also has expired during the accounting period is expense.

The cost of goods manufactured is transferred to finished goods inventory, unless it is sold it remains in the category of cost. The sooner these finished goods are sold, these become expense and the unsold finished goods are asset. This is because the entity obtains economic benefit upon expiry of the cost of produced goods by selling those to the customers.

That’s why any component of the cost of production is not termed as expense. Whereas, “cost of goods sold” is expense (despite the fact that word “cost” is used in it)

MANUFACTURING CYCLE



Types of inventories

There are three types of inventories that can be identified in a manufacturing entity.

1. **Material and supplies inventory:** This is the inventory for raw materials, store items, spare parts and indirect materials that are used in production. It is the cost that represents un-consumed materials and supplies laying in the stores at the end of the reporting period.
2. **Work in process inventory:** This is the inventory of semi-finished goods. It is the cost that represents work in process, which remained semi-finished at the end of the reporting period; a further cost is still required to be incurred on this type of inventory in order to convert it into finished goods.
3. **Finished goods inventory:** This is the inventory of completed products, which are ready for sale. Finished goods inventory is the value of those fully manufactured products, which remained unsold at the end of the reporting period.

Format of financial statements of a manufacturing entity

Manufacturing Account:

Sample Company
Manufacturing Account
For the year ended 31st. December 20X9

	Rs.	Rs.	Rs.
Direct material consumed			
Opening inventory		***	
Purchases of raw material	***		
Returns outwards	(**)		
Carriage inwards	***		
Other receiving and handling cost of material	***		
Cost of material available for use		***	
Closing inventory		(**)	***
Direct labour			***
Other Direct cost			***
Prime cost			***
Factory overhead cost			
Indirect material		***	
Indirect labour		***	
Power & fuel		***	
Factory depreciation		***	
Other factory expenses		***	***
Total factory cost / manufacturing cost/production cost			***
Opening work in process inventory			***
Total cost put into process			***
Closing work in process inventory			(**)
Cost of goods manufactured			***

Trading Account:

Sample Company
Trading account
For the year ended 31st. December 20X9

	Rs.	Rs.
Sales	***	
Returns inwards	(**)	***
Cost of goods sold		
Opening finished goods inventory	***	
Cost of goods manufactured	***	
Cost of goods available for sale	***	
Closing finished goods inventory	(**)	(**)
Gross profit		***

Conversion cost:

Conversion cost is the cost incurred to convert raw material to finished goods.

Conversion cost = Direct labor cost + Factory overhead cost

Practice 14.1

Prepare cost of goods manufactured of Sandhu Sports for the year ended 31st. March 20X9:

	Rs.
Stock of raw material (opening)	1,500
Stock of raw material (closing)	2,100
Raw material purchases	24,000
Carriage inwards	1,000
Direct manufacturing wages	40,000
Royalty at production stage	5,000
Indirect manufacturing wages	12,000
Factory building rent	18,000
Depreciation plant & machinery	2,000
Other indirect factory cost	10,500

Opening and closing work in process inventories do not exist in this reporting period

**Sandhu Sports
Manufacturing Account
For the year ended 31st. March 20X9**

	Rs.	Rs.	Rs.
Direct material consumed cost			
Opening inventory		1,500	
Purchases of raw material	24,000		
Carriage inwards	<u>1,000</u>	25,000	
Closing inventory		<u>(2,100)</u>	24,400
Direct labour cost			40,000
Other direct cost (Royalty)			<u>5,000</u>
Prime cost			69,400
Factory overhead cost			
Indirect labour		12,000	
Factory building rent		18,000	
Depreciation plant & machinery		2,000	
Other indirect factory cost		<u>10,500</u>	<u>42,500</u>
Total factory cost			111,900
Opening work in process inventory			0
Closing work in process inventory			<u>(0)</u>
Cost of goods manufactured			<u>111,900</u>

Practice 14.2

Assuming the same data as given in Practice 14.1; prepare cost of goods manufactured, assuming the cost of opening work in process inventory is Rs.12,000 and the cost of closing work in process inventory is Rs.10,900.

Sandhu Sports			
Manufacturing Account			
For the year ended 31st. March 20X9			
	Rs.	Rs.	Rs.
Direct material consumed cost			
Opening inventory		1,500	
Purchases of raw material	24,000		
Carriage inwards	<u>1,000</u>	25,000	
Closing inventory		<u>(2,100)</u>	24,400
Direct labour cost			40,000
Other direct cost (Royalty)			<u>5,000</u>
Prime cost			69,400
Factory overhead cost			
Indirect labour		12,000	
Factory building rent		18,000	
Depreciation plant & machinery		2,000	
Other indirect factory cost		<u>10,500</u>	<u>42,500</u>
Total factory cost			111,900
Opening work in process inventory			12,000
Closing work in process inventory			<u>(10,900)</u>
Cost of goods manufactured			<u>113,000</u>

Important Tips to Remember (ITTRs)

1. The “wages account” appearing in trial balance of a manufacturing entity shall be considered as a component of cost of production, direct labour cost, unlike for a trading entity where it was considered as an operating expense. Because without incurring direct labour cost raw material cannot be converted into finished product.
2. Direct cost means the cost that can be identified in a product (that is incurred in full as a direct consequence of producing the product). Whereas, the indirect costs are those production costs that are incurred in a reporting period for overall production process and cannot be identified in a product e.g. electricity bill that is not paid for a single product but for a period in which so many units of product are manufactured.
3. Cost of loose tools purchased, spare parts purchased, fuel purchased and indirect material purchased are adjusted with opening and closing inventory to calculate their consumption cost, which is then included in factory overhead cost. Their closing inventory, like other closing inventories, is shown in current assets.

MCQs

1. Nayyar Carpets manufactured 2,000 pieces of rugs during the year ending on 31st December 20X8. Following is the detail of manufacturing cost incurred during that year:
 - Direct Material Rs. 10,000 per piece
 - Direct Labour Rs. 6,000 per piece
 - Manufacturing overhead (Variable) Rs. 1,500 per piece
 - Manufacturing overhead (Fixed) Rs. 5,000,000

What is the total cost of goods manufactured incurred during the year 20X8.

 - A. Rs. 20 Million
 - B. Rs. 30 Million
 - C. Rs. 40 Million**
 - D. Rs. 50 Million
2. Identify, which of the following is a feature of variable manufacturing cost
 - A. Cost per unit increases because of decrease in production
 - B. Cost per unit decreases because of increase in production
 - C. Cost per unit changes in proportion to the change in production
 - D. Cost per unit remains constant because of change in production**
3. Prime cost Rs. 30,000, Conversion Cost Rs. 50,000, Cost of Direct Material consumed is double of the Cost of Direct Labour. What is the amount of Cost of Goods Manufactured if opening Work in Process inventory is Rs. 5,000 lesser than the closing Work in Process inventory.
 - A. 55,000
 - B. 65,000**
 - C. 75,000
 - D. 85,000

CHAPTER - 15

ACCOUNTING FOR INVENTORIES

Sr. No	Course Outline Topics - Chapter 15
1	Important Definitions as per IAS 2
2	Classification and Valuation of Inventories
3	Net Realizable Value - Finished Goods, WIP, Raw Material
4	Components of Cost of Inventory
5	Inventory Costing Methods
6	Accounting Systems to Record Inventories
7	Practice - Periodic and Perpetual System using FIFO and WAverage
8	Problem of Stock Taking under Periodic System
9	Practice - Physical Stock Count After the End of Reporting Period
10	Circumstances in which Inventory (Asset) is Recognized as Expense

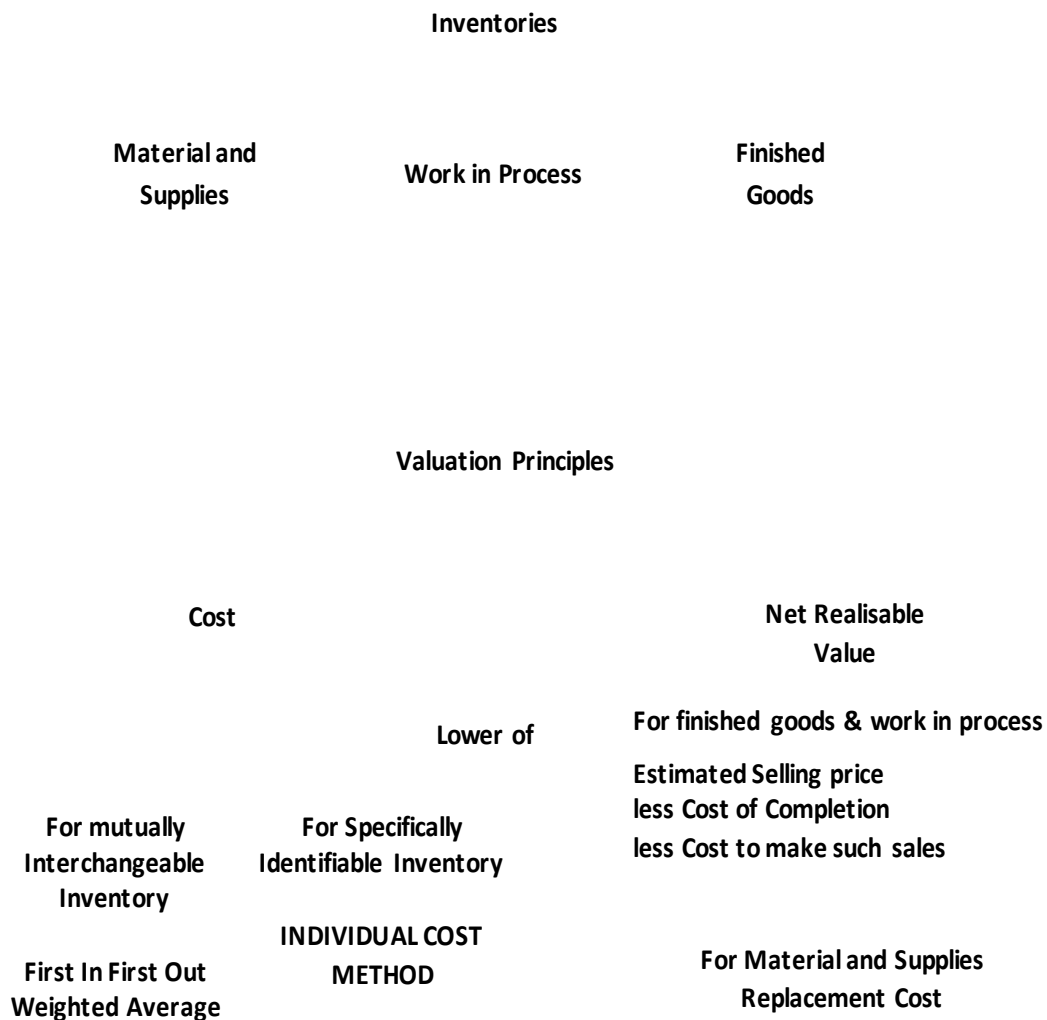
Topic 128 – 137 are included in this chapter.

Important Definitions as per IAS 2

Inventories are assets, held:

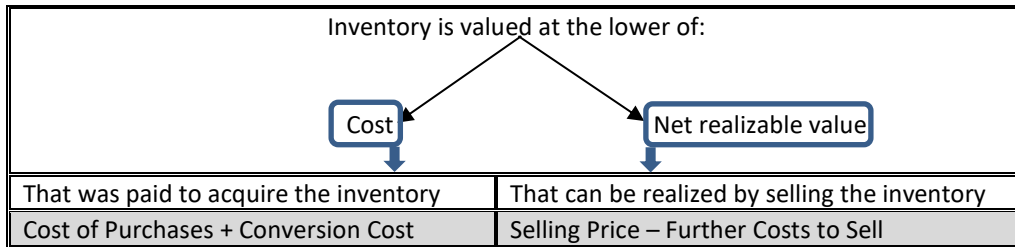
- (a) for sale in the ordinary course of business;
- (b) in the process of production for such sale; or
- (c) in the form of materials or supplies to be consumed in the production process or in the rendering of services.

Net realizable value is the estimated selling price in the ordinary course of business less the estimated costs of completion and the estimated costs necessary to make such sale.



Valuation of Inventories

Inventories shall be valued at lower of cost and net realizable value, on item-by-item basis or group basis.



One of the important characteristics of financial information is that it should be '*reliable*'. For financial information to be reliable, a prudent view must be taken where there is certainty to ensure that assets and gains are not overstated and that liabilities and losses are not understated.

If net realizable value is lower than the cost of inventory, then it is anticipated that the entity is going to make a loss in future. To be prudent in valuing the inventory and to ensure reliability we should measure inventory at the lower figure, i.e. the net realizable value. Value of inventory is not overstated and the anticipated loss is recognized immediately in the Income Statement.

If cost of inventory is lower than the net realizable value, then it is anticipated that the entity is going to make a profit in future. In this case, inventory will be measured at its cost, which will ensure that the asset is not overstated and that the anticipated profit is not recognized.

Practice – 15.1

Bataka (Private) Ltd. has stock of finished shoes on December 31, 20X9 costing Rs15,000. The company also has a work in process inventory, the estimated cost to complete this work-in-process is Rs.5,000 on which cost of Rs.10,000 has already been spent till December 31, 20X9.

The company pays 2% commission on sales to its distributors. Estimated selling price of finished goods and work in process (when this will be converted to finished goods) is Rs. 35,000.

Its NRV shall be calculated as under:

	Rs.
Estimated Sales price	35,000
Less: Estimated cost of completion	5,000
Estimated cost necessary to make such sales (Rs. 35,000 x 2%)	700
	(5,700)
Net Realizable Value	29,300
Cost of inventory	
Finished Goods	15,000
Work in Process	10,000
Total cost of inventory	25,000

Cost of inventory is lesser than its net realizable value therefore the inventory will be recognized in the balance sheet at cost Rs. 25,000

Practice 15.2 - NRV of Raw Material

Cotton Expert Ltd. is engaged in manufacturing of cloth.

Price of cotton acquired by Cotton Expert Ltd. has fallen from Rs.200 per lb. to Rs.180 per lb.

At the end of the month company had 3,000 units which it had purchased @ Rs.200 per unit. The cloth made from this cotton is sold for Rs.500 per meter. The cost of producing one-meter cloth is Rs.400. One lb. of cotton is converted into one-meter cloth.

Calculate the value of inventory of Raw material.

Answer

As the finished goods are sold above their cost, so inventory of such raw material is not written down to NRV

Thus, the value of inventory

$$\text{Rs.200} \times 3,000 = \text{Rs.600,000}$$

Practice 15.3 - NRV of Raw Material

Prince Limited is engaged in a manufacturing business. One unit of raw material is converted into one unit of finished goods.

The cost of raw material acquired by the company is Rs.300 per unit. On January 31, due to excess supply price has fallen from Rs.300 to Rs.200.

The cost of producing one unit of finished goods is Rs.500 while NRV of the product is Rs.400 per unit.

Calculate the value of inventory of Raw Material. The company has 75 units of raw material at month end.

Answer

The value of inventory of Raw material will be written down to NRV/replacement cost, as the finished goods would not be sold at or above cost.

Thus, the value of inventory of raw material will be:

$$75 \text{ units @ Rs. 200 per unit} = \text{Rs. 15,000}$$

Important Tips To Remember (ITTRs)

1. If NRV of finished goods is less than its cost then the inventory of Raw material (which is used in production of such finished goods) shall be valued at lower of its cost and NRV (Replacement cost).
2. Whereas, if NRV of finished goods is greater than its cost then the inventory of Raw material (which is used in production of such finished goods) shall be valued at its cost regardless of the fact that its NRV (replacement cost) is lower than its cost.
3. The amount of any reversal of any write-down of inventories, arising from an increase in net realizable value shall be recognized as a reduction in expenses in the period in which the reversal occurs.

Components of Cost of inventory

Cost of inventories comprises of:

- i. costs of purchase,
- ii. cost of conversion and
- iii. other costs incurred in bringing the inventories to their present location and condition.

Cost of purchase

Cost of purchase comprise of

- i. purchase price, less trade discount if any;
- ii. import duties and other non-refundable taxes;
- iii. transport and handling; and
- iv. other cost directly attributable to acquisition of finished goods, materials and services.

Practice 15.4

Haroon Textile Ltd. imported raw material for use in production of goods with following details:

	Rs. (000)
Invoice value	1,000
Custom duty	150
Central Excise Duty (C.E.D)	50
Non-adjustable income tax	225
Refundable sales tax	180
Carriage	40
Commission paid to agent for clearance of raw materials	100

Calculate the cost of purchase of inventories

Cost of purchase Rs.

Invoice value	1,000
Custom duty	150
C.E.D.	50
Non-adjustable income tax	225
Carriage	40
Commission to agent	<u>100</u>
Cost of purchase	<u>1,565</u>

Costs that are not included in the cost of inventories and are straight away recognized as expenses.

Example of the costs that are excluded from the cost of inventories and straight away recognized as expenses in the period in which they are incurred are:

- (a) abnormal amounts of wasted materials, labor or other production costs;
- (b) storage costs, unless those costs are necessary in the production process before a further production stage;
- (c) administrative overheads that do not contribute to bringing inventories to their present location and condition, and selling costs

Allocation of fixed and variable production overhead costs to the cost of inventory

- (a) Allocation of fixed production overheads to the costs of inventories is based on normal capacity of the production facilities. Normal capacity is the production expected to be achieved on average, over a number of periods or seasons under normal circumstances, taking into account the loss of capacity resulting from planned maintenance;
- (b) The actual level of production may be used if it approximates normal capacity;
- (c) The amount of fixed overhead allocated to each unit of inventory is not increased as a consequence of low production or idle plant;
- (d) In periods of abnormally high production, the amount of fixed overhead allocated to each unit of production is decreased so that inventories are not measured above cost; and
- (e) Variable production overheads are allocated to each unit of production on the basis of the actual use of the production facilities.

Practice 15.5

Jamil Bashir Limited is engaged in manufacturing of Surgical Instruments.

Following data relates to the reporting period ending on December 31, 20X9:

Fixed production overheads	=	Rs. 2,000,000
Variable production overheads	=	Rs. 200 per unit
Material cost per unit	=	Rs. 800 per unit
Labour cost per unit	=	Rs. 300 per unit

Normal production capacity of the company is 20,000 units per annum. During the year, company manufactured 5,000 units. There was nil balance of inventory on opening date and the company sold 4,000 units in the year.

<u>Production Cost Per Unit</u>	Rs.
Material	800
Labor	300
Variable overheads	200
Fixed production overheads [(on the basis of actual capacity) (2,000,000/5,000)]	<u>400</u>
Per unit cost	<u>1,700</u>

<u>Inventory Cost Per Unit</u>	
Material	800
Labor	300
Variable overheads	200
Fixed production overheads [(on the basis of normal capacity) (2,000,000/20,000)]	<u>100</u>
Per unit cost	<u>1,400</u>

Value of inventory	=	1,000 units @ Rs. 1,400
	=	Rs. 1,400,000

Inventory costing methods

If the entire inventory represents individually identifiable unit then the cost of inventory will be determined through the “*Specific Cost Method*”, i.e. Price per unit of individually identifiable inventory

However, if the inventory is mutually interchangeable and bought or produced at different prices then following methods are used to determine cost of inventory:

- (i) *First in First out (FIFO)* an assumption is made for costing purposes that the first items of inventory received are the first items to be sold / issued. The closing inventory comprises the items purchased most recently.
- (ii) *Weighted Average Cost (W-AV-CO)* under this system the inventory is valued at the weighted average price of the inventory on hand. This is achieved by dividing the total cost by the total units. The average cost will be computed every time additional inventory is purchased or produced.

Practice 15.6

Purchases	5 units at Rs.4/unit
	5 units at Rs.5/unit
	5 units at Rs.5.50/unit
Closing inventory	8 units

First In, First Out (FIFO)

	Rs.
5 units @ Rs.5.50	27.50
3 units @ Rs.5.00	<u>15.00</u>
Cost of closing inventory	<u>42.50</u>

Weighted average (Average cost – WAVCO)

Cost of closing inventory =

$$\frac{\text{Total cost of inventory purchased}}{\text{No. of units purchased}} \times \text{no. of units in inventory}$$
$$\frac{(5 \times \text{Rs.4}) + (5 \times \text{Rs.5}) + (5 \times \text{Rs.5.50})}{15} \times 8 = \text{Rs.38.67}$$

Accounting systems to record inventories

There are two known methods that are used to account for inventories in the books of accounts;

1. Perpetual Inventory System:
2. Periodic Inventory System:

Perpetual Inventory System

Under this system, a complete and continuous record of movement in each inventory item is maintained. Perpetual records are useful in preparing monthly, quarterly or annual financial statements. Record used is normally a “store ledger card” specifying quantity wise receipt, issue and balance together with values in chronological sequence.

Accounting Entries:

On purchase of inventory (Purchase of goods is recognized as asset):

Inventory Purchase A/c.	Dr
Bank a/c or Creditors A/c.	Cr

On Issue/Use/Sale of inventory:

Cost of Consumption A/c.	Dr
--------------------------	----

Or

Cost of Goods Sold A/c.	Dr
Inventory Purchases A/c.	Cr

Under this accounting system opening balance of inventory is brought forward in Inventory Purchase a/c and the same account leaves a balance at the end of the reporting period, which is reported as current asset in the statement of financial position.

Advantages:

- 1) It protects materials from theft or loss.
- 2) It helps in reducing wastage and spoilage.
- 3) Inventory levels can be determined and observed.
- 4) It serves as a moral check.
- 5) It helps in highlighting slow moving and obsolete inventory.
- 6) It helps in frequent physical counting.

Disadvantages:

- 1) It is very complex.
- 2) It is costly.
- 3) Complex calculations are required.
- 4) Sufficient technical knowledge is required.

Periodic inventory System or Physical system

Under this system, value of inventory is determined at the end of a reporting period through a physical count of inventory in store/warehouse. A continuous record is not maintained to account for day to day movement in inventory.

Accounting Entries:

On Purchase of Inventory (Purchase of goods is recognized as expense):

Purchases A/c.	Dr.	
Bank a/c or Creditors A/c.		Cr.

On Issue/Consumption/Sale of inventory

No accounting entry is passed to record such issue in the books of account.

On reporting date, the opening balance of inventory and total of purchases during the reporting period are closed into the cost of goods sold account:

Cost of Goods Sold A/c.	Dr.	
Opening Inventory A/c.		Cr.
Purchases A/c.		Cr.

On reporting date the closing balance is counted and measured according to the accounting principles and following accounting entry is recorded:

Closing Inventory A/c.	Dr.	
Cost of Goods Sold A/c.		Cr.

Advantages:

- 2) It is very simple.
- 3) It is very cheap.
- 4) No calculations required.
- 5) No technical knowledge required.

Disadvantages:

- 1) It does not protect materials from theft or loss.
- 2) No help in reducing wastage and spoilage.
- 3) Inventory levels cannot be fixed and observed.
- 4) It does not help in highlighting slow moving and obsolete inventory.
- 5) It does not help in frequent physical counting.

Accounting Entries for abnormal and normal loss of inventory*

Loss	Perpetual System	Periodic System
Abnormal Loss	Abnormal Loss Inventory A/c.	Abnormal Loss Purchase A/c.
Normal Loss	Cost of goods sold Inventory A/c.	No accounting entry is required

* Abnormal losses are covered by insurance, whereas normal losses are generally expected.

Practice 15.7

Jan.

01. Opening balance 400 units @ Rs. 4 each

02. Purchase 1000 units @ Rs. 5 each

03. Sales 700 units @ Rs. 12 each

04. Purchases 1200 units @ Rs. 6 each

05. Sales 1000 units @ Rs. 12 each

06. Purchase 800 units @ Rs. 7 each

07. Sale 500 units @ Rs. 12 each

a). Enter the above transactions in the books of accounts under periodic and perpetual system of accounting.

b). Calculate the cost of inventory under periodic and perpetual systems using FIFO, and weighted average methods.

	Units		Amount of Sales Rs.
Opening inventory	400	700 x 12 =	8,400
Purchases (1,000+1,200+800)	<u>3,000</u>	1000 x 12 =	12,000
Unit available for sale	3,400	500 X 12 =	<u>6,000</u>
Units sold (700+1,000+500)	<u>(2,200)</u>		<u>26,400</u>
Closing inventory	<u>1,200</u>		

a) Accounting Entries (all figures are in Rs.)

Jan.	Periodic System				Jan.	Perpetual Systems			
05	Purchases	5,000			05	Inventory purchase	5,000		
	Cash		5,000			Cash		5,000	
10	Cash	8,400			10	Cash	8,400		
	Sales		8,400			Sales		8,400	
						Cost of goods sold	3,100		
						Inventory Purchases		3,100	
						(FIFO method)			
15	Purchases	7,200			15	Inventory purchase	7,200		
	Cash		7,200			Cash		7,200	
20	Cash	12,000			20	Cash	12,000		
	Sales					Sales		12,000	
						Cost of goods sold	5,300		
						Inventory purchases		5,300	
						(FIFO method)			
25	Purchases	5,600			25	Inventory purchase	5,600		
	Cash		5,600			Cash		5,600	
30	Cash	6,000			30	Cash	6,000		
	Sale		6,000			Sales		6,000	
						Cost of goods sold	3,000		
						Inventory Purchases		3,000	
						(FIFO method)			
31	Cost of goods sold	1,600			31	Income Statement	11,400		
	Opening stock		1,600			Cost of goods sold		11,400	
31	Cost of goods sold	17,800							
	Purchases		17,800						
31	Closing stock				31	Sales	26,400		
	Cost of goods sold		8,000			Income statement		26,400	
31.	Income statement	11,400							
	Cost of goods sold		11,400						
31	Sales	26,400							
	Income statement		26,400						

Periodic System					Perpetual System				
Purchases (Exp)					Inventory Purchases (Assets)				
Jan			Cost of goods sold <						

Cost of Goods Sold			
Opening stock	1,600	Closing stock	8,000
Purchases	17,800	Income Statement	11,400
	<u>19,400</u>		<u>19,400</u>

Opening Stock	1,600
Add: Purchases	17,800
Less: Closing stock	(8,000)
	<u>11,400</u>

b). Calculations of cost of inventory

Periodic System

FIFO method:

Closing inventory = 1200 units remained unsold		Rs.
800 x Rs.7	=	5,600
400 x Rs.6	=	<u>2,400</u>
Cost of Closing inventory		<u>8,000</u>

Weighted average cost method:

Total cost (Opening Inventory + Purchases)= cost per unit

Total unit (Opening Inventory + Purchases)

Rs.(1,600 + 17,800) = Rs.5.7058 per unit

(400 + 3,000) units

Cost of closing inventory = 1200 units x Rs. 5.7058 =Rs. 6,847

Perpetual System**FIFO Method**

Date	Particulars	Received			Issues			Balance		
		Qty	Rate	Rs.	Qty	Rate	Rs.	Qty	Rate	Rs.
01	Op. Balance							400	4	1,600
05	Purchases	1000	5	5,000				400	4	1,600
10	Sales (700 units)				400	4	1,600	1000	5	5,000
					300	5	1,500	700	5	3,500
15	Purchases	1200	6	7,200				700	5	3,500
								1200	6	7,200
20	Sales (1000 units)				700	5	3,500			
					300	6	1,800	900	6	5,400
25	Purchases	800	7	5,600				900	6	5,400
								800	7	5,600
30	Sales (500 units)				500	6	3,000	400	6	2,400
								800	7	5,600
								1200		8,000

Weighted Average Cost Method

Date	Particulars	Received			Issues			Balance		
		Qty	Rate	Rs.	Qty	Rate	Rs.	Qty	Rate	Rs.
01	Op. Balance							400	4	1,600
05	Purchases	1000	5	5,000				1400	(w-1) 4.7142	6,600
10	Sales				700	4.7142	3,300	700	4.7142	3,300
15	Purchases	1200	6	7,200				1900	(w-2) 5.526	10,500
20	Sales				1000	5.526	5,526	900	5.526	4,974
25	Purchases	800	7	5,600				1700	(w-3) 6.22	10,594
30	Sales				500	6.22	3,110	1200	6.22	7,464

Workings:

(W-1)

$$\text{Rs. } 6,600 / 1400 = 4.7142$$

(W-2)

$$(3,300 + 7,200) / (700 + 1,200) = 5.526$$

(W-3)

$$(4,974 + 5,600) / (900 + 800) = 6.22$$

Circumstances in which inventory (asset) is recognized as expense?

Following are the circumstances when inventory (asset) is recognized as expense:

- (a) The inventories have been sold to customers, carrying amount of those inventories shall be recognized as cost of goods sold expense in the period in which the related revenue is recognized.
- (b) The amount of any write-down of inventories to net realizable value and all losses of inventories due to theft or fire etc. shall be recognized as an expense in the period in which such write-down or loss occurs.

Practice 15.8 (Recognition of inventory as an expense)

Sumaiya Associates is engaged in production of surgical item. The following data is available for the month of March.

Opening stock	3,000 unit @ Rs. 100 per unit
Production	30,000 unit @ Rs. 100 per unit
Closing stock	2,000 unit @ Rs. 100 per unit

Expense charged to Income Statement.

	Rs.
Opening Stock	300,000
+ Production	<u>3,000,000</u>
	3,300,000
- Closing Stock	<u>200,000</u>
Cost of Goods Sold	<u>3,100,000</u>

OR

Unit sold	=	opening units + units produced - closing units
	=	3,000 + 30,000 – 2,000
	=	31,000 units
Cost of goods sold	=	31,000 x 100 = Rs. 3,100,000

Practice 15.9 (Recognition of inventory as an expense)

Hamza Traders has following data for the month of March:

Opening stock	300 units @ Rs. 100
Purchases	1,000 units @ Rs. 100
Closing stock	200 units

At 31 March, the NRV of the product comes down to Rs. 95.

Cost of inventory that should be recognized as expense.

	Closing Stock At NRV Rs.	Closing Stock At Cost Rs.
Opening stock	30,000	30,000
Purchases	<u>100,000</u>	<u>100,000</u>
	130,000	130,000
Closing stock	<u>(19,000)</u>	<u>(20,000)</u>
Cost of goods sold	<u>111,000</u>	<u>110,000</u>

Thus, reducing the value of closing stock to NRV would cause increase in cost of goods sold.

In case the stock had valued at cost the cost of goods sold would have been Rs.110,000.

Problems of Stock taking under periodic system

Under periodic inventory system, closing stock is physically counted, verified and valued at the end of each reporting period. In case of big organizations, it may not be possible to verify entire closing stock exactly on the last date of accounting period. In such a case, stock-count takes place either few days earlier or later from the end of reporting period, as permitted by the circumstances.

If the stock count takes place on a later date, then following adjustments are required to ascertain the value of stock at the end of reporting period:

Start with the value of inventory on that later date (the stock count date is after the reporting date)

Add: Sales (at cost) between two dates, i.e. date of taking stock and reporting date.

Add: Purchases returns between the two dates.

Add: Any under-casting in stock sheet.

Add: Goods sent on consignment to the consignee, between the two dates.

Add: Goods lost because of any reason, between the two dates.

Add: Goods sold between these days are still in transit.

Less: Purchases between the two dates.

Less: Sales returns (at cost price) between the two dates.

Less: Any overcasting in stock sheet.

Less: Any goods held on consignment basis (received between the two dates).

Less: Any goods included in stock but title of such has been transferred to the buyer.

Do nothing:

Goods bought before closing date are still in transit (should be recognized as goods in transit)

If the stocks count takes place on an earlier date, then following adjustments are required to ascertain the value of stock at the end of reporting period:

Start with the value of inventory on that earlier date (the stock count date is before the reporting date)

Add: Purchases between the two dates.

Add: Sales returns (at cost price) between the two dates.

Less: Sales (at cost) between the two dates.

Less: Purchases returns between the two dates.

Add: Goods laying with consignee (at cost).

Add: Goods on approval with customers (at cost).

Practice 15.10 (Physical count after the end of reporting period)

Owing to some unavoidable circumstances the “Stock Taking Team” could not count the inventory on reporting date that was 31.12.20X9.

Cost of inventory as per the physical count on 05.01.20Y0 was Rs.150,000.

You, being the internal auditor, are required to calculate cost of inventory as on 31.12.20X9.

Following information was provided to you regarding the movement in inventory after the reporting date till the date of physical count:

- (a) Sales totaled Rs. 120,000 of which 50% of the sales were made at a margin of 50%; 20% of sales were made at a mark-up of 25%; 10% of the sales were made at a loss of Rs.2,000 and 20% of the sales were made at cost.
- (b) Sales returned were Rs.12,000 these goods were sold at $1/3^{\text{rd}}$ profit of cost.
- (c) Purchase of goods totaled Rs.50,000
- (d) Purchases returned were Rs.5,000.
- (e) Goods costing Rs.12,000 were lost by theft.

Solution:

	Rs.
Cost of inventory as per physical count	150,000
(a) Cost of sold goods during the period (W-1)	87,200
(b) Cost of goods returned from customers during the period (W-2)	(9,000)
(c) Cost of purchased goods during the period	(50,000)
(d) Cost of goods returned to suppliers during the period	5,000
(e) Cost of goods lost during the period	12,000
	<u>195,200</u>

Workings:

				Rs.
W-1				
		50% = 60,000 x $\frac{50}{100}$	=	30,000
		20% = 24,000 x $\frac{100}{125}$	=	19,200
		10% = 12,000 + 2,000	=	14,000
		20% = <u>24,000</u> + 0	=	<u>24,000</u>
				<u>87,200</u>
				<u>120,000</u>
W-2	12,000 x $\frac{3}{4}$			= 9,000

Examination and Exercise Questions

Exercise Question 15.11 - (Specific Cost Method)

Delta Manufacturing Company is engaged in production of different items that are not ordinarily interchangeable.

During the month, the company produced following units:

Product A	2,000 units
Product B	3,000 units

Sales for the month are:

Product A	1,800 units
Product B	2,700 units

Cost of producing each unit of:

Product A	Rs. 500
Product B	Rs. 100

Value of Inventory using specific cost method	Rs.
Product A (200 x 500)	100,000
Product B (300 x 100)	<u>30,000</u>
Value of Inventory	<u>130,000</u>

Exercise Question 15.12 (Mutually Interchangeable Inventory - FIFO method (Periodic System of Accounting))

Mobile Filling Station carries valuation of supplies at the end of each month. For the month of February following information is available from the records of the company.

Stock on February 28, 2009	130,000 litres
Purchase – 10 February, 2009	150,000 litres @ Rs. 10.65
Purchase – 17 February, 2009	100,000 litres @ Rs. 10.50
Purchase – 28 February, 2009	100,000 litres @ Rs. 10.60
Sales during the month	345,000 litres
Stock on January 31, 2009	125,000 litres @ Rs. 9.75

Cost of Inventory using FIFO method	Rs.
100,000 litres @ Rs. 10.60	1,060,000
30,000 litres @ Rs. 10.50	<u>315,000</u>
Value of inventory	<u>1,375,000</u>

Exercise Question 15.13 (Mutually Interchangeable Inventory-W. Avg. cost method (Periodic System of Accounting)).

Shah Petroleum Services engaged in supply of petroleum products.

For the month of September following information available:

Stock on 31 August, 20X9	25,000	litres @ Rs. 37.01
Purchase –05 September, 20X9	100,000	litres @ Rs. 37.35
Purchase –15 September, 20X9	100,000	litres @ Rs. 37.15
Purchase –25 September, 20X9	100,000	litres @ Rs. 37.05
Stock on 30 September	30,000	litres

Value of inventory using monthly weighted average method

Date 20X9	Units (litres)	Rate (Rs.)	Price (Rs.)
Sep 01	25,000	37.01	925,250
Sep 05	100,000	37.35	3,735,000
Sep 15	100,000	37.15	3,715,000
Sep 25	<u>100,000</u>	37.05	<u>3,705,000</u>
	325,000		<u>12,080,250</u>
	<u>12,080,250</u>		

Weighted average rate = $\frac{12,080,250}{325,000}$ = Rs. 37.17

Cost of inventory = 30,000 x 37.17 = Rs. 1,115,100

Exercise Question 15.14 (Net Realizable Value)

Steady Limited owns following products in its inventory on December 31, 20X9 with details given below:

Items	Units	Cost per unit (Rs.)	NRV per unit (Rs.)
Josh	400	5,000	6,000
Jazba	400	4,500	4,000
Junoon	200	400	410
Janem	300	600	500

Value of inventory on items by item basis:

Items	Units	Cost per unit (Rs.)	NRV per unit (Rs.)	Valuation	Lower of Cost & NRV Rs. (Total)
Josh	400	5,000	6,000	(400x5,000)	2,000,000
Jazba	400	4,500	4,000	(400x4,000)	1,600,000
Junoon	200	400	410	(200x400)	80,000
Janem	300	600	500	(300x500)	<u>150,000</u>
Value of Inventory					<u>3,830,000</u>

Exercise Question 15.15 (Net Realizable Value)

Bataka Pakistan Limited is engaged in manufacturing of shoes and bags. Following is the detail of bags held by one of its retail outlets.

Items	Units	Cost per unit (Rs.)	NRV per unit (Rs.)
P450	900	100	80
F 160	200	400	410
L120	300	600	500
Q200	100	300	400

Calculate value of inventory to be recognized in the books on aggregate (group) basis.

Items	Units	Cost per unit	Total Cost	NRV per unit	Total
	(Bags)	Rs.	Rs.	(Rs.)	NRV Rs.
P450	900	100	90,000	80	72,000
F160	200	400	80,000	410	82,000
L120	300	600	180,000	500	150,000
Q200	100	300	30,000	400	40,000
			<u>380,000</u>		<u>344,000</u>

NRV of the entire inventory is lower than the cost, therefore value of inventory should be measured at NRV which is Rs. 344,000

Exercise Question 15.16 (Net Realizable Value)

Stream Limited is engaged in production of fountain pens.

At the year end, the company owns following inventory.

Items	Units	Cost per unit	NRV per unit
		Rs.	Rs.
K 300i	300	100	80
K 500i	200	5,000	6,000
K 700i	100	4,500	4,000
J 200i	400	300	400
C 100	400	400	410
C 110	900	600	500
C 200	1,000	50	55
N 500	50	100	95
N 600	200	50	40

Calculate the amount of inventory by aggregate (group) and by category (item-wise) basis.

Aggregate (group) basis:

Items	Units	Cost	NRV per unit Rs.	Total per unit Rs.	Total Cost Rs	Lower of NRV Rs.	Cost & NRV Rs.
K 300i	300		100	80	30,000	24,000	
K500i	200		5,000	6,000	1,000,000	1,200,000	
K700i	100		4,500	4,000	<u>450,000</u>	<u>400,000</u>	
					<u>1,480,000</u>	<u>1,624,000</u>	1,480,000
J 200i	400		300	400	120,000	160,000	120,000
C100	400		400	410	160,000	164,000	
C110	900		600	500	540,000	450,000	
C200	1,000		50	55	<u>50,000</u>	<u>55,000</u>	
					<u>750,000</u>	<u>669,000</u>	669,000
N500	50		100	95	5,000	4,750	
N600	200		50	40	<u>10,000</u>	<u>8,000</u>	
					<u>15,000</u>	<u>12,750</u>	<u>12,750</u>
Value of Inventory						<u>2,281,750</u>	

Category (item-wise) basis

Items	Cost	NRV	Lower	Units	Value
	Rs.	Rs.	Rs.		Rs.
K 300i	100	80	80	300	24,000
K 500i	5,000	6,000	5,000	200	1,000,000
K 700i	4,500	4,000	4,000	100	400,000
J 200i	300	400	300	400	120,000
C 100	400	410	400	400	160,000
C 110	600	500	500	900	450,000
C 200	50	55	50	1,000	50,000
N 500	100	95	95	50	4,750
N 600	50	40	40	200	8,000
Value of inventory					<u>2,216,750</u>

Practice 15.17 - Disclosures

- (a) Inventories are measured at lower of cost and NRV. Cost is measured by using FIFO, formula.
- (b) Inventories comprise the following:

	Rs. '000'
Raw Material	5,400
Work in Process	6,200
Finished Goods	<u>7,600</u>
	<u>19,200</u>

- (c) Carrying amount of finished goods at NRV is Rs.200,000.
- (d) Inventories recognized as expense during the period are Rs.96,000,000.
- (e) The amount of write-down of inventory (Finished goods) recognized as expense during the period is Rs.500,000.
- (f) There is a reversal of write-down of Rs.100,000.
- (g) Due to market fluctuations, finished goods are reversed from NRV to cost.
- (h) Stock is pledged as security against short term loan.

1. Which of the following statements about the treatment of inventory and work in progress in financial statements are correct?
1. Inventory should be valued at the lower of cost, and replacement value.
 2. In valuing work in progress, materials costs, labor costs and variable and fixed production overheads must be included.
 3. Inventory items can be valued using either first in, first out (FIFO) or weighted average cost.
 4. A company's financial statements must disclose the accounting policies used in measuring inventories.
- A. All four statements are correct
 B. 1, 2 and 3 only
 C. **2, 3 and 4 only**
 D. 1 and 4 only

2. Pash Jee is publisher of books. On each sale, commission of 4% is payable to the selling agent. Following information is available in respect of total inventories of three of his most popular titles at his financial year-end:

	Cost Rs.	Selling price Rs.
History is Future	2,280	2,900
Down to Sky	4,080	4,000
Dancing Dove	1,280	1,300

What is the total value of these inventories in Pasha Jee's Balance Sheet

- A. **Rs.7,368**
 B. Rs.7,400
 C. Rs.7,560
 D. Rs.7,640
3. What would be the effect on a company's profit of discovering inventory with cost of Rs.1,250 and a net realisable value of Rs.1,000, assuming that the same inventory had not been included in the original inventory count?
- A. An increase of Rs.1 ,250
 B. **An increase of Rs.1,000**
 C. A decrease of Rs.250
 D. No effect at all
4. Shazi & Co sells three products - Basic, Super and Luxury. The following information was available at the year-end:

	Basic Rs. per unit	Super Rs. per unit	Luxury Rs. per unit
Original cost	6	9	18
Estimated selling price	9	12	15
Selling and distribution costs	1	4	5
Inventory	200 units	250 units	150 units

The value of inventory at the year-end should be:

- A. Rs.4,200
 B. **Rs.4,700**
 C. Rs.5,700
 D. Rs.6,150

5. The closing inventory of a company at cost on 31 January 20X8 amounted to Rs.284,700. The following items were included at cost in the total:
1,400 coats, which had cost Rs.80 each and normally sold for Rs.150 each. Owing to a defect in manufacture, they were all sold after the reporting date at 50% of their normal price. Selling expenses amounted to 5% of the proceeds. 2,800 skirts, which had cost Rs.20 each. These too were found to be defective. Remedial work in February 20X8 cost Rs.5 per skirt and selling expenses for the batch totaled Rs.800. They were sold for Rs.28 each.

What should the inventory value be according to IAS 2 Inventories after considering the above items?

- A. Rs.280,050
- B. Rs.280,850
- C. Rs.294,850
- D. **Rs.272,450**

CHAPTER - 16

ACCOUNTING FOR PARTNERSHIP FIRMS

Sr. No	Course Outline Topics	Lecture video
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Topic videos 138-157 are mandatory part of this module

Reporting difference between sole proprietorship and partnership entities

Sole proprietorship and partnership both entities prepare Income Statement (Profit and loss account) and Statement of Financial Position (Balance Sheet) in a same manner. The only difference that is identified while preparing reports of both types of entities is distribution of profits among the owners.

Profit distribution statement

For sole-proprietorship; the net profit/loss amount is directly transferred to the owner's capital account. For partnership firms; a statement is prepared in addition to the income statement and Statement of Financial Position (balance sheet). It shows how profit is distributed among the partners, the outcome of which is the distributed profit that is then posted to the partners' current accounts.

Profit as per Income Statement for the period is transferred to profit and loss appropriation account also named as profit distribution statement. In this statement the profit is distributed among the partners (owners) in accordance to their agreed profit sharing arrangements.

Profit is distributed among the partners based on three facts:

Basis for distribution	Facts and Reasons
Interest on Capital	Difference in amount of contributed capital
Partner's Salary	Difference in services performed
Profit sharing ratio	Difference in experience and personal contacts

Interest on drawings

Before distributing profits among the partners, adjustment for interest on drawings is made on the grounds that; had the drawings not been made by the partners the firm would have earned more profits. Therefore, the amount of interest on drawings is subtracted from each partners' profit share and is added in the total profits before applying profit sharing ratio.

Profit distribution statement

For partnership firms; a statement is prepared in addition to the income statement and Statement of Financial Position (balance sheet). It shows how profit is distributed among the partners, the outcome of which is the distributed profit that is then posted to the partners' current accounts.

Change in profit sharing ratio during the reporting period

Partners may decide to change profit sharing arrangements during the reporting period. In this case firstly; Income Statement is prepared for the reporting period, then its outcome (Net Profit) is split into two i.e.;

- (i) Profit belonging to the period with old profit sharing arrangements.
- (ii) Profit belonging to the period with new profit sharing arrangements.

In normal circumstances the profit is split on time proportionate (number of months) basis.

Two profit distribution statements are prepared for one reporting period and then their results are consolidated in partner's current account.

Practice 16.1

X, Y and Z set up a partnership firm on 1-1-20X9. They contributed Rs.150,000, Rs.120,000 and Rs.90,000 respectively as their Capitals and decided to share Profit & Loss in the ratio of 3: 2: 1.

The partnership deed provides that X is to be paid a salary of Rs.3,000 per month and Y Rs.15,000 per annum. It also provides that interest on Capital be allowed at 6% per annum. The drawings and Interest on drawings for the year were as follows:

Partners	Drawings Rs.	Interest on drawings Rs.
X	40,000	810
Y	20,000	540
Z	10,000	270

The Net amount of profit as per Income Statement for the year 20X9 was Rs.106,980.

Prepare a Profit & Loss Distribution Statement, Partners' Current Accounts and Partners' Capital Account.

Answer

Profit & Loss Distribution Statement
OR
(Profit and loss appropriation account)

	X Rs.	Y Rs.	Z Rs.	Total Rs.
Net profit				106,980
Interest on drawings	(810)	(540)	(270)	1,620
Partners salaries	36,000	15,000	-	(51,000)
Interest on Capital				
X 150,000 x 6%	9,000			
Y 120,000 x 6%		7,200		
X 90,000 x 6%			5,400	(21,600)
				36,000
Profit ratio				
X 36,000 x 3/6	18,000			
Y 36,000 x 2/6		12,000		
Z 36,000 x 1/6			6,000	(36,000)
	<u>62,190</u>	<u>33,660</u>	<u>11,130</u>	<u>Nil</u>

Partners' Capital Accounts

	X Rs.	Y Rs.	Z Rs.		X Rs.	Y Rs.	Z Rs.
				Balance b/f	150,000	120,000	90,000
Balance c/f	150,000	120,000	90,000				
	<u>150,000</u>	<u>120,000</u>	<u>90,000</u>		<u>150,000</u>	<u>120,000</u>	<u>90,000</u>

Partners Current Account (Abridged)

	X Rs.	Y Rs.	Z Rs.		X Rs.	Y Rs.	Z Rs.
Drawings	40,000	20,000	10,000	Balance b/f Profit share	0	0	0
Balance c/f	22,190	13,660	1,130		62,190	33,660	11,130
	62,190	33,660	11,130		62,190	33,660	11,130

Partners Current Account (Detailed)

	X Rs.	Y Rs.	Z Rs.		X Rs.	Y Rs.	Z Rs.
Interest on drawing	810	540	270	Balance b/f	0	0	0
				Partner Salary	36,000	15,000	
Drawings	40,000	20,000	10,000	Int. on Capital	9,000	7,200	5,400
Balance c/f	22,190	13,660	1,130	Profit ratio	18,000	12,000	6,000
	63,000	34,200	11,400		63,000	34,200	11,400

Calculation of interest on Capital

Interest on capital is calculated on the effective capital balances at an agreed rate of interest.

Practice 16.2

January 1, 20X8	Capital Balances	Rs.
	A	50,000
	B	75,000
June 30, 20X8	Capital introduced by A	20,000
August 31, 20X8	Capital introduced by B	45,000

Calculate Interest on Capital at 10%, accounting year ends on December 31, 20X8.

Effective Capital Balances		Rs.	Rs.
A	Opening	50,000	
	Fresh 20,000 x 6/12	<u>10,000</u>	60,000
B	Opening	75,000	
	Fresh 45,000 x 4/12	<u>15,000</u>	90,000
Interest on Capital			
A	60,000 x 10%		6,000
B	90,000 x 10%		9,000

Calculation of interest on Drawings

Interest on drawings is calculated on the effective drawings balances at an agreed rate of interest.

Practice 16.3

Drawings made by partners during the year ending on December 31 were as under:

Dates of drawings	Partner A Rs.	Partner B Rs.
March 31, 2008	4,000	6,000
June 30, 2008	3,000	2,000
September 30, 2008	6,000	4,800
December 31, 2008	4,000	6,000

Calculate interest on drawings @ 6%

Effective Drawings Balances

			Rs.
A	Mar 31	$4,000 \times 9/12 =$	3,000
	Jun 30	$3,000 \times 6/12 =$	1,500
	Sep 30	$6,000 \times 3/12 =$	1,500
	Dec 31	$4,000 \times 0/12 =$	0
			<u>6,000</u>
Interest on drawings		$6,000 \times 6\%$	<u>360</u>

Effective Drawings Balances:

			Rs.
B	Mar 31	$6,000 \times 9/12 =$	4,500
	Jun 30	$2,000 \times 6/12 =$	1,000
	Sep 30	$4,800 \times 3/12 =$	1,200
	Dec 31	$6,000 \times 0/12 =$	0
			<u>6,700</u>
Interest on drawings		$6,700 \times 6\%$	<u>402</u>

Changes in constitution of partnership firm

Subsequent to the formation of a partnership firm, a different accounting treatment is required when any of the following changes occur in the constitution of the partnership (Partnership deed) these changes might occur because of the following reasons:

- Admission of a new partner
- Retirement of an existing partner
- Death of a partner

Admission of a new partner

A new partner may be admitted for different reasons such as personal influence, need of more capital, or special skills.

At the time of admission of a new partner, certain adjustments are necessary, like:

- Calculation of new profit sharing ratio.
- Calculation and accounting treatment of goodwill
- Revaluation of net assets.

Calculation of New Profit Sharing Ratio

Basic Data:

Old Ratio A:B

3:2

C is admitted for $\frac{1}{6}$ th share in profits.

Scenario I

A and B will continue sharing in old ratio (mutual ratio would not change).

Scenario II

A and B will share equally after C's admission.

Scenario III

C will buy his share half from A and half from B.

Solution Scenario I

$$\begin{aligned} \text{A and B's Share} &= 1 - \frac{1}{6} = \frac{5}{6} \\ \text{A} &= \frac{5}{6} \times \frac{3}{5} = \frac{3}{6} \\ \text{B} &= \frac{5}{6} \times \frac{2}{5} = \frac{2}{6} \\ \text{C} &= \frac{1}{6} \end{aligned}$$

$$\text{New Ratio of A, B and C} = 3 : 2 : 1$$

Solution Scenario II

$$\begin{aligned} \text{A} &= \frac{5}{6} \times \frac{1}{2} = \frac{5}{12} \\ \text{B} &= \frac{5}{6} \times \frac{1}{2} = \frac{5}{12} \\ \text{C} &= \frac{1}{6} \times \frac{2}{2} = \frac{2}{12} \end{aligned}$$

$$\text{New ratio of A, B and C} = 5 : 5 : 2$$

Solution Scenario III

$$\begin{aligned} \text{Profit of C's Share} &= \frac{1}{6} \times \frac{1}{2} = \frac{1}{12} \\ \text{A} &= \frac{3}{5} - \frac{1}{12} = \frac{31}{60} \quad (\text{through LCM}) \\ \text{B} &= \frac{2}{5} - \frac{1}{12} = \frac{19}{60} \quad (\text{through LCM}) \\ \text{C} &= \frac{1}{12} + \frac{1}{12} = \frac{2}{12} \times \frac{5}{5} = \frac{10}{60} \end{aligned}$$

$$\text{New ratio of A, B and C} = 31 : 19 : 10$$

Goodwill

Goodwill may arise from such attributes of a business; as good reputation, good customer relationship, strategic location, skills of its employees, dynamic management, durability of its products, effective advertisement, patented manufacturing process, outstanding credit rating, training program of the employees, and good relationship with suppliers and employees, etc.

Goodwill may be described as the aggregate of those intangible attributes of a business that contribute to the superior earning capacity of the business. Goodwill is the outcome of an impression created in the mind of each customer and related persons.

Valuation of Goodwill

Methods to be adopted in valuing goodwill will depend upon the circumstances of each particular case. At the time of valuation of goodwill, the partnership deed should be examined and valuation should be undertaken in accordance with the agreement.

Goodwill Calculation methods

1. Average profit method
2. Super profit method
3. Market capitalization method

Average Profit Method

Under this method, at first, average profit is calculated on the basis of the past few years' profits. At the time of calculating average profit, precaution must be taken in respect of any abnormal items of profit or loss which may affect future profit. It should be mentioned that average profit is based on simple average method.

After calculating average profit, it is multiplied by a number (times) 3, or 4, or 5, whatever, as agreed. The product will be the value of the goodwill.

For example:

Goodwill is three times of the average profit of previous five years.

Let's suppose:

$$\text{Average profit} = 100 / 5 = 20$$

$$\text{Goodwill} = 20 \times 3 = 60$$

Practice 16.4

Years	Profit Rs.
1st year	20,000
2nd year	40,000
3rd year	50,000
4th year	70,000
Total	180,000

Goodwill of the firm is equal to three years purchase of the last four years average profits:

$$\text{Average profit} = 180,000 / 4 = \text{Rs. } 45,000$$

$$\text{Goodwill} = 45,000 \times 3 = 135,000$$

In case, **one of the previous years in the formula is showing loss**; such loss shall be subtracted from total profits and then its average will be calculated

Practice 16.5

Year	Profit / Loss (Rs)
1 st	30,000
2 nd	40,000
3 rd	(10,000)
4 th	<u>60,000</u>
	<u>120,000</u>

$$\text{Average Profit} = 120,000 / 4 = \text{Rs. } 30,000$$

Number of years for calculating average profit and number of purchase of the average profit for calculating goodwill are determined by experts at the time of preparing partnership agreements.

Super Profit Method

Super profit is the excess of actual profit (average profit) over the normal profit of an entity. A common method of valuation of goodwill is the super profit method. A business unit may possess some advantages which enable it to make extra profits over and above the amount that would be earned if the capital of the business was invested elsewhere with similar risks. These extra profits, generally expressed as super profits, are used to calculate goodwill of the firm.

In this method, super profits are taken as the base for calculating goodwill in place of average profit.

Certain steps are followed in calculating goodwill under super profit method, these are as under:

1. Calculate Capital of the firm
2. Calculate normal profit by multiplying firm's capital with normal rate of return
3. Calculate average profit of the firm
4. Calculate super profit by subtracting normal profit from the average profit
5. Multiply the super profit by the number of year's purchase (number of times)
6. The product will be goodwill.

Practice 16.6

$$\text{Normal profit} = 200,000 \times 18\% = 36,000$$

$$\begin{aligned}\text{Super profit} &= \text{Average profit} - \text{Normal profit} \\ &= 45,000 - 36,000 = 9,000\end{aligned}$$

$$\text{Goodwill} = 9,000 \times 3 = 27,000$$

Market Capitalization Method

Under this method value of the firm is first determined based on market capitalization rate using the following formula:

$$\frac{\text{Average profit of the firm}}{\text{market rate of return}} \times 100$$

The above formula will give an estimate of firm's value in the market. By subtracting book value of the net assets (owners' equity) of the firm from above calculated value we shall get the amount of goodwill.

Practice 16.7

Average profit of the firm is Rs.45,000 and market rate of return is 18% and capital (net assets) of the firm is Rs.200,000.

Good will of the firm will be calculated as under:

$$\begin{aligned} \text{Goodwill} &= \frac{45,000}{18} \times 100 = 250,000 \\ &= 250,000 - 200,000 \\ &= 50,000 \end{aligned}$$

Accounting treatment for goodwill

Since the goodwill of a partnership firm belongs to the old partners and none else, it is obvious that some adjustments must be made to the capital accounts of old partners upon admission of a new partner so that the incoming partner will not enjoy the goodwill belonging to old partners without payment for that, apart from capital contribution. The amount that incoming partner pays for goodwill is known as premium for goodwill. This goodwill premium is treated in the books of accounts in any of the following manner:

Scenario-1 - Goodwill Raised and Retained as Asset

When the incoming partner cannot bring cash as premium for goodwill

Here, capital accounts of old partners are artificially inflated towards the respective right in firm's goodwill, without any cash contribution. Goodwill is recognized as asset because at present the net assets of the firm can realize more than their fair value. Old partners' capital accounts are credited because new coming partner should not be benefited for such gain, which belongs to the period in which he/she was not among the then partners.

In this case, goodwill account is to be raised in the books of account at its full value by debiting the goodwill account and crediting the old partners' capital accounts in old ratio.

Journal Entry

	Rs.	Rs.
Goodwill A/c	135,000	
A's capital A/c		81,000
B's capital A/c		54,000

Working

A's share = $135,000 \times \frac{3}{5} = 81,000$

B's share = $135,000 \times \frac{2}{5} = 54,000$

Important Tips To Remember (ITTRs)

Following should be taken into account when doing the above treatment for goodwill:

1. If goodwill already appears in the SFP (Balance Sheet), which is equal to the full value of goodwill so calculated, then no entry is required to be passed.
2. if goodwill already appears in the SFP (Balance Sheet), which is less than the full value of goodwill then goodwill is to be raised for the balance (full value of goodwill calculated less goodwill already appearing in the SFP (Balance Sheet).
3. if goodwill already appears in the SFP (Balance Sheet), which is more than the full value of goodwill, then excess goodwill is to be written off. The journal entry will be as under:

Old partners' capital accounts	Dr
Goodwill accounts	Cr
(Being the value of the goodwill written down to its calculated value)	

Scenario-2 - Goodwill Raised and Written-Off

When incoming partner cannot bring resources as premium for goodwill but no goodwill is to appear in the books:

Since the value of the goodwill constantly changes and partners may not wish that an account should remain in the books, goodwill is raised in the books first and, thereafter it is written off.

Journal Entry (Goodwill raised)

	Rs.	Rs.
Goodwill A/c	135,000	
A's capital A/c		81,000
B's capital A/c		54,000
(Old ratio 3:2)		

Journal Entry (Goodwill raised & written off)

	Rs.	Rs.
A's capital A/c	67,500	
B's capital A/c	45,000	
C's capital A/c	22,500	
Goodwill A/c		135,000
(New ratio 3:2:1)		

<u>A's benefit</u>	<u>Rs.</u>
Old ratio (Cr)	81,000
New ratio (Dr)	<u>67,500</u>
(Cr)	<u>13,500</u>

<u>B's benefit</u>	<u>Rs</u>
Old ratio (Cr)	54,000
New ratio (Dr)	<u>45,000</u>
(Cr)	<u>9,000</u>

A's benefit + B's benefit
 13,500 + 9,000 = 22,500
 C's share = 22,500
 C's share = 135,000 x 1/6 = 22,500

Scenario-3 - Goodwill Premium Brought in Cash

When required amount of goodwill premium is brought in by the incoming partner and the money is retained in the business to increase the cash resources:

In this situation, premium for goodwill is to be shared by old partners in sacrificing ratio. The sacrificing ratio is calculated by deducting the new ratio from the old ratio for each partner. It should be noted that when profit sharing ratio between the old partners does not change as between themselves, the old profit sharing ratio would be their sacrificing ratio.

Goodwill premium brought in cash

	Rs.	Rs.
Bank A/c	22,500	
Goodwill premium A/c		22,500

Distribution of goodwill premium (sacrifice ratio)

	Rs.	Rs.
Goodwill Premium A/c	22,500	
A's capital A/c		13,500
B's capital A/c		9,000

A's share = $22,500 \times \frac{3}{5} = 13,500$

B's share = $22,500 \times \frac{2}{5} = 9,000$

Scenario-4 Goodwill Premium Brought in Cash & Withdrawn

When required amount of goodwill premium is brought in by new partner and this amount is immediately withdrawn by the old partners:

Goodwill premium brought in cash

	Rs.	Rs.
Bank A/c	22,500	
Goodwill Premium A/c		22,500

Distribution of goodwill premium (sacrifice ratio)

	Rs.	Rs.
Goodwill Premium A/c	22,500	
A's capital A/c		13,500
B's capital A/c		9,000

Goodwill premium withdrawn

	Rs.	Rs.
A's capital A/c	13,500	
B's capital A/c	9,000	
Bank A/c		22,500

Bank a/c	10,000	
Goodwill premium A/c.		10,000
Goodwill premium A/c.	10,000	
B's Capital A/c.	5,000	
A's Capital A/c.		15,000

At the time of admission of a new partner or retirement of existing partner, net assets of the firm are revalued to their fair value. Revaluation would cause increase or decrease in the book values. Following accounting entries are recorded for revaluation of net assets:

- Increase or decrease in value of net assets (assets or liabilities) is recognized on the date of any change (admission, retirement etc) in partnership constitution. Management must do revaluation of assets and liabilities because fair value of net assets (assets or liabilities) of the firm is not equal to the book value of the net assets as on the date when change in partnership constitution occurs. Therefore, any gain or loss because of change in fair value of net assets should be adjusted immediately so that such gain or loss does not positively or negatively affect the new coming partner or old partners as the case may be.

Practice 16.9 (Readjustment of Partners' Capital Balance in new profit sharing ratio)

Partners' capital balances are readjusted in their new profit sharing ratio. This readjustment may be based on:

1. Capital balances of the old partners
2. Capital introduced by the new partner
3. Total capital balance of the firm after admission of new partner.

Old partners' capital:

A = Rs.1,212,500
B = Rs.950,000

New partner' capital

C = Rs. 400,000

A and B were sharing profits in 3:2, C was admitted for 1/5 share in profit. After C's admission, the profit sharing ratio is 12:8:5 for A, B and C respectively.

Readjust the capital balances of A, B & C in new profit sharing ratio assuming the above three bases.

Answer

				Rs.
Base 1.	A & B's Capital $2,162,500 \times \frac{5}{4} = 2,703,125$		12/25	A = 1,297,500
			8/25	B = 865,000
			5/25	C = <u>540,625</u>
				<u>2,703,125</u>
Base 2.	C's Capital $400,000 \times \frac{5}{1} = 2,000,000$		12/25	A = 960,000
			8/25	B = 640,000
			5/25	C = <u>400,000</u>
				<u>2,000,000</u>
Base 3.	Combined Capital (A, B & C) $2,562,500 \times \frac{1}{1} = 2,562,500$		12/25	A = 1,230,000
			8/25	B = 820,000
			5/25	C = <u>512,500</u>
				<u>2,562,500</u>

Retirement of a Partner

When a partner intends to retire; his/her capital account balance after adjustments for share in goodwill and revaluation gains or losses is recognized as loan (liability) to the entity.

Death of a Partner

At the time of death of a partner, his/her share in current years' profits is estimated based on previous year's net profit or average profit of past few years' profits (it would be mentioned in partnership agreement).

The partnership agreement would also state whether the deceased partner would be entitled to share in goodwill, interest on capital etc. or not.

Deceased partner's executor's account is credited with his/her capital balance, share in profits, share in goodwill interest on capital and any other items to be specified like "loan to or from the firm". This account is debited with the deceased partner's drawings, interest on drawings or any account recoverable from him.

Credit balance of this account would be a liability of the firm and in case of debit balance it would be an asset.

Important Tips to Remember (ITTRs)

1. On the date of change like change in profit sharing arrangements, admission, retirement or death, any amount appearing as un-appropriated profits, profit/loss account balance or Reserves Account will be transferred to those partners' capital accounts who were partners before such change took place, in their respective profit sharing ratio (old ratio).
2. New Partnership constitution may require not to alter values of respective net assets although those have been revalued. In this case a revaluation memorandum a/c will be prepared to calculate gain/loss on revelation such gain or loss shall be firstly divided among old partners in old profit sharing ratios and then the same amount of gain or loss shall be reversed among the new partners in the new profit sharing ratios. Say the gain on such revaluation was Rs. 450,000, its accounting entry would be

A's Capital (old partner)	2/5	180,000	
B's Capital (old partner)	2/5	180,000	
C's Capital (new partner)	1/5	90,000	
A's Capital (old partner)	4/5		360,000
B's Capital (old partner)	1/5		90,000

Old ratio (4 : 1) new ratio (2 : 2 : 1)

This will be the only accounting entry that would be recorded in case of revaluation of assets and liabilities, subject to the decision that their values will remain unaltered.

As none of the assets or liabilities is being debited or credited in this accounting entry, therefore value of each asset and liability would remain same as those were appearing in the Statement of Financial Position (Balance Sheet) before the change in Partnership constitution took place.

3. When one partner is being retired and another partner is being admitted on the same date, special care must be taken while identifying old and new profit sharing ratios.

For example A:B:C were partners sharing profit 3:2:5 respectively C retires and D was admitted for $\frac{1}{6}$ th share in profits then A:B:D would be 3: 2 : 1

$$\begin{array}{lclcl} A & = & \frac{5}{6} \times \frac{3}{5} & = & \frac{3}{6} \\ B & = & \frac{5}{6} \times \frac{2}{5} & = & \frac{2}{6} \\ D & & & = & \frac{1}{6} \end{array}$$

For A, B and C old ratio is 3 : 2 : 5 and new ratio is A : B i.e. 3 : 2

For A, B and D old ratio is A : B = 3 : 2 and new ratio is 3 : 2 : 1

4. At the time of D's admission, the new ratio after C's retirement would become old ratio.
5. When a retiring partner agrees to takeover a liability, the specific liability account is debited and retiring partner's capital account is credited.
6. The final balance of retiring partner's capital account is paid in cash, but if sufficient cash balance is not available then he/she may also be allowed to takeover one or more assets of the firm for which the specific asset/s account will be credited and partner's capital account will be debited. Such takeover is settled at fair value and any difference in value is transferred (Dr./Cr.) to the revaluation account. Revaluation of the assets / liabilities taken over should be done before determining the final capital balance of the retiring partner.

Practice 16.9 (Final Accounts of Partnership Firm)

Shezra and Sumaiya are partners in a trading business, sharing profit and losses in the ratio 3:2. The Trial Balance of the firm on 31st March, 20Y0 was as follows:

Trial Balance as on 31st March, 20Y0

Debit Balances	(Rs.)	Credit Balances	(Rs.)
Opening stock	2,000	Capital account – Shezra	10,000
Purchases	148,000	Capital account – Sumaiya	10,000
Trade Debtors	12,000	Sales	220,000
Wages sales staff	5,000	Trade Creditors	21,000
Salaries administrative staff	10,000	Bills payable	20,000
Building	30,000	Discount	6,500
Machinery	25,000		
Furniture	16,000		
Advertisement (for 2 years)	6,000		
Bills Receivable	8,000		
Insurance premium	2,000		
Drawings – Shezra	2,000		
Drawings – Sumaiya	3,000		
Cash in hand	5,500		
Repair and maintenance	10,000		
Utility bills	3,000		
	287,500		287,500

Adjustments:

1. Stock on hand on 31st March, 20Y0 was at Rs.5,000.
2. Write off Rs.2,000 for further Bad debts and maintain provision for doubtful debts at 5% on debtors.
3. Depreciate Building at 5%, Machinery at 10% and furniture at 10%
4. Outstanding expenses were wages Rs.2,000 and salary Rs.1,000.
5. Prepaid repair Rs.1,600
6. Credit purchases amounted to Rs.4,000 were not recorded in the books of account.
7. It was decided that there will be no interest on capital and drawings.
8. Both partners are entitled to annual salary; Shezra Rs.15,000, Sumaiya Rs.10,000.

From the above Trial Balance and adjustments prepare Income Statement for the year ended 31st March, 20Y2 and Balance Sheet as on that date.

Answer

Shezra and Sumaiya
Income Statement
for the year ended 31st March, 20Y2

	Rs.	Rs.	Rs.
Sales			220,000
Cost of goods sold			
Opening stock		2,000	
Purchases	148,000		
Un recorded credit purchases	<u>4,000</u>	152,000	
Closing stock		<u>-5,000</u>	149,000
Gross profit			71,000
Other income – Discount received			6,500
Operating expenses			
Wages – sales staff	5,000		
Outstanding wages	<u>2,000</u>	7,000	
Salaries – administrative staff	10,000		
Outstanding salaries	<u>1,000</u>	11,000	
Advertisement	6,000		
Prepaid advertisement	<u>-3,000</u>	3,000	
Insurance		2,000	
Repair and maintenance	10,000		
Prepaid repair	<u>-1,600</u>	8,400	
Utility bills		3,000	
Depreciation			
Building	1,500		
Machinery	2,500		
Furniture	<u>1,600</u>	5,600	
Bad debts	2,000		
Increase in provision for doubtful debts	<u>500</u>	2,500	42,500
Net profit before distribution to partners			<u><u>35,000</u></u>

Profit Distribution Statement
For the year ended 31st March 20Y2

	Shezra Rs.	Sumaiya Rs.	Total Rs.
Net profit			35,000
Partners salaries	15,000	10,000	<u>-25,000</u>
			10,000
Profit ratio			
Shezra 10,000 x 3/5	6,000		
Sumaiya 10,000 x 2/5		4,000	<u>-10,000</u>
	<u><u>21,000</u></u>	<u><u>14,000</u></u>	<u><u>Nil</u></u>

Shezra and Sumaiya
Balance Sheet
As at 31st March 20Y2

	Rs.	Rs.	Rs.
Non-Current Assets			
Building	30,000		
Depreciation	<u>1,500</u>	28,500	
Machinery	25,000		
Depreciation	<u>2,500</u>	22,500	
Furniture	16,000		
Depreciation	<u>1,600</u>	14,400	65,400
Current Assets			
Closing stock		5,000	
Trade Debtors	12,000		
Further bad debts	-2,000		
Provision for doubtful debts	<u>-500</u>	9,500	
Prepaid advertisement		3,000	
Prepaid repair		1,600	
Bills receivable		8,000	
Cash in hand		<u>5,500</u>	32,600
			<u>98,000</u>
Owners' Equity			
Shezra's Capital	10,000		
Shezra's Profit share	21,000		
Shezra's Drawings	<u>-2,000</u>	29,000	
Sumaiya's Capital	10,000		
Sumaiya's Profit share	14,000		
Sumaiya's Drawings	<u>-3,000</u>	21,000	50,000
Liabilities			
Trade creditors	21,000		
Un-recorded purchases	<u>4,000</u>	25,000	
Bills payable		20,000	
Outstanding wages		2,000	
Outstanding salaries		<u>1,000</u>	48,000
			<u>98,000</u>

Practice 16.10 (Final Accounts of Partnership Firm)

Prepare Income Statement and Balance Sheet from the following Trial Balance of Sabaina and Shahzel, for the year ended 31st March, 20Y3. They share profits and losses in their capital ratio.

Trial Balance as on 31st March, 20Y3

Debit Balances	(Rs.)	Credit Balances	(Rs.)
Opening stock	28,000	Capital – Sabaina	80,000
Purchases	116,400	Capital – Shahzel	40,000
Carriage inwards	2,400	Trade Creditors	46,000
Carriage outwards	6,200	Sales	220,000
Salaries and wages	14,800	Provision for doubtful debts	1,800
Advertisement	8,200	Current account – Sabaina	36,000
Utility bills	11,000		
Machinery	44,000		
Furniture	36,000		
Office Rent	4,000		
Motor Van	63,000		
Current account – Shahzel	16,000		
Trade Debtors	40,000		
Cash in hand	32,800		
Bad debts	1,000		
	4,23,800		4,23,800

Adjustments:

1. Closing stock was valued at cost Rs.36,000 while its NRV was Rs.40,000.
2. Uninsured goods worth Rs.10,000 were stolen, it is considered as abnormal loss
3. Goods worth Rs.20,000 were sold on credit and delivered on 31st March, 20Y3, but no entry is passed in sales book.
4. Depreciate Machinery at 10%, Motor Van at 15% and Furniture at 10%
5. Create a provision for doubtful debts at 5% on Debtors.
6. Sabaina and Shahzel are entitled to partners' salary of Rs.10,000 and Rs.24,000 respectively.

Answer

Sabaina and Shahzel
Income Statement
For the year ended 31st March, 20Y3

	Rs.	Rs.	Rs.
Sales		220,000	
Un-recorded sales		20,000	240,000
Cost of goods sold			
Opening stock		28,000	
Purchases	116,400		
Goods stolen	-10,000		
Carriage inwards	2,400	108,800	
Closing stock		-36,000	100,800
Gross profit			139,200
Operating expenses			
Carriage outwards		6,200	
Salaries and wages		14,800	
Advertisement		8,200	
Utility bills		11,000	
Office rent		4,000	
Un-insured loss of stolen goods		10,000	
Depreciation			
Machinery	4,400		
Motor van	9,450		
Furniture	3,600	17,450	
Bad debts	1,000		
Increase in provision for doubtful debts	3,000	4,000	75,650
Net profit before distribution to partners			63,550

Profit Distribution Statement
For the year ended 31st March 20Y3

	Sabaina Rs.	Shahzel Rs.	Total Rs.
Net profit			63,550
Partners salaries	10,000	24,000	-34,000
			29,550
Profit ratio			
Sabaina $29,550 \times 2/3$	19,700		
Shahzel $29,550 \times 1/3$		9,850	-29,550
	29,700	33,850	Nil

Partners' Current Account

	Sabaina	Shahzel		Sabaina	Shahzel
Balance b/f		16,000	Balance b/f	36,000	
			Profit share	29,700	33,850
Balance c/f	67,500	17,850			
	65,700	33,850		65,700	33,850

Sabaina and Shahzel
Balance Sheet
As at 31st March 20Y3

	Rs.	Rs.	Rs.
Non-Current Assets			
Machinery	44,000		
Depreciation	<u>4,400</u>	39,600	
Furniture	36,000		
Depreciation	<u>3,600</u>	32,400	
Motor van	63,000		
Depreciation	<u>9,450</u>	53,550	125,550
Current Assets			
Closing stock		36,000	
Trade Debtors	40,000		
Un-recorded sales	20,000		
Provision for doubtful debts	<u>-3,000</u>	57,000	
Cash in hand		<u>32,800</u>	125,800
			<u>251,350</u>
Owners' Equity			
Sabaina's Capital	80,000		
Sabaina's Current account	<u>67,500</u>	147,500	
Shahzel's Capital	40,000		
Shahzel's Current account	<u>17,850</u>	57,850	205,350
Liabilities			
Trade creditors			<u>46,000</u>
			<u>251,350</u>

Exercise and Examination Questions

Question No 1

The draft accounts report a gross profit of Rs.157,846 and a net profit of Rs.51,024. Each partner has withdrawn Rs. 15,000 from the business for personal use.

At 1 May 20X3 the balances on the partners' capital and current accounts were:

	Omni	Public
Capital account	Rs.125,000 (credit)	Rs.70,000 (credit)
Current account	Rs.34,568 (credit)	Rs.23,741 (debit)

The partnership agreement includes the following terms:

	Omni	Public
Share of profits and losses	2/3	1/3
Salary	Rs.1,500 per month	Rs.1,000 per month
Interest on capital (per annum)	8%	8%

What is the correct amount of owners' equity for each partner?

The partnership agreement also states that the partners' capital account balances will remain fixed

- A. Omni Rs. 22,729 & Public Rs. -19,333
- B. Omni Rs. 176,184 & Public Rs. 50,667**
- C. Omni Rs. 191,184 & Public Rs. 65,667
- D. Omni Rs. 178,017 & Public Rs. 48,834

Question No 2

Faiqa and Saiqa are in partnership sharing profits and losses in the ratio 3:4. The income statement for the year to 31 May 20X6 reported a net profit of Rs.30,709. Faiqa is entitled to a salary of Rs.14,000 per annum.

What is Saiqa's share of the profit for the year to 31 May 20X6?

- A. Rs.7,161
- B. Rs.9,548**
- C. Rs.17,548
- D. Rs.25,548

Question No 3

Seemal and Maira are in partnership, sharing profits and losses in the ratio 2:3.

The partnership agreement provides for the following:

Seemal is entitled to a salary of Rs.32,000;

Maira is entitled to a salary of Rs.26,000;

Interest is paid at a rate of 8% per annum on the partners' capital balances at the start of the financial year; and Interest is charged at a rate of 12% per annum on the partners' drawings. At 1 May 20X6, the partners' capital and current account balances were:

	Seemal	Maira
Capital	Rs.47,500 (credit)	Rs.34,800 (credit)
Current	Rs.1,680 (debit)	Rs.6,750 (credit)

During the year to 30 April 2007:

Seemal's drawings were Rs.22,800; Maira's drawings were Rs.25,600; and the net profit for the year was Rs.52,952.

What is the correct amount of owners' equity for each partner

- A. Seemal Rs. 62,612 & Maira Rs. 31,554
- B. Seemal Rs. 44,201 & Maira Rs. 34,221
- C. Seemal Rs. 53,780 & Maira Rs. 38,142**
- D. Seemal Rs. 47,500 & Maira Rs. 34,800

Chapter – 17

Company Financial Statements (Final Account)

Sr. No	Course Outline Topics
1	Components of Financial Statements - Final Account
2	Statement of Financial Position
3	Statement of Profit or Loss and Other Comprehensive Income
4	Statement of Changes in Equity
5	Practice - Company Final Account
6	Practice - Company Final Account

Topic videos 158-163 are mandatory part of this module

Components of financial statements (final account)

Accounting for company style of business is similar to the other forms of business organizations but reporting requirements are different rather more complex because of the involvement of more stake holders in it.

The owners of a company are its members or shareholders, but a company is managed by its board of directors. In some companies, the directors are major shareholders. In larger companies, the directors may have some shares, but are not the major shareholders. Other shareholders use the annual accounts to assess the performance of their company and its management.

Every company is registered under the statute, which requires that each company should prepare a set of financial statements (final account) at the end of reporting period i.e., normally 12 months.

Final account is the last step involved in accounting cycle. It is maintained with a view to knowing the overall result of a business operation. Final account depicts the results from operations of a business organization and also reflects the financial condition of the business organization during a certain period, in other words; it is prepared to achieve overall objectives of accounting. The operational results are presented in trading and profit and loss account that indicates profit or loss made during a period. Whereas, the financial position is presented in balance sheet showing assets, equity and liabilities of the business organization on a certain date.

Final account is the combination of income statement (trading and profit and loss account) and balance sheet.

Companies are governed by a law prevailing in the country. Therefore, it is a statutory obligation that all companies are required to follow the relevant section of the law that governs the maintaining of accounts.

Most of the countries have adopted IFRS, which requires companies to prepare following set of reports as final account:

1. Statement of Financial Position (Balance Sheet)
2. Statement of Profit or Loss and Other Comprehensive Income (Income Statement)
3. Statement of Changes in Equity
4. Statement of Cash Flows
5. Notes (Accounting Policies and Disclosures of Explanatory Working)

Financial statements are useful for the following reasons:

- To determine the ability of a business to generate cash, and the sources and uses of that cash.
- To determine whether a business has the capability to pay back its debts.
- To track financial results on a trend line to spot any alarming profitability issues.
- To derive financial ratios from the statements that can indicate the condition of the business.
- To investigate the details of certain business transactions, as outlined in the notes

Statement of Financial Position – SoFP (Balance Sheet)

Statement of Financial Position (SoFP) is prepared at a specific date i.e., at the end of reporting period. It presents financial status of the company by presenting recognized assets, equity and liability items. It is customary that the items of SoFP are grouped in a systematic order. Otherwise IFRS does not require specific order to present SoFP.

For a company style of business grouping of assets is done on the basis of permanency order. This is known as marshaling, marshalling

As per IAS 1; the assets are classified into Non-Current Assets and Current Assets. Non-Current Assets are then further sub-classified into fixed and other non-current assets. Fixed assets are then split into fixed tangible and fixed intangible assets.

Fixed Tangible Assets

These are the property, plant and equipment that are held by the entity a) for production or selling of goods or services, b) for administrative purposes, or c) for rental to others.

These are expected to be useful for the entity for more than one accounting year. Examples include: land & Building, Plant & Machinery, Furniture & Fixtures, Motor Vehicles, Office Equipments etc.

Fixed Intangible Assets

These are the identifiable, non-monetary asset in control of the entity that have no physical existence and are expected to be useful for the entity for more than one accounting year. Examples include: Trademark, Copyright, Patents and Designs etc.

Long term Investment

These are the investments made by the company in other entities for more than one accounting year. Examples include: Investments in equity instruments or debt securities of other entities.

Long term loans

These are the loans given to the third parties on long term basis, receivable after the expiry of more than one accounting year.

Long term advances, deposits, and prepayments

These are the security deposits, fixed deposits, advances given to the suppliers of assets, and prepayments on long term basis.

Current Assets

These are the assets recoverable and tradable within the normal operating cycle of an entity that is 12 months after the reporting date in normal circumstances. Cash and cash equivalents are also current assets.

Current Liabilities

These are the present obligations of the entity that are payable within the normal operating cycle of an entity that is 12 months after the reporting date in normal circumstances. These also include bank overdraft and short-term debts.

Non-Current Liabilities

These are the present obligations of the entity that are payable after one or more than one accounting year. These include; lease liabilities, bank loans, issuance of loan certificates and bonds.

Owners' Equity

It is the residual interest in assets of the entity after deducting its liabilities. Owners' equity is the source of finance that represents owners' stake in the entity. It includes; share capital and reserves.

Format

Company's Name
Statement of Financial Position (Balance Sheet)
As at December 31, 20X9

	<u>Rs.</u>	<u>Rs.</u>
RESOURCES		
Non-Current Assets		
Fixed Assets		
Tangible Assets – (IAS 16)	***	
Intangible Assets – (IAS 38)	***	***
Investment Properties – (IAS 40)		***
Long Term Financial Assets – (IFRS 9)		***
(Investments in Equity/Debt, Deposits, Prepayments, Loans & Receivables)		***
Total Non-Current Assets		***
Current Assets		
Inventories – (IAS 2)	***	
Accounts Receivables & Accruals – (IFRS 9)	***	
Short Term Investments & Prepayments – (IFRS 9)	***	
Cash and Bank Balances – (IFRS 9)	***	***
Current Liabilities		
Accounts Payable & Accruals – (IAS 39)	***	
Short Term Loans – (IAS 39)	***	
Current portion of lease liability – (IAS 17)	***	
Current portion of long term loans – (IFRS 9)	***	
Provisions against expected losses – (IAS 37)	***	
Provisions for current tax – (IAS 12)	***	
Bank Overdraft – (IFRS 9)	***	(***)
Working Capital		***
Capital Employed (Non-Current Assets + Working Capital)		***
FINANCED BY – SOURCES/CLAIMS		
Owners' Equity (Owned source)		
Ordinary Share Capital/Common Stocks – (IAS 32)	***	
Other Components of Equity – (IAS 32)	***	
Share Premium – (IAS 32)	***	
Revaluation Reserve – (IAS 16)	***	
Plant Replacement Reserve – (IAS 32)	***	
Dividend Equalization Reserve – (IAS 32)	***	
Any other named Reserve – (IAS 32)	***	
General Reserves – (IAS 32)	***	
Retained Earnings – (IAS 32)	***	***
Non-Current Liabilities		
Loan Stocks/Bonds/Preferred Shares – (IAS 39)	***	
Loan from financial institutions – (IAS 39)	***	
Lease liability – (IFRS 16)	***	
Defined Benefit Plan Obligation <u>Less</u> Plan Asset – (IAS 19)	***	
Deferred Tax Liability – (IAS 12)	***	***
Capital Employed (Owners' Equity + Non-Current Liabilities)		***

Approved by Chief Executive and a Director

Statement of Profit or Loss and Other Comprehensive Income (Income Statement)

Income Statement is prepared to know the financial performance of an entity. In an Income Statement; expenses for the year are subtracted from the incomes earned during the year. Both incomes and expenses are measured based on the accrual concept, whereas, profit is measured based on the matching concept.

According to the IAS 1 Income Statement can be prepared using either:

1. Function of expenses method, or
2. Nature of expenses method

Function of expenses method

This method is mostly followed by the accountants to prepare and present Income Statement. In this method the expenses are divided into five groups:

- Cost of sales
- Administrative
- Selling and marketing
- Financial
- Income Tax

Incomes are also divided into two groups:

- Sales revenue (operating income)
- Other incomes (non-operating incomes)

Profit after tax is subsequently clubbed with other comprehensive income (unrealized gain/loss) that ultimately shows Total Comprehensive Income for the reporting period of the entity (both realized and unrealized).

Other Comprehensive Income (OCI) is integral part of Income Statement, which presents unrealized gains and losses occurred during the year. These unrealized gains and losses are further categorized into two:

- Items that will not be reclassified to Income Statement (Profit or Loss)
- Items that may be reclassified subsequently to Income Statement (Profit or Loss)

Format

Company's Name
Statement of Profit or Loss and Other Comprehensive Income (Income Statement)
For the Year ended December 31, 20X9

	<u>Rs.</u>	<u>Rs.</u>
Sales revenue – (IFRS 15)		***
Cost of goods sold – (IAS 2)		(***)
Gross profit		***
Operating expenses – (IAS 1, 16, 36, 38, 37, 40, IFRS 2)		
Administrative expense	***	
Selling & Marketing expenses	***	(***)
Profit from operations		***
Other income – (IAS 11, 16, 20, 40, IFRS 9, 15)		***
Financial expenses – (IAS 23, IFRS 9, 16)		(***)
Profit before tax		***
Income tax expense – (IAS 12)		(***)
Profit after tax		***

Statement of Other Comprehensive Income
For the Year ended December 31, 20X9

Profit after tax		***
<i>Items that will not be reclassified to Income Statement (Profit or Loss)</i>		
Gain on Revaluation of Property Plant & Equipment – (IAS 16)	***	
Re-measurement of Investments in Equity – (IFRS 9)	***	
Actuarial gain/loss on defined benefit plan – (IAS 19)	***	***
<i>Items that may be reclassified subsequently to Income Statement (Profit or Loss)</i>		
Foreign exchange gain/loss on translating foreign operations – (IAS 21)	***	
Cash flow Hedges – effective part – (IFRS 9)	***	***
Total Comprehensive Income		***

Approved by Chief Executive and a Director

Statement of changes in equity

Statement of profit or loss and other comprehensive income shows all non-owner changes in equity. Whereas, the statement of changes in equity concentrates on showing all owner changes in equity.

IAS 1 requires a statement of changes in equity should present:

1. Total comprehensive income for the period, showing the amounts attributable to owners
2. The effects of retrospective application or restatement as a result of a change in accounting policy under IAS 8.
3. For each component of equity, a reconciliation between the carrying amount at the beginning and end of the period, separately disclosing changes resulting from:
 - a. profit or loss
 - b. each item of other comprehensive income; and
 - c. transactions with owners in their capacity as owners, showing separately contributions by and distributions to owners

Company's Name						
Statement of changes in equity						
For the year ended December 31, 20X9						
	Share Capital	Share Premium	Revaluation Reserve	Accumulated OCI*	Retained Profits	Total
Opening Balance	***	***	***	***	***	***
Fresh issue of shares	***	***				***
Revaluation of assets			***			***
Transferred upon disposal			(***)		***	
For the year (after tax)				***	***	***
Dividend paid during the year					(***)	(***)
Bonus Share	***	(***)			(***)	-
Totals	***	***	***	***	***	***

Approved by Chief Executive and a Director

***Accumulated Other Comprehensive Income (OCI)**

Accumulate OCI is a general ledger account that is classified within the equity section of the balance sheet. It is used to accumulate unrealized gains and unrealized losses on those line items in the income statement that are classified within the OCI category with the exception of revaluation reserve under IAS 16 (PPE).

A transaction is unrealized when it has not yet been settled. Thus, if investment is made in a financial asset subject to remeasurement at Fair Value through OCI, any gain or loss at its fair value is presented in OCI until the investment is sold, at which time the gain or loss would be realized.

The unrealized gains and losses that may be aggregated into the accumulated OCI account include:

- Unrealized holding gains or losses on investments that are subject to remeasurement at FVTOCI
- Defined Benefit Pension plan: Actuarial gains or losses
- Foreign exchange gains or losses on translating foreign operations
- Cash flow Hedges – effective part

OCI is split into two parts:

1. Items that will not be reclassified to Income Statement; once a gain or loss of the items in this part is realized, it is shifted out of the accumulated OCI account and posted to the retained earnings account.
2. Items that may be reclassified subsequently to Income Statement; once a gain or loss of the items in this part is realized, it is shifted out of the accumulated OCI account and posted as a separate line item in the income statement.

The example given by IAS 1 revised is as follows.

XYZ GROUP – STATEMENT OF FINANCIAL POSITION AT 31 DECEMBER

	20X7	20X6
<i>Assets</i>	\$'000	\$'000
Non-current assets		
Property, plant and equipment	350,700	360,020
Goodwill	80,800	91,200
Other intangible assets	227,470	227,470
Investments in associates	100,150	110,770
Available-for-sale financial assets	142,500	156,000
	<u>901,620</u>	<u>945,460</u>
Current assets		
Inventories	135,230	132,500
Trade receivables	91,600	110,800
Other current assets	25,650	12,540
Cash and cash equivalents	312,400	322,900
	<u>564,880</u>	<u>578,740</u>
Total assets	<u>1,466,500</u>	<u>1,524,200</u>
Equity and liabilities		
Equity attributable to owners of the parent		
Share capital	650,000	600,000
Retained earnings	243,500	161,700
Other components of equity	10,200	21,200
	<u>903,700</u>	<u>782,900</u>
Non-controlling interest	<u>70,050</u>	<u>48,600</u>
Total equity	<u>973,750</u>	<u>831,500</u>
Non-current liabilities		
Long-term borrowings	120,000	160,000
Deferred tax	28,800	26,040
Long-term provisions	28,850	52,240
Total non-current liabilities	<u>117,650</u>	<u>238,280</u>
Current liabilities		
Trade and other payables	115,100	187,620
Short-term borrowings	150,000	200,000
Current portion of long-term borrowings	10,000	20,000
Current tax payable	35,000	42,000
Short-term provisions	5,000	4,800
Total current liabilities	<u>315,100</u>	<u>454,420</u>
Total liabilities	<u>492,750</u>	<u>692,700</u>
Total equity and liabilities	<u>1,466,500</u>	<u>1,524,200</u>

XYZ GROUP – STATEMENT OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME FOR THE YEAR ENDED 31 DECEMBER 20X7

	20X7	20X6
	\$'000	\$'000
Revenue	390,000	355,000
Cost of sales	(245,000)	(230,000)
Gross profit	145,000	125,000
Other income	20,667	11,300
Distribution costs	(9,000)	(8,700)
Administrative expenses	(20,000)	(21,000)
Other expenses	(2,100)	(1,200)
Finance costs	(8,000)	(7,500)
Share of profit of associates	35,100	30,100
Profit before tax	161,667	128,000
Income tax expense	(40,417)	(32,000)
Profit for the year from continuing operations	121,250	96,000
Loss for the year from discontinued operations	–	(30,500)
<i>Profit for the year</i>	<u>121,250</u>	<u>65,500</u>
<i>Other comprehensive income:</i>		
<i>Items that will not be reclassified to profit or loss:</i>		
Gains on property revaluation	933	3,367
Investments in equity instruments	(24,000)	26,667
*Actuarial gains (losses) on defined benefit pension plans	(667)	1,333
Share of gain(loss) on property revaluation of associates	400	(700)
Income tax relating to items that will not be reclassified	5,834	(7,667)
	(17,500)	23,000
<i>Items that may be reclassified subsequently to profit or loss</i>		
* Exchange differences on translating foreign operations	5,334	10,667
*Cash flow hedges	(667)	(4,000)
<i>Income tax relating to items that may be reclassified</i>	(1,167)	(1,667)
	3,500	5,000
Other comprehensive income for the year, net of tax	(14,000)	28,000
<i>Total comprehensive income for the year</i>	<u>107,250</u>	<u>93,500</u>
Profit attributable to:		
Owners of the parent	97,000	52,400
Non-controlling interest	24,250	13,100
	<u>121,250</u>	<u>65,500</u>
Total comprehensive income attributable to		
Owners of the parent	85,800	74,800
Non-controlling interest	21,450	18,700
	<u>107,250</u>	<u>93,500</u>
Earnings per share (in currency units)	<u>0.46</u>	<u>0.30</u>

XYZ GROUP – STATEMENT OF CHANGES IN EQUITY FOR THE YEAR ENDED 31 DECEMBER 20X7

	<i>Share capital</i>	<i>Retained earnings</i>	<i>Available for-sale financial assets</i>	<i>Revaluation surplus</i>	<i>Total</i>	<i>Non- controlling interest</i>	<i>Total equity</i>
Balance at 1 January 20X6	\$'000 600,000	\$'000 118,100	\$'000 1,600	\$'000 –	\$'000 719,700	\$'000 29,800	\$'000 749,500
Changes in accounting policy	–	400	–	–	400	100	500
Restated balance	600,000	118,500	1,600	–	720,100	29,900	750,000
Changes in equity							
Dividends	–	(10,000)	–	–	(10,000)	–	(10,000)
Total comprehensive income for the year	–	53,200	16,000	1,600	70,800	18,700	89,500
Balance at 31 December 20X6	600,000	161,700	17,600	1,600	780,900	48,600	829,500
Changes in equity for 20X7							
Issue of share capital	50,000	–	–	–	50,000	–	50,000
Dividends	–	(15,000)	–	–	(15,000)	–	(15,000)
Total comprehensive income for the year	–	96,600	(14,400)	800	83,000	21,450	104,450
Transfer to retained earnings	–	200	–	(200)	–	–	–
Balance at 31 December 20X7	650,000	243,500	3,200	2,200	898,900	70,050	968,950

Note that where there has been a change of accounting policy necessitating a retrospective restatement, the adjustment is disclosed for each period. So, rather than just showing an adjustment to the balance b/f on 1.1.X7, the balances for 20X6 are restated.

Practice 17.1

The accountant of Pestle Cement Company Limited has prepared the following trial balance on 31st December 20X9.

Accounting Heads	Rs. (000)	Rs. (000)
Share capital		550
Share premium		100
Revaluation reserve		125
Retained earnings		563
Land and buildings (carrying value)	678	
Plant and machinery (carrying value)	585	
Inventory 1 Jan 20X9	120	
Sales revenue		925
Purchases	512	
Administration expenses	102	
Marketing expenses	165	
Financial expenses	42	
Trade receivables	300	
Cash balance	45	
Trade payables		286
Total	2,549	2,549

Further information:

- Inventory at 31 December 20X9 amounted to Rs.235,000
- The taxation expense for the year is estimated to be Rs.62,000 create provision.
- The revaluation reserve relates to land that was revalued during the year.

Required

Prepare for the year ended 31 December 20X9:

- Statement of Profit or Loss and Other Comprehensive Income
- Statement of Changes in Equity
- Statement of Financial Position as on that date

Pestle Cement Company
Statement of Profit or Loss and Other Comprehensive Income (Income Statement)
For the Year ended December 31, 20X9

	Rs. (000)	Rs. (000)
Sales revenue		925
Cost of goods sold		
Opening inventory	120	
Purchase	512	
Closing inventory	(235)	<u>(397)</u>
Gross profit		528
Operating expenses		
Administrative expense	102	
Selling & Marketing expenses	<u>165</u>	<u>(267)</u>
Profit from operations		261
Other income		0
Financial expenses		<u>(42)</u>
Profit before tax		219
Income tax expense		<u>(62)</u>
Profit after tax		<u>157</u>

Statement of Other Comprehensive Income
For the Year ended December 31, 20X9

Profit after tax		157
<i>Items that will not be reclassified to Income Statement (Profit or Loss)</i>		
Gain on Revaluation of Property Plant & Equipment	125	
Re-measurement of Investments in Equity	0	125
<i>Items that may be reclassified subsequently to Income Statement (Profit or Loss)</i>		
Foreign exchange gain/loss on translating foreign operations	0	
Cash flow Hedges – effective part	0	<u>0</u>
Total Comprehensive Income		<u>283</u>

Pestle Cement Company
Statement of changes in equity
For the year ended December 31, 20X9

	Share Capital	Share Premium	Revaluation Reserve	Accumulated OCI	Retained Profits	Total
Opening Balance	550	100	0	0	563	1,231
Fresh issue of shares	0	0				0
Revaluation of assets			125			125
For the year (after tax)				0	157	157
Dividend paid during the year					(0)	(0)
Total	550	100	125	0	720	1,495

Pestle Cement Company
Statement of Financial Position (Balance Sheet)
As at December 31, 20X9

	<i>Rs.</i>	<i>Rs.</i>
RESOURCES		
Non-Current Assets		
Fixed Assets		
Land & Building	678	
Plant & Machinery	585	<u>1,263</u>
Total Non-Current Assets		1,263
Current Assets		
Inventories	235	
Trade Receivables	300	
Cash and Bank Balances	45	580
Current Liabilities		
Accounts Payable	286	
Provisions for current tax	62	<u>(348)</u>
Working Capital		<u>232</u>
Capital Employed (Non-Current Assets + Working Capital)		<u>1,495</u>
 FINANCED BY – SOURCES/CLAIMS		
Owners' Equity		
Ordinary Share Capital/Common Stocks	550	
Share Premium	100	
Revaluation Reserve	125	
Retained Earnings	720	1,495
Non-Current Liabilities		
Loan Stocks/Bonds/Preferred Shares	0	
Deferred Tax Liability	0	<u>0</u>
Capital Employed (Owners' Equity + Non-Current Liabilities)		<u>1,495</u>

Practice 17.2

The accountant of Rose Syrup Company Limited has prepared the following trial balance on 31st December 20X9.

Accounting Heads	Rupees	Rupees
Share capital		550
Share premium		100
Revaluation reserve		125
Retained earnings		563
Accumulated other comprehensive income		180
Short term investments	200	
Long term investments	500	
Lease liability		270
8% loan stocks		250
Land and buildings (carrying value)	678	
Plant and machinery (carrying value)	585	
Inventory 1 Jan 20X9	120	
Sales revenue		925
Purchases	512	
Administration expenses	102	
Marketing expenses	165	
Financial expenses	42	
Trade receivables	300	
Cash balance	25	
Dividend paid	20	
Trade payables		286
Total	3,249	3,249

Further information:

- Inventory at 31 December 20X9 amounted to Rs.235.
- Short term investments are remeasured at fair value Rs.280 through profit or loss.
- Long term investments are remeasured at fair value Rs.600 through OCI.
- Lease liability includes Rs.50 representing current portion.
- The taxation expense for the year is estimated to be Rs.62, assuming no tax effect on fair value gain or loss resulting from re measurement of investments.
- The revaluation reserve relates to land that was revalued during the year.
- Full year interest on loan stocks has already been paid in cash.

Required

Prepare for the year ended 31 December 20X9:

- Statement of Profit or Loss and Other Comprehensive Income
- Statement of Changes in Equity
- Statement of Financial Position as on that date

Rose Syrup Company
Statement of Profit or Loss and Other Comprehensive Income (Income Statement)
For the Year ended December 31, 20X9

	Rs.	Rs.
Sales revenue		925
Cost of goods sold		
Opening inventory	120	
Purchase	512	
Closing inventory	(235)	<u>(397)</u>
Gross profit		528
Gain on remeasurement of short term investments		80
Operating expenses		
Administrative expense	102	
Selling & Marketing expenses	<u>165</u>	<u>(267)</u>
Profit from operations		341
Other income		0
Financial expenses		<u>(42)</u>
Profit before tax		299
Income tax expense		<u>(62)</u>
Profit after tax		<u>237</u>

Statement of Other Comprehensive Income
For the Year ended December 31, 20X9

Profit after tax		237
<i>Items that will not be reclassified to Income Statement (Profit or Loss)</i>		
Gain on Revaluation of Property Plant & Equipment	125	
Re-measurement of Long term investments	100	225
<i>Items that may be reclassified subsequently to Income Statement (Profit or Loss)</i>		
Foreign exchange gain/loss on translating foreign operations	0	
Cash flow Hedges – effective part	0	<u>0</u>
Total Comprehensive Income		<u>462</u>

Rose Syrup Company
Statement of changes in equity
For the year ended December 31, 20X9

	Share Capital	Share Premium	Revaluation Reserve	Accumulated OCI*	Retained Profits	Total
Opening Balance	550	100	0	180	563	1,393
Fresh issue of shares	0	0				0
Revaluation of assets			125			125
For the year (after tax)				100	237	337
Dividend paid during the year					(20)	(20)
Total	550	100	125	280	780	1,835

Rose Syrup Company
Statement of Financial Position (Balance Sheet)
As at December 31, 20X9

	<i>Rs.</i>	<i>Rs.</i>
RESOURCES		
Non-Current Assets		
Fixed Assets		
Land & Building	678	
Plant & Machinery	585	1,263
Long term investments		<u>600</u>
Total Non-Current Assets		<u>1,863</u>
Current Assets		
Inventories	235	
Trade Receivables	300	
Short Term Investment	280	
Cash and Bank Balances	25	840
Current Liabilities		
Accounts Payable	286	
Current portion of lease liability	50	
Provisions for current tax	62	<u>(398)</u>
Working Capital		<u>442</u>
Capital Employed (Non-Current Assets + Working Capital)		<u>2,305</u>
 FINANCED BY – SOURCES/CLAIMS		
Owners' Equity		
Ordinary Share Capital	550	
Share Premium	100	
Revaluation Reserve	125	
Accumulated Other Comprehensive Income	280	
Retained Earnings	780	1,835
Non-Current Liabilities		
8% Loan Stocks	250	
Lease liability	220	
Deferred Tax Liability	0	<u>470</u>
Capital Employed (Owners' Equity + Non-Current Liabilities)		<u>2,305</u>

1. Which of the following shall appear in a company's statement of changes in equity?

1. Profit on disposal of properties.
2. Surplus on revaluation of properties
3. Equity dividends proposed after the reporting date.
4. Issue of share capital.

- A. 1, 3 and 4 only
- B. 2 and 4 only
- C. 1 and 2 only
- D. 3 and 4 only

2. At 31 December 20X2 the following matters require inclusion in a company's financial statements:

1. On 1 January 20X2 the company made a loan of Rs.12,000 to an employee, repayable on 30 April 20X3, charging interest at 2 per cent per annum. On the due date she repaid the loan and paid the whole of the interest due on the loan to that date.
2. The company has paid insurance Rs.9,000 in 20X2, covering the year ending 31 August 20X3.
3. In January 20X3 the company received rent from a tenant Rs.4,000 covering the six months to 31 December 20X2.

For these items, what amount should be included in the company's statement of financial position at 31 December 20X2?

	Current assets Rs.	Current liabilities Rs.
A.	22,000	240
B.	22,240	NIL
C.	20,240	NIL
D.	10,000	12,240

3. At 1 January 200X6, a company's capital structure was as follows:

Rs.

Ordinary share capital

20,000 shares of Rs.100 each

2,000,000

Share premium account

1,400,000

In January 20X6 the company issued 10,000 shares at Rs.140 each.

What were the balances on the company's share capital and share premium accounts after these transactions?

	Share capital	Share premium
A	4,000,000	800,000
B	3,400,000	1,400,000
C	3,000,000	1,800,000
D	2,000,000	2,800,000

CHAPTER – 18

STATEMENT OF CASH FLOWS

Sr. No	Course Outline Topics
1	Purpose of Preparing Statement of Cash Flows
2	Format of Statement of Cash Flows
3	Cash generated from Operations
4	Working Notes
5	Practice - Preparing Cash Flow from Receipt and Payment Account
6	Practice - Preparing Cash Flow from Balance Sheet of Two Years

Topic videos 164-169 are mandatory part of this module

Purpose of preparing Statement of Cash Flows

Statement of Cash Flows is an analytical statement that is prepared to analyze all cash receipts and cash payments during an accounting period.

Cash Receipts	—————→	Cash In-flows
Cash Payments	—————→	Cash Out-flows

Difference between Cash Book, Receipt & Payment Account, and Statement of Cash Flows

Question arises; each business entity prepares cash book and few organizations prepare receipts and payments account then why do we prepare statement of cash flows?

As a matter of fact, these accounting records/reports carry different characteristics and perform different functions. In certain cases, an organization would be preparing all of these three records/reports.

Cash Book	—————→	is maintained chronologically for all receipts and payments. It is a book of original entries to record cash transactions only. In the presence of cash book, cash account and bank account are not maintained in general ledger therefore cash book is also considered as a book of secondary entry.
Receipt & Payment Account	—————→	is a report that is prepared at the end of a reporting period. It is maintained for small entities particularly the non-profit organizations, which do not follow accrual basis of reporting.
Statement of Cash Flows	—————→	is an analysis of all receipts and payments that occurred during the reporting period. It is analyzed into three activities i.e., Operating Activity, Investing Activity, Financing Activity. It is prepared for a specific reporting period and becomes integral component of financial statements as per IAS 1.

Format of Statement of Cash Flows

Company Name		
Statement of Cash Flows		
For the year ended, 30 th June 20X9		
<u>Operating Activity:</u>	Rs.	Rs.
Cash generated from operations (W-1)	***	
Cash received from Interest/Dividends (W-2)	***	
Cash paid for interest/financial charges (W-3)	(**)	
Cash paid for Income Tax (W-4)	(**)	***
<u>Investing Activity:</u>		
Cash paid for purchasing non-current assets (W-5)	(**)	
Cash received from disposal of non-current assets (W-5)	***	***
<u>Financing Activity:</u>		
Cash received from owners as Capital	***	
Cash paid to owners as Drawings / Dividend	(**)	
Cash received as loan (short and long-term / loan certificates	***	
Cash paid for repayment of loan (short-term and long-term)	(**)	
Cash paid for redemption of loan certificates	(**)	***
Net cash In-flow / Out-flow during the year		***
+ Opening Cash and Cash Equivalents (W-6)		***
Closing Cash and Cash Equivalents (W-6)		***

Workings:**W-1 (Direct Method)****Cash generated from operations:**

Cash collected from Customers (W-a)	***
Cash paid to suppliers (W-b)	(**)
Cash paid to and on behalf of employees	(**)
Cash paid for other operating Expenses (W-c)	<u>(**)</u>

W-1(a)**Customers' (Debtors) A/c.**

	Rs.		Rs.
Opening Debtors	**	Cash from customers	?
Total Sales (Cash+ Credit)	**	Bad Debts	**
		Discount Allowed	**
		Closing Debtors	**
	**		**

W-1(b)**Suppliers' (Creditors) A/c.**

	Rs.		Rs.
Cash Paid to suppliers	?	Opening Creditors	**
Discount Received	**	Total Purchases w-1(b-i)	**
Closing Creditors	**		
	**		**

W-1(b-i)**Total Purchases****Rs.**

Cost of Goods Sold	***
+ Closing Stock	***
- Opening Stock	<u>***</u>
Total Purchases	<u>***</u>

W-1(c)

All operating Expenses	***	
Less:		
Salaries & Wages	**	
Depreciation	**	
Amortization	**	
Loss on Disposal of Asset	**	
Bad Debts	**	
Discount Allowed	<u>**</u>	<u>(**)</u>
Cash paid for Operating Expenses	***	
+Opening Due	***	
-Closing Due	(**)	
-Opening Advance	(**)	
+Closing Advance	<u>***</u>	
Cash paid for Operating Expenses		<u>***</u>

W-1 (Indirect Method)

Cash Generated from Operations:

Profit (after tax) ***		
+ Income Tax Expenses		***
Profit before Tax		***
+ Financial Changes (Interest Expenses)		***
Other incomes:		
- Profit on disposal and Interest Income etc.		(**)
Profit from Operations		***
+ Non-Cash Operating Expenses (Non-Current Assets)		
Depreciation/Amortization	***	
Impairment	***	
Loss on disposal	***	***
± Adjustment for non-cash working capital items:		
Stock	Increase - Decrease +	***
Debtors		***
Prepaid Operating Expenses		***
Creditors	Increase + Decrease -	***
Accrued operating Expenses		***
Cash Generated from operations		***

W-2

Interest Income (from I/S)	***
+ Opening Interest Due (Assets in previous B/S)	***
- Closing Interest Due (Assets in current B/S)	(**)
Cash Received for Interest	***

W-3

Interest Expense (from I/S)	***
+ opening interest Due (Liabilities in Previous B/S)	***
- Closing interest Due (Liabilities in Current B/S)	(**)
Cash Paid for Interest	***

W-4

Income Tax Expense (from I/S)	***
+ Opening Tax Provision (Liabilities in Previous B/S)	***
- Closing Tax Provision (Liabilities in Current B/S)	(**)
Cash Paid for Income Tax	***

W-5**Fixed Asset (cost) A/c.**

Opening Balance	**	Disposal	**
New Purchases	**	Closing Balance	**
	**		**

Provision for Depreciation A/c.

Disposal	**	Opening Balance	**
Closing Balance	**	Depreciation F.T.Y.	**
	**		**

Asset Disposal A/c.

Fixed Asset Cost	**	Provision for Dep.	**
Profit/Gain	**	Cash (Sales proceed)	**
	**	Loss	**

W-6**Cash and Cash Equivalents**

	Opening Balance	Closing Balance
Cash in hand	**	**
Cash at Bank	**	**
Very short-term Investments	**	**
Bank Overdraft	(**)	(**)
Cash and Cash Equivalents	**	**

Practice 18.1

Cash Receipt and Payment Account
For the year ended December 31, 20X9

Receipt	Rs.	Payments	Rs.
Opening Balance	5,650	Purchase of Machinery	146,750
Interest on Investment	800	Drawing	8,000
Loan from Babar	100,000	Interest on loan	500
Fresh Capital	74,000	Income tax paid	3,000
Cash from Debtors	60,000	Salaries	5,000
Sales	5,000	Wages	3,000
Bad Debts Recovered	1,350	Electricity Bill	1,000
Sale of Machine	9,200	Rent	500
		Creditors paid	25,000
		Purchases	8,000
		Loan repaid	50,000
		Closing Balance	5,250
Total	256,000	Total	256,000

Prepare Statement of Cash Flows for the year ended December 31, 20X9

Business Name

Statement of Cash Flows
For the year ended 31.12.2008

<u>Operating Activity</u>	Rs.	Rs.
Cash received from customers		
Debtors	60,000	
Sales	5,000	
Bad debts received	<u>1,350</u>	66,350
Cash paid to suppliers		
Creditors	25,000	
Purchases	<u>8,000</u>	(33,000)
Cash paid to employees		
Salaries	5,000	
Wages	<u>3,000</u>	(8,000)
Cash payment for other operating expenses		
Electricity	1,000	
Rent	<u>500</u>	<u>(1,500)</u>
Cash generated from operations		23,850
Interest and dividend received	800	
Interest on loan paid	(500)	
Income tax paid	<u>(3,000)</u>	21,150
<u>Investing Activity</u>		
Sales of machine	9,200	
Purchase of machine	<u>(146,750)</u>	(137,550)
<u>Financing Activity</u>		
Fresh capital	74,000	
Drawings	(8,000)	
Loan taken from B	100,000	
Loan repaid	<u>(50,000)</u>	116,000
Net cash out flow during the year		(400)
Opening cash and cash equivalent		5,650
Closing cash and cash equivalent		<u>5,250</u>

Practice 18.2

Balance Sheet	20X9	20X8
	Rs.	Rs.
Fixed Assets		
Cost	25,000	15,000
Provision for depreciation	<u>(5,000)</u>	<u>(2,000)</u>
Net Book Value – Fixed Assets	20,000	13,000
5% Investments	10,000	0
Current Assets		
Stocks	3,000	3,500
Debtors	1,200	1,000
Prepaid expenses	200	300
Bank and Cash balances	<u>4,000</u>	<u>2,000</u>
	<u>38,400</u>	<u>19,800</u>
Owners' Equity	30,000	18,000
Liabilities		
8% Bank loan	7,000	0
Creditors	1,000	1,500
Accrued Expenses	<u>400</u>	<u>300</u>
	<u>38,400</u>	<u>19,800</u>
<u>Other Information</u>		Rs.
Drawings During the year		8,000
Fresh Capital Introduced		15,000
Machine cost Rs.6,000 NBV Rs.4,800 sold for a loss of Rs.1,200		
Prepare statement of cash flows for the year ending 31-12-20X9		

Statement of Cash Flows
For the year ended 31. 12. 2009

	Rs.	Rs.	Rs.
<u>Operating activity</u>			
Net profit (W-4)		5,000	
Financial charges (Interest on loan)		560	
Other income (Interest on investment)		(500)	
Profit from operations		5,060	
Add back			
Non-cash operating expense (non-current asset)			
Depreciation (W-2)	4,200		
Loss on disposal	<u>1,200</u>	5,400	
Adjustments for working capital items			
Debtors increased by	(200)		
Stock decreased by	500		
Prepaid expenses decreased by	100		
Creditors decreased by	(500)		
Accrued expense increased by	<u>100</u>	<u>0</u>	
Cash generated from operations		10,460	
Interest received		500	
Interest paid		<u>(560)</u>	10,400
<u>Investing Activity</u>			
Sale proceeds of machine (W-3)		3,600	
Fixed asset purchased (W-1)		(16,000)	
Investments purchased		<u>(10,000)</u>	(22,400)
<u>Financing Activity</u>			
Fresh capital		15,000	
Drawings		(8,000)	
Loan taken		<u>7,000</u>	<u>14,000</u>
Net cash inflow during the year			2,000
Opening cash and cash equivalent			<u>2,000</u>
Closing cash and cash equivalent			<u>4,000</u>

Workings:

W-1

Fixed Asset A/c.			
	Rs.		Rs.
Opening balance b/f	15,000	Disposal	6,000
Additions (Bal. figure)	<u>16,000</u>	Closing balance c/f	<u>25,000</u>
	<u>31,000</u>		<u>31,000</u>

W-2

Accumulated Depreciation A/c.			
	Rs.		Rs.
Disposal	1,200	Opening balance b/f	2,000
Closing balance c/f	<u>5,000</u>	Depreciation expense	<u>4,200</u>
	<u>6,200</u>		<u>6,200</u>

W-3

Asset Disposal A/c.			
	Rs.		Rs.
Fixed asset	6,000	Acc. depreciation	1,200
		Loss on disposal	1,200
		Cash received (Bal figure)	<u>3,600</u>
	<u>6,000</u>		<u>6,000</u>

W-4

Net profit

	Rs.
Closing capital	30,000
Drawings	8,000
Fresh capital	(15,000)
Opening capital	<u>(18,000)</u>
Net profit	<u>5,000</u>

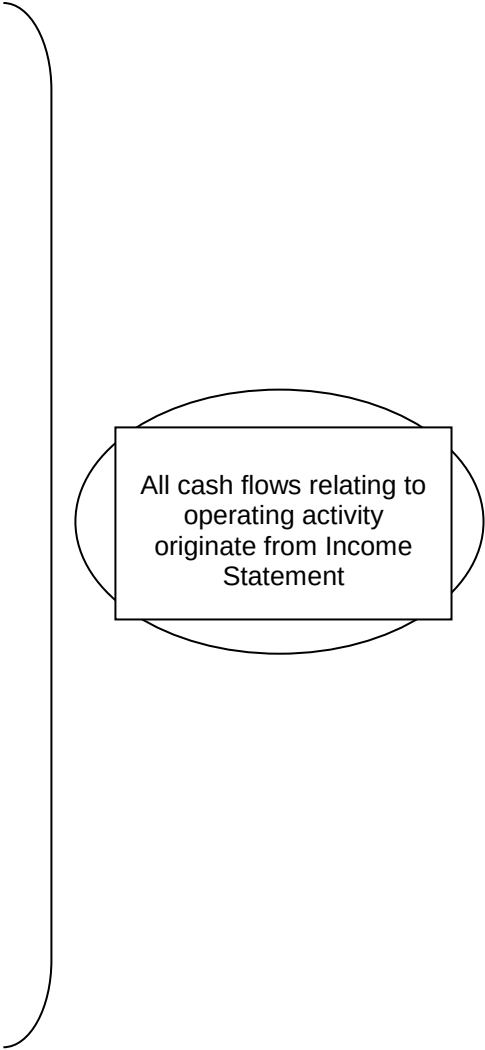
Important Tips To Remember (ITTR)

Name of the Organization
Income Statement
For the year ended December 31 20X9

Sales
 Cash Sales
 Credit Sales
Cost of Goods Sold
 Opening Stock
 Purchases
 Cash Purchases
 Credit Purchases
 Closing Stock
Gross Profit
Operating Expenses
Cash based expenses
 To be adjusted with:
 Accrued Expenses
 Prepaid Expenses
Expenses against receivables
 Bad Debts/Discounts
 Provision for doubtful debts

Expenses against fixed assets
 Depreciation/Amortization
 Loss on disposal
Profit from operations
Other Incomes
Cash based income
 To be adjusted with:
 Accrued incomes
 Unearned incomes
Incomes against payables
 Discounts
Incomes against fixed assets
 Gain on disposal

Net profit



All cash flows relating to
operating activity
originate from Income
Statement

Name of the Organization
Statement of Financial Position (Balance Sheet)
As on December 31 2009

Assets

Fixed Assets

Addition
Disposal
Depreciation

Investments

Addition
Disposal

Current Assets

Stocks
Debtors
Prepaid expenses
Accrue incomes
Bank
Cash

All cash flows
relating to investing
activity originate
from Non-Current
Assets

Owner's Equity

Opening balance
Fresh capital
Net profit
Drawings

Liabilities:

Loans

Further loan taken
Repayment of loan

Current liabilities

Creditors
Accrued expenses
Unearned incomes
Bank overdraft

All cash flows relating
to financing activity
originate from Owners'
Equity and Non-
Current Liabilities

MCQs

1. A draft statement of cash flows contains the following:

	Rs.m
Profit before tax	22
Depreciation	8
Increase in inventories	(4)
Decrease in receivables	(3)
Increase in payables	<u>(2)</u>
Net cash inflow from operating activities	21

Which of the following corrections needs to be made to the calculations?

1. Depreciation should be deducted, not added.
 2. Increase in inventories should be added, not deducted.
 3. Decrease in receivables should be added, not deducted.
 4. Increase in payables should be added, not deducted.
- A. 1 and 2
 B. 1 and 3
 C. 2 and 4
 D. **3 and 4**
2. The figures below have been prepared for inclusion in the statement of cash flows of Bamboo.

	Rs.
Tax and dividends paid	87,566
Increase in payables	13,899
Decrease in inventory	8,900
Redemption of loans	300,000
Increase in receivables	6,555
Reduction in cash and cash equivalents	3,211
Depreciation charge	10,600
Payments to acquire non-current assets	47,999
Proceeds from sale of non-current assets	13,100

What is the cash generated from operations?

- A. \$331,688
 B. \$338,110
 C. \$425,676
 D. **\$419,254**

Explanation

	Rs.	Rs.
Cash generated from operation (Balancing figure)	419,254	
Tax and dividends paid	-87,566	
Cash flow from operating activity		331,688
Payments to acquire non-current assets	-47,999	
Proceeds from sale of non-current assets	13,100	
Cash flow from investing activity		-34,899
Redemption of loans	-300,000	
Cash flow from financing activity		<u>-300,000</u>
Reduction in Cash and Cash Equivalents		<u><u>-3,211</u></u>

3. A business had fixed assets with a book value of Rs.50,000 at the end of the previous year. At the beginning of the current year the business sold an asset for Rs. 5,000 that had cost Rs.4,000 and had yet been depreciated by Rs.1,500. Depreciation charge for the current year was Rs.9,000. The book value of assets at the end of the financial year was Rs.46,000.

How much cash has been invested in non-current assets during the year?

- A. Rs.4,000
- B. **Rs.7,500**
- C. \$9,000
- D. \$10,000

8. The draft accounts of GoGo business for the year ended 31 July 20X9 show a profit of Rs.54,250 prior to the correction of the following errors:
1. Cash drawings of Rs.250 have not been accounted for.
 2. Bad debts of Rs.420 were not accounted for in the journal.
 3. Rental received Rs.300 has been classified as Interest income.
 4. A cheque of Rs.200 was received from a customer, but no bookkeeping entries have yet been made.

What is the correct profit of the business for the year?

- A. Rs.53,580
- B. **Rs.53,830**
- C. Rs.54,250
- D. Rs.55,830

(54,250 – 420 unrecorded bad debts) all other rectifications do not affect business profit.

9. Danish gives a cash discount of Rs.40 to a customer. The discount is credited to the discounts allowed account.

The effect of recording the discount in this way is that profit will be:

- A. correct
- B. **overstated by Rs.80**
- C. understated by Rs.80
- D. understated by Rs.40

(Discount allowed that is an expense has been given credit effect hence understating profit with double amount)

10. The book-keeper of High-Hopes was instructed to make a contra entry for Rs.270 between the supplier account and the customer account for Grey-Ground. He recorded the transaction by debiting the customer account and crediting the supplier account with RS.270. The business accounts do not include control accounts.

Which of the following statements is correct?

- A. Unless the error is corrected, profit will be over-stated by Rs.540
- B. Unless the error is corrected, net assets will be over-stated by Rs.270
- C. Unless the error is corrected, net assets will be over-stated by Rs.540
- D. **The errors should be corrected, but neither the profit nor the net assets are over-stated**

(Income or expense head is not involved. Net effect on assets and liabilities is NIL)